

Introduction to taxation of offshore income and investments [¶26-010]

[¶26-010]

[Click to open document in a browser](#)

A person resident in New Zealand is subject to income tax on their worldwide income. A person not resident in New Zealand is subject to income tax on their income derived from New Zealand. In both cases it is possible that an exemption may apply to relieve New Zealand taxation.

The New Zealand resident taxed on worldwide income may be subject to specialist regimes for the measurement of the income from foreign sources that is subject to income tax. The resident's investment in a controlled foreign company (CFC) and a foreign investment fund (FIF) may result in taxable income being imputed without the actual receipt of the income. There may be no taxation of CFC or FIF income if the person is a transitional resident ([¶15-700](#)).

The non-resident with income from New Zealand may be able to rely on an applicable double tax agreement (DTA) to limit the imposition of New Zealand tax. For example, income from services performed in New Zealand may be relieved from income tax, and withholding as a schedular payment, in the absence of a permanent establishment maintained in New Zealand. The DTAs entered into by New Zealand are based on a model agreement developed by the Organisation for Economic Co-operation and Development (OECD).

When considering the taxation of offshore investments or income from overseas, the issues to be considered are:

- # the residence of the investor
- # the residence of the investment entity
- # the application of the "international tax rules", being the CFC rules and the FIF rules
- # the availability of foreign tax credits, and
- # the effect of double tax agreements.

To assist in the enforcement of New Zealand tax laws, there are numerous tax information exchange agreements with low tax jurisdictions providing for the exchange of information about taxpayers' financial affairs. New Zealand is also a signatory to the "Convention on Mutual Administrative Assistance in Tax Matters", a multilateral treaty providing for information exchange and tax collection assistance.

Residence

The concept of "residence" is central to the taxing of outbound investment and the international tax rules. There are specific residency tests for individuals ([¶11-120](#)) and companies ([¶11-140](#)).

Last reviewed on 31 December 2025

Recognition of overseas income with differing tax years [¶26-032]

[¶26-032]

[Click to open document in a browser](#)

New Zealand residents may elect to return certain overseas income in the New Zealand tax year in which the overseas balance date falls. The same rules that apply to determine the income year to which a New Zealand balance date relates apply to the overseas balance date. When an election is made, the date on which that foreign income is actually derived is ignored. The recognition rule is available to persons whose total overseas income does not exceed \$100,000.

The concession is not available for foreign-sourced income under the financial arrangements rules, or for dividends, attributed CFC income, FIF income or income derived from an attributing interest. Although expressly excluded, dividends derived by a non-corporate and income from financial arrangements may be returned on this basis if the Commissioner notifies the person that the election can apply.

When the end of the overseas income year is a later date than the person's New Zealand balance date, overseas income for the transitional period is ignored so that only 12 months' overseas income is returned in the year of changeover.

Example:

Ms YZ's New Zealand balance date is 31 March. She receives Australian income. Up to and including 2023, Australian income was also calculated to 31 March, ie it was apportioned for the purposes of her annual return of income.

In February 2024 Ms YZ decides to change the way in which her Australian income is returned and elects to apply the option available under s [EG 1](#) of the Income Tax Act 2007. The election is notified by filing her annual return. In consequence, the Australian income for the Australian tax year ending 30 June 2023 is returned in the 2023–24 New Zealand income year.

Note that s [EG 1](#) does not permit a taxpayer to take foreign income back to an earlier New Zealand income year. In the example above, Ms YZ could not elect to return the foreign income for the Australian year ending 30 June 2023 in the New Zealand income year ending 31 March 2023. The wording of s [EG 1](#) clearly contemplates a prospective election. Therefore, the allocation of foreign income, which would otherwise be apportioned in the absence of an s [EG 1](#) election and which would fall into the person's previous income year, can only be allocated to the following income year.

Law: IT07 s [EG 1](#)

Last reviewed on 31 December 2025

Currency conversion and exchange rates [¶26-035]

[¶26-035]

[Click to open document in a browser](#)

The general rule is that a foreign currency amount should be converted into the New Zealand dollar equivalent amount by applying the close of trading spot exchange rate on the date the foreign currency amount is to be recognised for income tax purposes. The exception is the class of case where the Commissioner or the Act permits conversion on the basis of the average of the close of trading spot exchange rates for the 15th day of each complete month that falls in the relevant period. The FIF rules, for example, authorise use of that alternative approach.

The Commissioner periodically publishes foreign currency exchange rates for certain currencies on the IR website at ird.govt.nz/managing-my-tax/overseas-currency-conversion-to-nz-dollars. The publication typically shows, for an income year, mid-month and 12-month average exchange rates as a Table A and month-end exchange rates as a Table B. The rates for current and previous income years, and a foreign currency converter, are also maintained on the IR website at ird.govt.nz.

Commissioner's Approval — currency conversions for branches

In 2015, the Commissioner released an Approval, "Income tax — currency conversions for branches". This item approves 6 alternative currency conversion methods and 4 foreign exchange rate sources for use by branches. A branch includes a foreign branch of a New Zealand entity's business or a New Zealand branch of a foreign entity's business. The item is intended to help reduce compliance costs and provide taxpayers with greater certainty by confirming existing practice. In the item, the Commissioner approves the following currency conversion methods for branches (subject to certain limitations and thresholds):

- # IFRS taxpayers may use the currency conversion method (and rates) adopted under IFRS.
- # Non-IFRS taxpayers may use:
 - # the average mid-month exchange rate method
 - # the average end-of-month exchange rate method
 - # the mid-month exchange rate method
 - # the end-of-month exchange rate method, or
 - # the monthly average exchange rate method.

The Commissioner also approves the following alternative foreign exchange rate sources for branches (subject to certain conditions):

- # The foreign exchange rates published on the IR website — www.ird.govt.nz/how-to/overseas-currency/.
- # The foreign exchange rates published on the Reserve Bank of New Zealand website — www.rbnz.govt.nz.
- # Foreign exchange rates from one of New Zealand's registered banks.
- # Any reputable externally-sourced exchange rate that is appropriate given the nature of the branch's business.

Commissioner's Approval – foreign residential rental property amounts

IR released an Approval for conversion methods and exchange rate sources for foreign residential rental property amounts: [FX 20/01](#). The Approval applies only to individuals who are New Zealand residents or non-resident trustees of certain trusts (ie a trust with a resident settlor, a superannuation fund, or a testamentary or inter vivos trust with a resident trustee and a settlor who died resident in New Zealand) who own foreign residential rental property. For these purposes, an individual includes:

- # an individual partner of a partnership that has an interest in a foreign rental property as a partner, and

an individual acting in their capacity as trustee.

The Approval provides for annual and monthly currency conversion methods for converting foreign currency amounts related to foreign residential rental properties to New Zealand dollars (subject to certain conditions and limitations). The Approval also approves the following exchange rate sources (subject to certain conditions):

- # the foreign exchange rates published on the IR website, and
- # the foreign exchange rates from another reputable source (eg exchange rates published on the Reserve Bank of New Zealand website or rates obtained from a registered bank).

Note that the Approval was released as one of 3 items that were jointly prepared and released by IR to address a range of tax issues a New Zealand tax resident individual may face if they own foreign residential rental property. See also:

- # [IS 20/06](#), “Income tax – Tax issues arising from ownership of foreign residential rental property”, and
- # [IS 20/07](#), “Income tax – Application of the financial arrangements rules to foreign currency loans used to finance foreign residential rental property”, at [¶15-232](#), [¶16-213](#) and [¶126-250](#).

Foreign exchange rate determination issued

IR issued foreign currency determination “[FX 21/01: Foreign exchange rates](#)” which approves foreign exchange rate sources that may be used by any person who is required to convert a foreign currency amount into NZ dollars for the purpose of determining their tax liability. The use of mid-month, end-of-month and rolling average currency conversion methods are also approved, where appropriate. The determination also explains how foreign exchange rates should be used to convert foreign currency amounts to NZ dollars.

Law: IT07 s [YF 1](#)

Last reviewed on 31 December 2025

Introduction to controlled foreign company (CFC) rules [¶26-038]

[¶26-038]

[Click to open document in a browser](#)

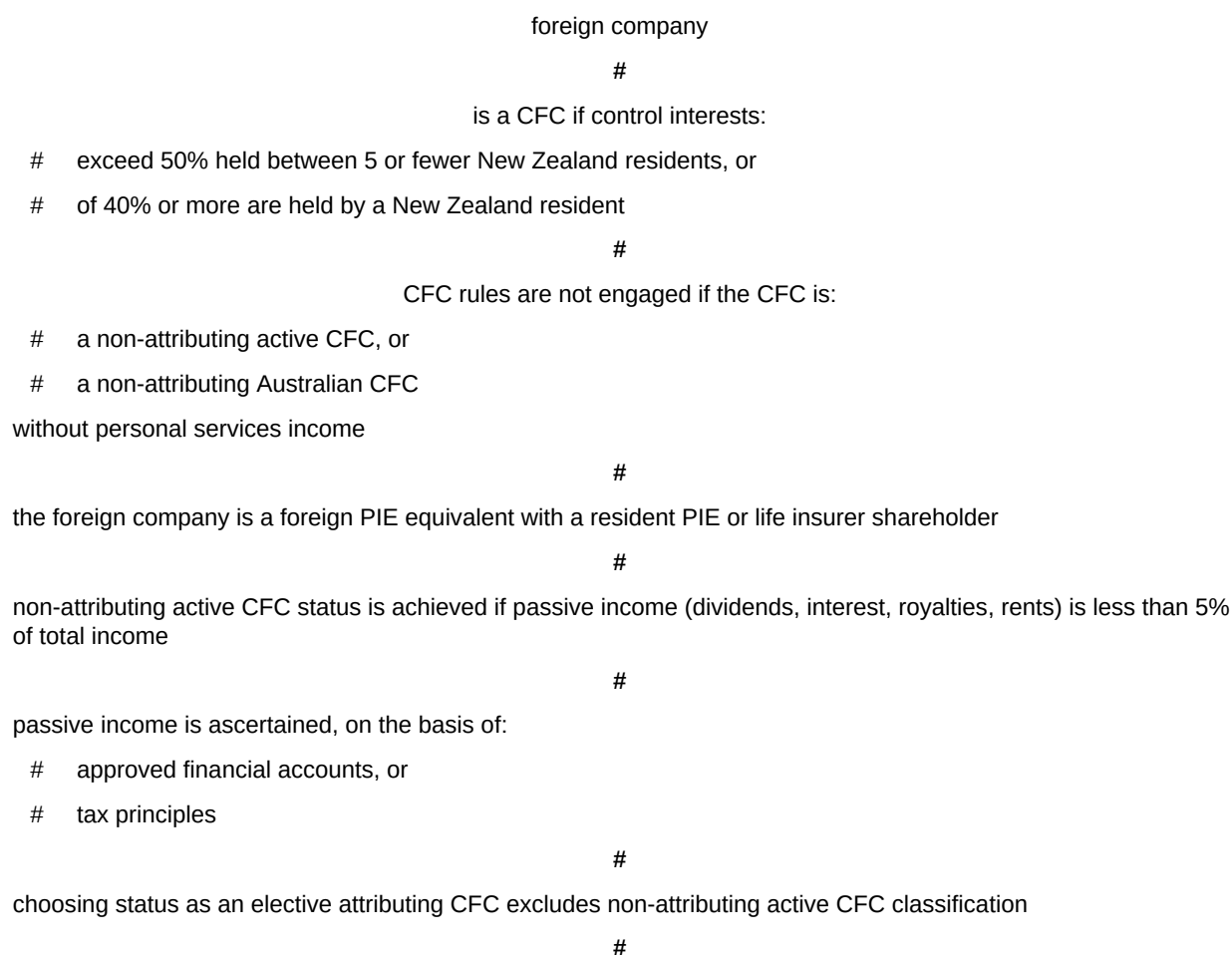
The CFC rules may impute income in the hands of a New Zealand resident investor even though the person has not actually derived the income. This occurs if the person has an ownership interest above prescribed levels in a non-resident company earning passive income in the form of interest, certain dividends, royalties and rents.

The CFC rules are supported by the thin capitalisation rules, which may prevent interest deductibility in New Zealand if the funding assists with the generation of active income that is not tax under the CFC rules ([¶26-620](#)).

If the ownership interest in the non-resident company does not exceed the prescribed thresholds, the investment may be subject to taxation under the FIF rules. The foreign investments of a portfolio investment entity (PIE) are always subject to taxation under the FIF rules ([¶26-110](#)).

CFC taxation

The main ingredients for the taxation of income under the CFC rules may be summarised diagrammatically as follows:



attribution is required for an income interest of 10% or more if the CFC is not a non-attributing active CFC

#

attributable CFC income or loss determined if passive income is 5% or more of total income with an adjustment if the CFC is excessively debt funded

#

non-attributing Australian CFC status is achieved under residence and full taxation in Australia

#

attributed CFC income or loss is commensurate with the shareholder's income interest

#

thin capitalisation rules may reduce interest deductibility if the New Zealand business is excessively geared.

Last reviewed on 31 December 2025

Attributed CFC income and attributed CFC loss [¶26-042]

[¶26-042]

[Click to open document in a browser](#)

Attributed CFC income

Income of a person includes attributed CFC income. A person (other than a portfolio investment entity) has attributed CFC income from a CFC if:

- # the income interest of the person in the CFC is 10% or more
- # the CFC has net attributable CFC income or the CFC gets a distribution from a non-complying trust
- # the CFC is not a non-attributing active CFC, there being no election to override that status by adoption of elective attributing CFC status, and
- # the CFC is not a non-attributing Australian CFC.

There is a qualification to the effect that there is attributed CFC income for a CFC's personal services income even though the CFC may be a non-attributing active CFC or a non-attributing Australian CFC. A shareholder with an income interest of at least 10% in a CFC deriving personal services income always has attributed CFC income.

A person also has attributed CFC income if the person has an attributing interest in a FIF, the person is using the attributable FIF income method to calculate FIF income, and the FIF receives a taxable distribution from a non-complying trust ([¶25-145](#)).

Attributed CFC loss

A person is allowed a deduction for an attributed CFC loss, subject to the jurisdictional ring-fencing rule in [DN 4](#) (which matches the deduction to income from the same jurisdiction and common status of an elective attributing CFC). A person (other than a portfolio investment entity) has an attributed CFC loss if:

- # the person's income interest in the CFC is 10% or more
- # the CFC has a net attributable CFC loss, and
- # the CFC is neither a non-attributing active CFC nor a non-attributing Australian CFC (unless the CFC is one of those kinds of CFC and earns personal services income).

The attributed CFC income or the attributed CFC loss arises if the CFC has the income or loss for its accounting period that ends during an income year. No attributed CFC income or attributed CFC loss arises if the person is a transitional resident ([¶15-700](#)).

The attributed CFC loss not allowed as a deduction because of the jurisdictional ring-fencing restriction becomes a tax loss component that may be carried forward and used in later income years, subject to the general shareholder continuity requirements. Alternatively, the excess may be offset against current or future net income of another group member, again subject to jurisdictional ring-fencing.

The tenor of the CFC rules is to create attributed CFC income or attributed CFC loss for passive income of the CFC commensurate with the investor's income interest in the CFC. No attributed CFC income or loss arises if the CFC conducts an active business, or if passive income of the CFC is less than 5% of total income. In addition, there is generally no attributed CFC income or loss for the passive income of a CFC resident in Australia. Exemption as a non-attributing active CFC may be overridden if the shareholder chooses elective attributing CFC status for the CFC.

Disclosure

A person with an income interest in a CFC of 10% or more must make electronic disclosure of the interest (s [61](#) of the TAA). A default assessment of attributed CFC income or loss is authorised by s [EX 72](#) where there is failure to disclose.

The Commissioner is authorised to grant exemptions from disclosure. Under s [61\(2\)](#) of the TAA, the Commissioner has issued an international tax disclosure exemption that applies for the income year ended 31 March 2025 entitled "[ITR36](#): 2025 International Tax Disclosure Exemption".

Failure to make disclosure or the making of any false disclosure is an offence under Pt [9](#) of the TAA ([¶14-250](#)).

Law: IT07 ss [CQ 1](#), [CQ 2](#), [DN 1](#), [DN 2](#), [EX 72](#), [EX 73](#), [IQ 2](#), [IQ 2B](#), [IQ 4](#); TAA s [61](#)

Last reviewed on 31 December 2025

Controlled foreign companies and control interests [¶26-050]

[¶26-050]

[Click to open document in a browser](#)

A foreign company is a CFC if control interests in the CFC exceed certain thresholds. If the company is a CFC, shareholders may have attributed CFC income or loss commensurate with income interests in the CFC. The topic of income interests is referred to further at [¶26-060](#).

When a foreign company is a CFC

A foreign company may be a CFC. A foreign company is a company that is not resident in New Zealand or is treated under a double tax agreement as not being resident in New Zealand. The notion of a company includes not only a body corporate but also a unit trust ([¶16-010](#)). An Australian limited partnership, although treated as a company under Australian tax law, is not a foreign company for New Zealand tax purposes.

A foreign company is classified as a CFC if at any time during an accounting period of the company:

- # there is a group of 5 or fewer New Zealand residents whose control interests in a company are over 50% in any one control interest category
- # a single New Zealand resident holds a control interest in the company of 40% or more unless, at that time, a person who is neither a New Zealand resident nor associated with the resident has a control interest of the same category that at least equals that of the New Zealand resident, or
- # a group of 5 or fewer New Zealand residents has the power to control the exercise of shareholder decision-making rights for the company and, as a result, to control the company's affairs.

If the foreign company would have been a CFC at any time in its accounting period, the company is treated as a CFC for the whole of the accounting period.

For the purpose of the international tax rules, when a resident company becomes a foreign company and then reverts to being a resident company again within a span of 183 days, it is treated as having been a New Zealand resident company for the whole period.

Control interests

Control interests are calculated by aggregating the direct and indirect control interests held by a person and by persons associated with that person ([¶16-245](#)).

There are 4 separate categories of rights in which a direct control interest in a foreign company can arise. These are shareholding in the foreign company, shareholder decision-making rights, entitlement to income and entitlement to net assets on distribution. It may be expected that in most cases the first category relating to shares in the foreign company will be the only relevant category of direct control interest. However, where more than one category exists for a company, then direct control interests in each category must be ascertained.

The direct control interest in each control interest category is the percentage of the total that the person holds. Note that when calculating the shareholder decision-making rights category, if the percentage varies between the different decision-making rights, the highest percentage is taken.

An indirect control interest arises where a person holds an interest in a CFC, which in turn holds a direct control interest in another foreign company. The CFC's direct control interest in the lower-tier foreign company is attributed to the person as an indirect control interest. An indirect control interest also includes a direct control interest held by an associated person of the first CFC in the underlying foreign company.

When 2 or more New Zealand residents enter into an arrangement whereby any control interests in a foreign company are held by other persons so as to prevent that company from being a CFC, those control interests are deemed to be held by the New Zealand residents in equal shares.

Control interests are measured on the last day of each calendar quarter. The control interest determined at that date is treated as having been held for the whole of the quarter. Alternatively, the investor may make an irrevocable election for control interests to be ascertained on a daily basis. The election would not be effective if the Commissioner considers that interests have been transferred between associates for the purpose of defeating the CFC or FIF rules.

A New Zealand resident is treated as associated with a non-resident relative only if the New Zealand resident holds a direct control interest or indirect control interest in the CFC.

Exception

A foreign company will not be a CFC if the foreign company is a “foreign PIE equivalent” and one of the New Zealand residents is:

- # a portfolio investment entity (PIE)
- # an entity eligible to be a PIE, or
- # a life insurance company.

See further at [¶29-111](#) and [¶29-112](#).

Law: IT07 ss [EX 1](#), [EX 2–EX 7](#), [EX 26](#), [GB 7](#), [YD 2\(2\)](#)

Last reviewed on 31 December 2025

Income interests in a CFC [¶26-060]

[¶26-060]

[Click to open document in a browser](#)

An income interest determines the net income or loss that is attributed to a person under the CFC rules. The income interest of a person in a CFC is defined as the aggregate of all direct and indirect income interests held in that company. Income interests are ultimately used to ascertain the foreign company income to be attributed to a New Zealand resident person. Calculation of these interests is based on the same 4 categories of rights held in foreign companies as are used to calculate control interests ([¶26-050](#)).

Direct income interest in company

The direct income interest of each category of right is the percentage of the total that the person holds in the company at that time. Where the percentage varies between the different categories, the person's direct income interest in the CFC is the highest.

A person with an income interest of less than 10% (when aggregated with the income interests of any associated persons) in a CFC is not subject to the CFC rules on that person's own interest. Instead that person may be subject to the FIF rules ([¶26-110](#)).

Indirect income interest

An indirect income interest arises when a person holds a direct income interest in a CFC that, in turn, holds a direct income interest in another CFC. The indirect income interests of any person are computed by multiplying the person's direct income interest in the first CFC by that CFC's direct income interest in the second CFC, and so on.

Income interests are generally determined on the last day of each calendar quarter with the interest thus ascertained attributed for the whole of the quarter. Alternatively, the investor may make an irrevocable election to enable income interests to be measured on a daily basis. The Commissioner is authorised to disregard the election if it was made for the purposes of defeating the CFC or FIF rules.

The circumstances giving rise to an income interest are more circumscribed than that for a control interest. This is because a person who is entitled to acquire a control interest in a foreign company does not always acquire an equivalent income interest. When a person's income interest in a CFC varies during any accounting period, the income interest of the person is calculated in relation to each period within that accounting period during which the income interest remained unchanged. The amounts are aggregated to give the income interest of the person throughout the relevant accounting period of the CFC.

Law: IT07 ss [EX 8–EX 11](#), [EX 14–EX 17](#), [EX 26](#)

Last reviewed on 31 December 2025

Attributed CFC income or loss — exclusions [¶26-062]

[¶26-062]

[Click to open document in a browser](#)

A person with an income interest in a CFC of at least 10% has attributed CFC income or an attributed CFC loss, which is found by multiplying the net attributable CFC income or loss of the CFC for an accounting period by the person's income interest. Added to the attributed CFC income is the share based on the person's income interest of any taxable distribution received by the CFC from a non-complying trust. An attributed CFC loss is reduced if the person does not suffer a corresponding economic loss, whether because of a call option, a put option or any other reason.

No attributed CFC income or attributed CFC loss arises if the CFC is:

- # a non-attributing active CFC, the CFC not being an elective attributing CFC instead, or
- # a non-attributing Australian CFC

and the CFC does not earn personal services income.

Non-attributing active CFC

A non-attributing active CFC is a CFC whose passive income (ie its attributable income) is less than 5% of gross income for the CFC's accounting period. This exclusion is commonly referred to as "the active business test" or "active income exemption". The test for the existence of a non-attributing active CFC is applied under s [EX 21B](#) using either:

- # the tax-based default test in s [EX 21D](#), involving the determination of gross income and passive income using income tax principles, or
- # the optional accounting-based test in s [EX 21E](#) if that test is available to the company, involving the use of approved financial accounts as identified in s [EX 21C](#).

Accounting-based test

The accounting-based approach may be adopted only if one of the accounting standards permitted under s [EX 21C](#) is used and the accounts of the CFC have been audited by an independent auditor who has given an unqualified opinion on the accounts. The relevant accounting standards prescribed by s [EX 21C](#) are:

- # generally accepted accounting practice (GAAP) with IFRS
- # IFRSEs (international financial reporting standards), and
- # GAAP without IFRS for persons not required to use IFRS.

In testing whether non-attributing active CFC status applies, CFCs in the same jurisdiction may be consolidated, effectively treating the group as a single CFC. This is provided that the applicable accounting standard requires all the accounts to be consolidated together, the CFCs share the same functional currency and the taxpayer (or companies in the same wholly-owned group of companies) holds an income interest of more than 50% in each CFC.

All CFCs in the group are non-attributing active CFCs if that is the outcome of the tests applied to the group as a whole. An adjustment must be made to exclude all amounts referable to a minority interest if the CFC is not wholly-owned by the taxpayer.

The functional currency as prescribed by the applicable accounting standard is to be adopted when determining status as a non-attributing active CFC. This treatment also applies if CFCs are consolidated for the purposes of the test. When the determination is made on the basis of consolidated accounts that include the accounts of the CFC, all amounts expressed in the functional currency of the CFC must be converted to the presentation currency of the consolidated accounts by use of an average exchange rate for the accounting period and not by following the method prescribed by the governing accounting standard.

In broad terms, the test in s [EX 21E](#) is a fraction comparing passive income with reported income. A non-attributing active CFC is a CFC whose ratio of attributable income to total income is less than 5% where total income is greater than zero. Attributable income is the numerator and total income is the denominator under the formula expressed as:

$$\frac{(\text{reported passive} + \text{added passive} - \text{removed passive})}{(\text{reported revenue} + \text{added revenue} - \text{removed revenue})}$$

where:

reported passive is income from dividends, royalties, rent, leases, interest, a gain/loss from a financial asset or a derivative instrument, a foreign exchange gain/loss from a financial asset or financial liability and insurance profits together with supporting investment income

added passive is the total of amounts not included in reported passive that are life insurance policy proceeds, revenue account property disposal income, New Zealand personal services income, telecommunication services income and attributed PIE income that is not excluded income

removed passive is zero if the interest holder so chooses or the total of certain dividends, royalties, rents, gains/losses from a financial asset or financial liability and revenue account property income not included in the attributable CFC amount that have already been included in **reported** or **added passive**

reported revenue is revenue included under the applicable accounting standard, income from rent and leases, the gain/loss from financial assets and derivative instruments, a foreign exchange gain/loss from a financial asset or financial liability and insurance profits

added revenue is zero if the interest holder chooses or the total of amounts that are not **reported revenue** and are life insurance policy proceeds or certain revenue account property disposal income, and

removed revenue is the total of amounts already included in reported or added revenue that fall within certain categories of revenue account property costs, dividends, personal services income that is attributed CFC income, gain/loss from shares that are not revenue account property, income derived from a fixed establishment that is not an attributable CFC amount, income from another CFC that could be part of a CFC test group, income from the reduction of a provision and income from an asset that is neither revenue account property nor a financial asset.

One feature of the formula is to eliminate double-counting and ensure the double-elimination of particular items. The calculation endeavours to specify that attributable income is a reasonable approximation to the attributable income that would be calculated under taxation principles without requiring excessive adjustments to items in the financial accounts.

Where the formula gives a negative numerator, it is treated as being zero.

The tests for non-attributing active CFC status are supported by avoidance provisions addressing supplies for the purpose of increasing the tax measure of total income (s [GB 15B](#)) and arrangements having the purpose of achieving CFC status under the accounting measure of income (s [GB 15C](#)). See further at [133-144](#).

A person, or a member of their group, who only holds an income interest in a CFC for part of an accounting period is able to use accounts that cover that part-period to calculate whether the CFC passes the active business test under the accounting standards test.

Tax-based default test

The tax-based test set out in s [EX 21D](#) requires ascertaining the attributed CFC amount of the CFC (see below). Essentially, if passive income of a CFC calculated under income tax principles is less than 5% for the relevant accounting period, the CFC is a non-attributing active CFC. The formula for this test is:

$$\frac{(\text{attributable} - \text{attributable adjustments})}{(\text{gross} - \text{gross adjustments})}$$

where:

attributable is the attributable CFC amount (ie the passive income) for the period

attributable adjustments is the total of amounts included within attributable that the interest holder may choose to treat as attributable adjustments being certain income derived from the supply of personal services and the cost of certain revenue account property

gross is the annual gross income for the accounting period, excluding attributed income from foreign equity, and

gross adjustments is the total of the attributable adjustments, expenditure or loss used when calculating the attributable CFC amount, income derived from a fixed establishment that is not an attributable CFC amount, and income derived from a company in the same jurisdiction that uses the same currency and in which the interest holder has an interest of 50% or more.

When making the determination, CFCs resident in the same jurisdiction may be consolidated if the taxpayer (or companies in the same wholly-owned group of companies) holds income interests exceeding 50% in the CFCs. Uniform accounting policies for like transactions must have been adopted throughout the group and intra-group transactions and balances must be eliminated. An adjustment must also be made to exclude income that is attributable to any minority interest in the CFC. The determination of non-attributing active CFC status is undertaken in the functional currency of the CFC and, once selected, the functional currency may be changed only upon notification to the Commissioner.

Companies that are part of wholly-owned groups may form test groups that include any interest in a CFC held by a member of the wholly-owned group. The same-jurisdiction rule continues to apply. Wholly-owned groups of companies are not able to form overlapping test groups by including any one CFC in multiple different test groups. In addition, a CFC that has an offshore branch is able to be a member of a test group subject to certain safeguards.

From 1 April 2016, s [GB 15BA](#) provides that the Commissioner may treat an election to include or not to include a particular CFC in a test group as reversed if the person has entered into an arrangement to reduce the amount of net attributable CFC income or increase the amount of net attributable CFC losses.

In addition, taxpayers who acquire or dispose of groups of foreign companies during the year may access the test grouping concession in that year for those companies.

Insurers

An insurer that is registered and rated can apply to the Commissioner for a determination that a CFC is a non-attributing active CFC. To receive a favourable determination the main business of the CFC must relate to insurance, determined on the basis of whether most of the income of the CFC is generated from insurance premiums and proceeds from investment assets having a value commensurate with the insurance contracts of the business. Before 1 April 2017, the CFC's insurance business had to have been in existence before 30 June 2009. To allow overseas businesses acquired after 30 June 2009 to qualify for a determination, this requirement was removed from 1 April 2017.

Non-attributing Australian CFC

A non-attributing Australian CFC is a CFC resident in Australia and subject to income tax in Australia without the benefit of any exemption for business profits derived from outside Australia or for offshore banking units. The CFC must also be treated as resident in Australia by all Australian double tax agreements.

A non-attributing Australian CFC does not generate attributed CFC income or loss, although that feature does not preclude the possibility of the investment yielding FIF income or loss. The exception is if the Australian CFC derives personal services income, which is always attributable under the CFC rules.

Only those Australian unit trusts that are taxed as companies under Australian law or whose units are owned by an Australian resident entity and taxed as a company or treated as part of the head company of a consolidated group are included within the exemption for non-attributing Australian CFCs.

Elective attributing CFC

Elective attributing CFC status may be chosen by a shareholder who has an income interest of 10% or more in the relevant CFC. The election is available for a CFC that would otherwise be a non-attributing active CFC but may not be made for a non-attributing Australian CFC or a CFC in the business of banking or insurance. Attributable CFC income follows on from the election so that the election may be worthwhile only where to do so leads to a comparatively favourable outcome such as the ability to deduct a greater range of expenditure for the current or a future period.

Elective attributing CFC status is generally effective as from the start of the income year following the year in which the election was made. The Commissioner has a discretion to accept a retrospective election.

The election may be revoked if the Commissioner accepts the revocation because it is extremely unlikely that there will be future attributable CFC income and there is no purpose or effect to reduce a tax liability. The election expires automatically if the income interest in the CFC reduces below 10%.

Attributable CFC amount

The attributable CFC amount determined under s [EX 20B](#) enables calculation of the passive income of a CFC for a taxpayer who adopts the tax-based test for ascertaining possible classification as a non-attributing active CFC. In addition, if the attributable CFC amount results in a failure to achieve non-attributing active CFC classification, the attributable CFC amount becomes attributable CFC income or loss.

The attributable CFC amount is calculated under the formula in s [EX 20B](#) using the rules set out in s [EX 21](#), which make appropriate modifications to the general principles of the Act for ascertaining taxable income.

The attributable CFC amount for an accounting period of the CFC includes the following categories of income:

- # dividends from a portfolio direct income interest in a foreign company not resident in Australia and excluded from the FIF rules
- # dividends from a New Zealand company to the extent they are not fully imputed
- # an amount, not being a distribution from an associated non-attributing active CFC, that is:
 - # distributions for fixed-rate foreign equity, or
 - # deductible foreign equity distributions (from 1 April 2023 distributions of this sort are excluded if they are funded directly or indirectly from an income interest in a FIF where the FIF income or loss is separately accounted for under a calculation method prescribed by s [EX 59](#))
 - # deductible foreign equity distributions or distributions for fixed-rate foreign equity that is not a distribution from an associated non-attributing active CFC
 - # royalties, with certain exceptions (in broad terms, third-party active royalties, related party active royalties, same jurisdiction active royalties and royalties from property owned by a New Zealand resident)
 - # rent, with certain limited exceptions
 - # income from an insurance business or from being an insurer (in the absence of an exclusion under a determination)
 - # income from a life insurance policy, with the exception of a policy subject to the FIF rules
 - # personal services income generated from services provided by an associate who is a New Zealand resident and that are not essential services for products of the CFC, provided certain thresholds are met
 - # income from share dealing and share options on revenue account with the exception of shares generating FIF income in the period of disposal under the fair dividend rate method, the cost method, the comparative value method or the deemed rate of return method
 - # income from the disposal of certain other revenue account property
 - # income from services physically performed in New Zealand
 - # income from the CFC's telecommunication assets located outside a country and telecommunication services physically performed in New Zealand (unless the CFC is a network operator)
 - # attributed PIE income that is not excluded income

- # dividends from a direct income interest of 10% or more in an Australian company that is not an attributing interest under the FIF rules
- # income from a financial arrangement or short-term agreement for sale and purchase that the CFC has elected to treat as a financial arrangement that is not a derivative instrument, a loan to an associated non-attributing active CFC, or an agreement for the sale or purchase of property or services or a hire purchase agreement entered in the ordinary course of business by the CFC or for property or services produced or used by the CFC in business, and
- # income from derivative instruments held by the CFC for the purpose of dealing, or which are entered outside the ordinary course of its business, and derivative instruments to the extent that the income is from a hedging instrument for attributable income of the CFC or for a transaction producing attributable income.

The amount of apportioned funding income is deducted from the above income. Apportioned funding income takes account of amounts already included that relate to a financial arrangement that provides funds for the CFC and for which there is no reasonable expectation that the CFC will derive more income than deductions from the financial arrangement. This captures income such as unexpected exchange gains from loans raised by the CFC with the removal of any effects if there is on-lending to an associated CFC together with a deduction to the extent that the loan finances active assets. If the CFC carries on the business of banking or insurance, or is controlled by an entity carrying on such a business, the apportioned funding income of the CFC will be zero.

Net attributable CFC income or loss

Net attributable CFC income or loss is calculated in accordance with s [EX 20C](#). From the attributable CFC income the following are deducted:

- # apportioned funding costs: expenditure incurred under financial arrangements that provide funds to the CFC and distributions on fixed-rate foreign equity and deductible foreign equity to a New Zealand resident company (from 1 April 2023 an exclusion applies to distributions from a FIF when the FIF income is separately accounted for under a method prescribed by s [EX 59](#)), and
- # other deductions: other outgoings incurred to derive an attributable CFC amount.

The rules mirror the effect of the prepayment rules in s [EA 3](#), so that taxpayers are not able to make a full claim in the year payment is made for expenses that relate to goods or services that will be used over more than one year.

Apportioned funding costs are reduced if the CFC is excessively debt-funded. Excessive debt funding for the CFC exists where the CFC's debt:asset ratio is more than 0.75 and the CFC's relative debt:asset ratio exceeds 1.10, as calculated under ss [EX 20D](#) and [EX 20E](#).

The Commissioner is authorised to make an assessment of attributed CFC income or loss in the absence of sufficient information held by the New Zealand investor or disclosure of the income interest in the CFC: s [EX 72](#).

Law: IT07 ss [EX 18A–EX 22](#), [EX 72](#), [EX 73](#), [GB 15B](#), [GB 15C](#); TAA s [91AAQ](#)

Last reviewed on 31 December 2025

Foreign tax credits against attributed CFC income [¶26-085]

[¶26-085]

[Click to open document in a browser](#)

A person with attributed CFC income is allowed a tax credit for tax paid or payable in relation to the income. The tax credit extends to withholding taxes and tax paid in New Zealand. The amount of the person's tax credit is that proportion of the tax paid that is commensurate with the income interest held in the CFC. The tax credit must be reduced or repaid if the tax paid is refunded.

Foreign tax paid must be converted into the New Zealand dollar equivalent amount by use of the close of trading spot exchange rate on the day the tax is paid or becomes payable or by the average of close of trading spot exchange rates for the 15th day of each complete month in the period giving rise to the attributed CFC income.

An unused tax credit may be carried forward for use as a credit against income tax on future attributed CFC income from the same jurisdiction, subject to the same shareholder continuity requirement applicable to a company carrying forward a tax loss component. The benefit of the tax credit may also be passed to another group company with attributed CFC income from the same jurisdiction.

A foreign tax credit is available for foreign income tax paid in relation to a CFC from which attributable income is derived when the foreign income tax has been paid by the taxpayer's parent or a member of the taxpayer's group.

Law: IT07 ss [LK 1](#)–[LK 6](#)

Last reviewed on 31 December 2025

Introduction to foreign investment fund (FIF) rules [¶26-110]

[¶26-110]

[Click to open document in a browser](#)

#Note: the Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes an amendment to clarify that short selling foreign shares would be treated in a similar way to short selling New Zealand shares. That is the gain/loss from the short selling arrangement would generally be fully taxable/deductible under ordinary revenue account property rules rather than being subject to the foreign investment fund (FIF) rules.

Investment in a FIF may result in income being imputed despite the absence of any receipt from the investment, such as dividends.

Categories of FIF interests

The main category of FIF interest comprises shares in a foreign company, although similarly classified is an interest in a foreign superannuation scheme, foreign life insurance policy and an entity listed in [Sch 25 pt A](#) (currently no entities are listed). From 1 April 2014, in general, an interest in a foreign superannuation scheme is no longer an attributing interest subject to the FIF rules. Taxation applies to distributions when received ([¶5-317](#)). However, an interest in a foreign superannuation scheme is still subject to the FIF rules where either the person had applied the FIF rules to the interest in a return filed before 20 May 2013 and continues to apply those rules, or the interest was acquired when the person was resident in New Zealand. Such interests are referred to as “FIF superannuation interests” from 1 April 2014 ([¶26-125](#)).

An exemption may apply to exclude taxation of FIF income under the FIF rules (see [¶26-125](#) for commentary on the various exemptions). Upon the application of an exemption general tax rules apply so that income includes any dividends derived and gains from disposal of FIF interests held on revenue account.

In 2024, IR released [IS 24/10](#), “Income tax — share investments”, which provides guidance for New Zealand resident individuals who invest in shares and who may have a tax liability for dividends, share sales and attributing interests in FIFs. Part 2 of the statement discusses the application of the FIF rules to share investments specifically. The statement is accompanied by fact sheet [IS 24/10 FS 1](#), “Income tax — share investments (whether the FIF rules apply)”. In short, the statement states:

- # individual investors are subject to the FIF rules if they hold foreign shares and other attributing interests that, when added together, cost the investor more than \$50,000 to buy
- # the FIF rules do not apply to transitional residents
- # investors subject to the FIF rules must apply the FIF rules and not the ordinary rules relating to share investments in relation to their attributing interests. If some of those interests are exempt from the FIF rules, then the ordinary rules will apply ([¶5-213](#)).

Calculation methods

One of 5 prescribed calculation methods is applied to ascertain FIF income or loss for the income year, with restrictions constraining the calculation method that may be adopted. The calculation methods are the fair dividend rate method (FDR), the comparative value method (CV), the cost method, the deemed rate of return method and the attributable FIF income method (see [¶26-130](#) for commentary on these methods).

Taxation under the FIF rules is generally the only taxation applied to the investment. Dividends and gains on disposal are not separately taxed ([¶26-130](#)).

Disclosure

Disclosure to the Commissioner of a FIF interest may be required under s [61](#) of the TAA.

The Commissioner is authorised to grant exemptions from disclosure. Under s [61\(2\)](#) of the TAA, the Commissioner has issued an international tax disclosure exemption that applies for the income year ended 31 March 2025 entitled “[ITR36](#): 2025 International Tax Disclosure Exemption”.

Failure to make disclosure or the making of any false disclosure is an offence under Pt [9](#) of the TAA ([¶14-250](#)). Failure to disclose may also result in a default assessment under s [EX 72](#).

Law: IT07 ss [CQ 4](#), [CQ 5](#), [EX 72](#); TAA s [61](#)

Last reviewed on 31 December 2025

Exemptions from FIF rules [¶26-125]

[¶26-125]

[Click to open document in a browser](#)

An exemption may apply to exclude an investment from taxation under the FIF rules. Following application of the exemption, general tax rules apply so that income includes any dividends derived from the FIF and gains from the disposal of a FIF interest held on revenue account.

Natural person \$50,000 threshold

A natural person is exempt from the FIF rules if the total cost of all FIF interests is not more than \$50,000. The threshold is applied to FIF interests so that, for example, exempt ASX-listed shareholdings (see below) are not taken into account in application of the threshold. There may be a year's grace to start of application of the FIF rules if the \$50,000 threshold is exceeded by purchases after the start of the income year (because there would be insufficient FIF interests at the start of the income year for the purposes of the fair dividend rate method and the cost method). If the threshold is exceeded the FIF rules apply to all FIFs and not just the excess over the threshold. This exemption also applies to certain trusts (s [CQ 5\(5\)](#) and [¶25-145](#)).

The exemption can be disregarded by the taxpayer filing a tax return on the basis that the FIF rules apply (despite attributing FIF interests costing \$50,000 or less). Once voluntary application is chosen the FIF rules must continue to be applied unless for each of the previous four income years the \$50,000 exemption would have otherwise applied.

Example:

Jane has less than \$50,000 of attributed interests in FIFs in 2012 but chooses to include FIF income in her 2012 tax return. She sells all her attributing interests in FIFs in 2012 and holds no attributing interests in FIFs in each of the four years 2013–2016. In 2017 she purchases some attributing interests in FIFs. These new FIF interests have a cost of less than \$50,000.

Because Jane had no attributing interests in FIFs for each of the previous four years, she can choose whether or not to include the FIF income in her 2017 tax return. If she does not apply the FIF rules, Jane will instead be taxed on any foreign dividends or disposal of foreign shares that are held on revenue account (consistent with the way New Zealand shares are taxed).

Example from *Tax Information Bulletin* [¶246-103 Vol 24, No 6](#), July 2012 at 19.

Exemption for shares in ASX-listed Australian companies

There is an exemption from the FIF rules for shares (other than stapled stock) held in an Australian company. The exclusion applies where that company is, at all times in the income year when the person holds a right in the company:

- # resident in Australia (and not treated under a double tax agreement (or its equivalent) as being resident in a country other than Australia)
- # not specified in [Sch 25 pt B](#) (currently there are no entities specified in this Schedule), and
- # required to maintain an Australian franking account.

In addition, the company must have its shares listed on the Australian Stock Exchange (ASX) at the beginning of the income year, or when the shares are acquired (if acquired after the start of the tax year) or at the beginning of the last month of the prior year if a scheme of arrangement applies to the shares.

Australian unit trust exemption

There is an exemption for interests held in certain Australian unit trusts. To qualify for this exemption, the unit trust must meet a 25% minimum turnover requirement or satisfy a 70% minimum distribution test, and the investors must elect to use the resident withholding tax proxy mechanism for their investment in the entity.

Australian superannuation fund exemption

An exemption from the FIF rules exists for an interest in an Australian superannuation scheme that meets certain criteria. Generally, to fall within the exemption, the scheme has to be subject to strict preservation rules whereby the benefits are locked in until the member reaches retirement age. This exemption is expected to be wide enough to include those schemes that received compulsory employment superannuation contributions under Australia's guarantee scheme.

Controlled foreign company (CFC) rules exemption

An attributing interest in a FIF does not include an income interest of 10% or more in a CFC ([¶126-042](#)).

Australian resident FIF interest of 10% or more

There is an exemption for an attributing interest of 10% or more in a FIF resident and subject to tax in Australia where the taxpayer is not a PIE, superannuation scheme, unit trust, life insurer or group investment fund. In addition, the FIF must not be subject to an exemption for offshore business income or a special allowance, relief or exemption for offshore banking units.

Australian Unit Trusts that are not taxed as companies under Australian law are excluded from the exemption for interests in FIFs resident in Australia. Note that the test only applies to the period of the year that the taxpayer holds an interest in the FIF to ensure a taxpayer does not fall outside the exemption because they have an interest of 10% or more for only part of the year.

An amendment in 2024 expanded access to the attributable FIF income method in periods where a person acquires or disposes of a FIF interest. The relevant period for the 10% income interest test is changed to the period of ownership within the accounting period, rather than the entire accounting period.

Direct investment in grey list companies exemption

The following interests in a FIF are exempt from the FIF rules:

- # Shares in a grey list company (see below) that has migrated out of New Zealand but that has retained a significant presence in New Zealand through a fixed establishment (by incurring at least \$1 million, or 25%, of its expenditure (other than interest) in New Zealand and engaging 10 or more full-time employees or at least 25% of the total number of employees of the company). To be eligible for the exemption the investor must have held shares at all times in the company since it was an unlisted New Zealand company. This exemption is available for 10 years from the date the unlisted company left New Zealand and became a grey list company.

- # Shares in a grey list company that has taken over a New Zealand company and that New Zealand company continues to have significant presence in New Zealand. To be eligible for the exemption, the investor must have acquired the shares when the company was unlisted. This exemption is available for 10 years from the date the grey list company acquired more than 50% of the New Zealand company.

- # Shares (or an option to buy shares) in a grey list company first acquired by a person under a venture investment agreement at the same time and on the same terms as when the Venture Investment Fund acquired shares in the FIF.

- # Shares in a grey list company held by a natural person under an employee share scheme where there are restrictions on the ability of the investor to sell the shares. The exemption only applies if at the beginning of the year the restriction period has not expired or has been expired for less than 6 months.

- # From 29 September 2018, shares acquired under an employee share scheme where, at the beginning of the year, the share scheme taxing date has not passed.

A grey list company is a company resident in a country listed in Sch [24](#), Pt [A](#) (Australia, Canada, Spain, Norway, Germany, Japan, the United Kingdom and the United States).

Foreign exchange control exemption

There is an exemption from the FIF rules for an interest held by a natural person in a foreign entity located in a country where exchange controls prevent the person from deriving any income in New Zealand currency or realising the investment for New Zealand currency (or a currency that can be easily converted to New Zealand currency). This exemption is available where the interest was acquired:

- # before the holder first became a New Zealand resident
- # before the exchange controls were imposed by the country in which the foreign entity is located, or
- # before 2 July 1992.

Foreign superannuation schemes or life insurance policies

Section [EX 42B](#) provides that a person's right to benefit from a foreign superannuation scheme as a beneficiary or a member is not an attributing interest in the scheme if the right is not a FIF superannuation interest for the person. Thus, in most cases, an interest in a foreign superannuation scheme is not subject to the FIF rules, provided that interest was acquired when the person was non-resident.

A "FIF superannuation interest" is an interest in a foreign superannuation scheme as a beneficiary or a member where either the person has applied the FIF rules to the interest in a return filed before 20 May 2013 and continues to apply those rules, or the interest was acquired when the person was resident in New Zealand. FIF superannuation interests remain subject to the FIF rules.

Section [EX 41](#) provides an exemption for an interest in a FIF superannuation interest or a foreign life insurance policy acquired and held by a natural person who is a non-resident or a transitional resident ([¶15-700](#)).

Pension and annuity exemption

There is also a FIF exemption for certain foreign private pensions and annuities derived from an interest in a policy that the person has provided consideration for when:

- # the person was not resident in New Zealand
- # the person was resident in New Zealand but in the period ending three years after the end of the income year in which the person last became a New Zealand resident, or
- # the person was resident in New Zealand but the consideration was provided as a result of commuting or transferring the person's interest in a superannuation fund in anticipation of the person ceasing to be a New Zealand resident. (See the Appendix to *Tax Information Bulletin* [¶85-115 Vol 8, No 5](#), September 1996 and *Tax Information Bulletin* [¶132-111 Vol 13, No 2](#), February 2001 at 38.)

Also, the person's future benefits under the pension or annuity must not be able to be assigned or exchanged for a current receipt of cash or other property. An exception applies for an assignment to a spouse under a relationship agreement or an assignment at the cost of a substantial decrease in the present value of the benefits.

Death benefit amounts

Another provision that effectively operates as an exemption is s [EX 45](#). No FIF income arises in relation to a death benefit under a life insurance policy where:

- # the person entered into a life insurance contract:
 - # before becoming resident in New Zealand
 - # in the case of a former resident returning to New Zealand, at least 10 years before returning to New Zealand, and
 - # the benefit was not increased by a voluntary action after the person became a resident, or

the person entered into a life insurance contract before 2 July 1992 and the benefits did not increase as a result of any voluntary action taken on or after 2 July 1992.

Law: IT07 ss [CQ 5\(1\)\(c\)](#), [\(5\)](#), [EX 31–EX 43](#), [EX 45](#)

Last reviewed on 31 December 2025

Calculation methods of FIF income or loss [¶26-130]

[¶26-130]

[Click to open document in a browser](#)

Note: [The Taxation \(Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures\) Bill](#) proposes a new revenue account method (RAM) for calculating FIF income which would tax eligible FIF interests on a realisation basis, i.e. dividends derived and 70% of gains or losses. The proposal would allow a taxpayer to apply the RAM to qualifying foreign shares when the taxpayer became a New Zealand resident and was not a transitional resident on or after 1 April 2024 and was a New Zealand non-resident for at least 5 years before becoming resident. The proposal would take effect retrospectively from 1 April 2025.

FIF income or loss from an investment in a FIF is to be calculated according to one of the 5 calculation methods including the FDR method, the CV method, the cost method, the deemed rate of return method or the attributable FIF income method.

Restrictions may apply to limit the adoption of some of the calculation methods. These are referred to below, as part of the outline of each calculation method. A calculation method is adopted by its application in completion of the year's return of income. A common method is to be applied to all interests in the same FIF unless the calculation method is not permitted for a particular FIF interest. Where a calculation method is not chosen, the fair dividend rate method is the default method if it is practical to use it and not prohibited for the FIF interest, otherwise the cost method is applied. A change between calculation methods is possible but it may result in a deemed disposal and reacquisition of the FIF interest ([¶26-135](#)). The cost or market value of a FIF interest is determined in accordance with the rules set out at [¶26-140](#).

FIF income or loss arises for FIFs held by a CFC that are not taken into account in calculating the net attributable CFC income or loss of the CFC. This is for the New Zealand investor who has an income interest of 10% or more in the CFC. The recognition of FIF income or loss does not apply if the CFC is a life insurer and its policyholders are actuarially attributed with the income of the FIF.

IR has reissued a "questions we've been asked" (QWBA), item clarifying whether a natural person or eligible trustee investor has a choice of calculation methods if they have failed to declare FIF income in a return and later make a voluntary disclosure or failed to file the tax return on time. See [QB 23/10](#), "Foreign investment fund (FIF) default calculation method in cases of non-compliance", December 2023. In this revised item the Commissioner now accepts that taxpayers have a choice of methods to calculate FIF income even if they fail to declare the income in a tax return and later file a voluntary disclosure, or fail to file a tax return by the due date and later provide one including the FIF income.

This issue is of particular relevance for natural persons and eligible trustees as this group of investors generally have a choice between the FDR and CV methods.

It also explains what happens if a person does not file a return and the Commissioner issues a default assessment. The default method of applying the FDR method is generally used to calculate the person's tax position. A number of examples are included in [QB 23/10](#) for illustration purposes.

Fair dividend rate method

Under the FDR method, FIF income is 5% of the market value of the FIF interest at the start of a tax year. The FDR method is the default method used to ascertain FIF income or loss, provided it is practical to use it and it is not prohibited for the particular FIF interest. For shares in a foreign company the FDR method is not applied when:

- # it is not practical to do so because market value at the start of the income year can only be obtained by independent valuation (if so, the cost method becomes applicable)
- # the share is a non-ordinary share (one with a guaranteed return), or
- # another available calculation method is chosen.

Since the FDR method applies to FIF interests held on 1 April, it does not create FIF income for FIF interests purchased during the income year (unless the purchase becomes a “quick sale” FIF).

The FDR method also recognises “quick sale” FIF interests, ie FIF interests that are purchased and sold within the income year. The FDR method creates FIF income for 5% of the lesser of the cost of the quick sale FIF interest or the gain realised from the purchase and sale, with an ability to use average cost if a share reorganisation occurs during the holding period.

An investor who is a natural person or the trustee of a family trust is able to readily change from year-to-year between the FDR method and the comparative value method. The change must be for all FIF interests and not just those FIF interests giving rise to lesser FIF income under the comparative value method.

Several determinations have been issued by the Commissioner stating whether the fair dividend rate method may, or may not, be applied to particular FIFs. See, for example, Determination [FDR 2014/02](#), made on 11 March 2014, which allows certain portfolio investment entity funds managed by New Zealand Funds Management Limited to use the FDR method to calculate foreign investment fund income from Civic Capital Currency Offshore Fund Limited for the 2014 and subsequent income years.

The provisions setting out the fair dividend rate method differ according to the classification of the investor. Section [EX 52A](#) specifies when the different methods are to be used. The annual method for the fair dividend rate method is set out in s [EX 52](#). The periodic method for a unit valuer or another person who chooses to value an attributing interest on a daily basis is found in s [EX 53](#). A unit valuer is a unit trust or other entity that makes investments for the benefit of investors, assigns an interest in net returns to the investors and determines the value of investors’ interests for a number of unit valuation periods during the course of the income year.

Taxpayers can change between the annual and periodic FDR methods in calculating income from offshore investments no more than once every four years for each FIF interest.

Foreign currency hedges

Subpart [EM](#) provides for a tax calculation method for certain foreign currency hedges entered into for assets taxed under the fair dividend rate method or Australian Stock Exchange listed shares that are not subject to the FIF rules provided the sale of those shares would not be taxable. The rule is optional and eligible taxpayers are able to elect what hedges it will apply to and to what extent it will apply for each hedge (subject to maximums). The general result is that a reduction in value of the investment is able to be consolidated with the corresponding increase in value of the hedge so as to give a tax neutral result. The rule applies only to widely held entities, as such entities generally have muted incentives to take aggressive tax positions, investment mandates and other documentation that disclose investment strategies.

In addition, section [EM 5B](#) introduces a new method for calculating FDR hedge portions for eligible hedges on a portfolio basis.

From 1 April 2022, amendments to subpart [EM](#) improve the functionality of the rules from a practical perspective and aim to reduce compliance costs for investors with large numbers of hedges (*Tax Information Bulletin* [1345-101 Vol 34, No 5](#), June 2022 at 20).

Investments in Australian unit trusts

Australian unit trusts are an investment vehicle popular in Australia. In Australia they are treated as trusts under Australian tax law, however they are considered companies under New Zealand tax law. Income rights are divided amongst the beneficiaries based on the number of units that have been issued to them, and income distribution is not subject to trustee discretion. Generally, the FIF rules apply to portfolio interests of less than 10%, while the CFC rules generally apply to companies in which 5 or fewer New Zealand tax residents hold more than 50% of the shareholding. If a New Zealand resident holds 10% or more in an Australian unit trust, they could not apply the FDR method prior to changes made in 2023 (see below) and could have resulted in undesirable tax outcomes (including economic double taxation) for New Zealand resident investors in Australian unit trusts under certain circumstances.

In 2023 ss [EX 52](#) and [EX 53](#) were amended retrospectively with an effective date of 1 July 2017 to allow New Zealand resident investors in Australian unit trusts to use the FDR method to calculate FIF income when their interest in the Australian unit trust is 10% or more.

Other amendments aimed at limiting the risk of economic double taxation from interests held in Australian unit trusts apply for income years commencing on or after 1 April 2023. Broadly, these changes remove from taxation in New Zealand the income sourced from certain attributing interests in a FIF and a CFC that will already be subject to tax under the FIF rules (*Tax Information Bulletin* [¶356-102 Vol 35 No 6](#) July 2023).

Comparative value method

The CV method is used to calculate FIF income or loss from shares in a foreign company where:

- # the investor is a natural person or a trustee of a family trust who chooses to adopt the method, or
- # the share is a non-ordinary share.

The CV method of calculating FIF income compares the value of the fund at the end of the income year with the value of the fund at the start of the year. Adjustments are made for any contributions to, or distributions from, the fund. The difference is the FIF income or loss. This calculation takes into account any capital appreciation over the year. It also considers the effect of exchange fluctuations. Accordingly, New Zealand investors can be subject to tax even if the fund performs badly.

Cost method

The cost method may be adopted for shares in a foreign company only where use of the FDR method is allowed but not practical because the market value of the FIF at the start of the income year is not readily available.

Under the cost method FIF, income is 5% of the cost of the FIF interest. The cost does not recognise income for the year of acquisition of the FIF. This is because there is no acquisition cost at the start of that year. Each year of retention of the FIF interest the cost base is increased by 5%. The cost method also recognises “quick sales”, being the purchase and sale of a FIF interest within the income year. The cost of the FIF interest may be reset every five years by an independent valuation.

Interpretation statement [IS 25/12](#), “Income tax – Using the cost method to determine foreign investment fund (FIF) income” provides guidance on when an investor is able to apply the cost method to calculate their FIF income. The item also covers when an independent valuation may be required and how to apply the cost method along with examples. The Commissioner considers that an independent valuation is one which has been obtained from a suitably qualified professional who is independent of both the taxpayer and the entity that has issued the shares. An independent valuation is only required in certain circumstances, for example when the FIF investment was previously exempt from the FIF rules.

Deemed rate of return method

The deemed rate of return method is applied to a non-ordinary share where use of the comparative value method is not practical because market value of the share at the end of the income year cannot be ascertained.

Under the deemed rate of return method, FIF income is the book value of the FIF interest multiplied by a rate of return prescribed by regulation. The deemed rate of return for the 2024-25 income year is 8.04%. For the deemed rate of return for prior income years, see CCH, *New Zealand Tax Rates, Dates and Depreciation Rates 2026*, at [¶150-095](#).

Attributable FIF income method

The attributable FIF income method may be chosen for a FIF where adequate financial information can be supplied to the Commissioner and one of the following applies:

- # an income interest of at least 10% is held in the FIF as a foreign company (treating the period in which the interest is held as the relevant accounting period) and the investor is not a PIE, or
- # the FIF is a CFC and:
 - # market value for the FIF at the start of the income year can be ascertained only by an independent valuation, and
 - # the taxpayer, and any other investor with a direct income interest of 10% or more, is not a listed company, a group investment fund, a PIE, a superannuation scheme, a unit trust or trustee of a trust with one of those entities as a beneficiary.

The attributable FIF income method is based on the CFC rules with certain modifications. There will be no FIF income or loss under the attributable FIF income method if the FIF is a non-attributing active FIF. A non-attributing active FIF is a FIF that conducts an active business so that attributable income (passive income, such as interest, rent or royalties), ascertained under financial accounting or tax measures of income, is less than 5% of gross income. If attributable income is more than 5% of gross income, only that passive income is FIF income. A person's FIF income is determined by multiplying the net attributable FIF income by their income interest in the FIF (calculated under the CFC rules as if the FIF were a CFC).

The exemption that would otherwise apply may be overridden by the taxpayer electing by notice to the Commissioner that the FIF shall be an elective attributing FIF. The possibility of obtaining greater deductions in the current or a future period might suggest the desirability of choosing elective attributing FIF status. Revocation requires the Commissioner's consent with the election expiring automatically if the attributable FIF income method ceases to be applied (unless the FIF becomes a CFC for which an income interest of 10% or more is held).

Further discussion of the attributable FIF income method can be found in *Tax Information Bulletin* ¶1246-103 Vol 24, No 6, July 2012 at 24.

Law: IT07 ss [CQ 6](#), [DN 7](#), [EX 44–EX 56](#), [EX 58](#), [EX 61](#), subpt [EM](#)

Last reviewed on 31 December 2025

Only FIF income or loss from FIF interest [¶26-131]

[¶26-131]

[Click to open document in a browser](#)

A person is generally treated as having no income or deductions other than FIF income or loss from a FIF interest when one of the cost-based methods is used. Any other amount derived is treated as excluded income, although a rebate of fees will be income if the person was allowed a deduction for payment of the fees. For other income and deductions to be disregarded, the calculation method for FIF income or loss must be:

- # the FDR method, unless the FIF is:

- # a company resident and taxable in Australia (not subject to exemptions for offshore business activities or offshore banking units), and

- # (for income years starting after 30 June 2014) not a unit trust, or a unit trust subject to income tax under Australian law as a company, and

- # the shareholding is a direct income interest of 10% or more (although that exclusion will not apply if the FIF is a foreign PIE equivalent and the taxpayer is a PIE, eligible to be a PIE or a life insurer)

- # the CV method

- # the cost method, or

- # the deemed rate of return method (although there is additional FIF income to the extent that a gain upon disposal of the FIF exceeds total deemed rate of return FIF income).

Law: IT07 ss [CX 57B](#), [EX 59](#), [EX 60](#)

Last reviewed on 31 December 2025

Change of calculation method under FIF rules [¶26-132]

[¶26-132]

[Click to open document in a browser](#)

Generally, a calculation method, once adopted, must continue to be applied for later income years. Restrictions constrain changing calculation methods.

A natural person or the trustee of a family trust may freely change from year to year between the FDR method and the CV method. A common method must be adopted for each year, so that selection of the CV method for some attributing FIF interests would preclude application of the FDR method to other attributing FIF interests.

A change of calculation method is permitted by means of a notice to the Commissioner setting out the reasons for the change where:

- # a natural person investor gives the notice of change on the ground that the market value of all attributing FIF interests at the end of the income year before the year from the end of which the change takes effect is not more than \$250,000 (with the notice also to be given by that date), or
- # the change is to or from the attributable FIF income method, the first being able to be made freely with any second and subsequent change permissible only where:
 - # there has been a change in circumstances significantly changing the ability to obtain enough information to use the attributable FIF income method, and
 - # the alteration of an income tax liability is not the principal purpose or effect of the change.

The notice of change to or from the attributable FIF income method must be given before the end of the income year that is the year of the change, although the Commissioner is authorised to accept a retrospective notice.

A change of calculation method may be permitted where it is no longer practical to continue with the current method. The change in method is permitted where changed circumstances for the current method arise because:

- # FDR method: market value at the start of the income year can be obtained only by an independent valuation
- # cost method: it becomes practical to use the FDR method once again
- # CV method: the person is no longer trustee of a family trust, or it is impossible to ascertain market value at the end of the income year
- # deemed rate of return method: use of the CV method becomes required (because year-end market value can be ascertained)
- # attributable FIF income method: the criteria permitting adoption of the method cease to be satisfied or it is impossible to obtain enough information to continue use of the method.

Law: IT07 s [EX 62](#)

Last reviewed on 31 December 2025

Deemed disposal of FIF interest when change of calculation method [¶26-135]

[¶26-135]

[Click to open document in a browser](#)

Under s [EX 63](#), there may be a deemed disposal and reacquisition of an interest in a FIF when an investor changes the calculation method.

A deemed disposal and reacquisition will occur when an investor changes calculation method:

- # from one of the 4 cost-based methods (ie the CV method, deemed rate of return method, FDR method or cost method) to the attributable FIF income method
- # from the attributable FIF income method to one of the 4 cost-based methods
- # from the FDR method or CV method to the cost method or deemed rate of return method
- # from the cost method or deemed rate of return method to the FDR method or CV method, or
- # from the CV method to the FDR method, or vice versa.

For the first 2 changes listed above, the deemed disposal is taken to have occurred immediately before the start of the accounting period in which the new method is adopted. The disposal is also deemed to be for a consideration equal to the market value of the interest at that time.

For a person changing from the CV method or FDR method to the cost method or deemed rate of return method, there is a deemed disposal and reacquisition of the interest at market value at the beginning of the income year to which the new method applies.

For a person changing from the cost method or the deemed rate of return method to the FDR method or the CV method, there is a deemed disposal and reacquisition of the interest at either the opening value at the beginning of the income year to which the new method applies (if changing from cost) or the closing book value for the preceding income year (if changing from deemed rate of return).

For changes between the CV method and the FDR method, there is a deemed disposal and reacquisition of the FIF interest at its market value at the start of the income year to which the new method applies.

Under s [EX 66B](#) there is a deemed disposal and repurchase of the attributing interest on the day an entity ceases to be a FIF. The consideration for the notional transaction is the market value of the interest at the end of the day of change in status.

Law: IT07 ss [EX 63](#), [EX 66B](#)

Last reviewed on 31 December 2025

Ascertaining cost and market value for FIF rules [¶26-140]

[¶26-140]

[Click to open document in a browser](#)

Cost

When ascertaining the cost of property for the purposes of the FIF rules, the following principles are applied:

- # Subject to the rules for “quick sales” ([¶26-130](#)), the first-in first-out (FIFO) method of cost flow identification is to be applied where specific identification of cost is not possible because of multiple acquisitions and/or dispositions.
- # The cost of share purchases is pro-rated over shares acquired by share split, non-taxable bonus issue or similar event that is not an item of income on the basis of a fair allocation determined by reference to the relative market values of the existing and new shares.
- # Expenditure or cost in kind is taken to be the market value of that expenditure or cost at the time incurred.
- # The cost of a life insurance policy does not include previous premiums paid relating to term life insurance that do not increase the surrender value of the policy.
- # Expenditure under the financial arrangements rules, interest and other holding costs are not included in cost.

Market value

The market value concept is defined in relation to a person's interests in a foreign superannuation scheme or a life insurance policy. In the case of an entitlement to benefit from a life insurance policy, market value is the surrender value of the policy at the time in question. In the case of a foreign superannuation scheme, the market value of the interest is equal to the total costs incurred up to that time by or for the person on acquiring the rights if it is not reasonably practicable to calculate actual market value, and if the person has not derived any material gain from the rights up to that time.

Law: IT07 ss [EX 67B](#), [EX 68](#), [EX 70](#)

Last reviewed on 31 December 2025

Migrating companies and FIF rules [¶26-142]

[¶26-142]

[Click to open document in a browser](#)

A notional sale and repurchase at market value is treated as occurring on the day of migration when an attributing FIF interest arises because a company migrates from New Zealand and becomes a FIF. There is a pro-rata allocation of income or loss for the year of migration by the shareholder who uses the attributable FIF income method to calculate FIF income or loss.

The tax rules that apply to the migrating company are outlined at [¶16-870](#).

Law: IT07 s [EX 66](#)

Last reviewed on 31 December 2025

Deductibility of FIF losses [¶26-145]

[¶26-145]

[Click to open document in a browser](#)

A FIF loss that is an allowable deduction arises from only some of the calculation methods. No FIF loss can arise under the FDR method or the cost method.

The CV method may give rise to a FIF loss for the investor who holds a direct income interest in the FIF of at least 10% or in relation to a non-ordinary share (which is excluded from the FDR method).

The attributable FIF income method that generates a FIF loss for an income year is dealt with according to whether the FIF is an elective attributing FIF:

- # elective attributing FIF: the deduction allowed for the FIF loss is limited to same country attributed CFC income from an elective attributing CFC sharing a common commencement date of elective attributing CFC/FIF status

- # not an elective attributing FIF: the deduction allowed is limited to same country attributed CFC income plus same country attributable FIF income under the attributable FIF income method.

Any unused FIF loss may be carried forward for deduction only from attributed income from the same jurisdiction.

Law: IT07 ss [DN 5](#), [DN 8](#), [IQ 2B](#), [IQ 3](#)

Last reviewed on 31 December 2025

Overview of foreign tax credits (FTC) [¶26-250]

[¶26-250]

[Click to open document in a browser](#)

Where a New Zealand resident derives overseas income that is subject to New Zealand income tax, generally the person is allowed a credit in New Zealand for income tax paid overseas in respect of that income. In most cases, the credit is limited to the lesser of the actual overseas tax paid on the overseas income or the New Zealand tax applicable to the overseas income. No credit of tax is permitted for any unrecognised taxes specified in [Sch 27](#) of the IT07. There are currently no entries in [Sch 27](#), which can be amended by Order in Council.

The definition of “foreign income tax” includes foreign tax meeting the requirements of income tax under New Zealand’s domestic provisions and also foreign tax to which a DTA applies.

Where tax is imposed by another country on the basis of a person’s citizenship or domicile and that person is also a New Zealand resident, the person is not allowed a tax credit greater than that allowable, on the same income, to a New Zealand resident with no such link to the overseas country. The US and the Philippines are 2 countries that impose tax on the basis of citizenship.

All of the DTAs to which New Zealand is a party provide for the allowance of a tax credit. In most instances, the credit article is subject to domestic law. If a credit for foreign tax is allowed under a DTA, the amount of the credit is not to exceed New Zealand tax calculated under s [LJ 5 \(¶26-255\)](#).

If a company not resident in New Zealand is resident in another country under a DTA, any dividend paid by that company is treated as being derived from a source in that country for the purposes of the DTA.

With effect from 30 March 2017, the scope of this provision was extended so that it also applies to dividends paid by companies resident in countries with which New Zealand does not have a DTA.

Under foreign tax credit (FTC) anti-avoidance legislation, an FTC is denied where the taxpayer or an associate has received a refund or repayment of the foreign tax in whatever form.

From 1 January 2024, with the introduction of the applied OECD Pillar Two Global Anti-Base Erosion (GloBE) rules ([¶26-608](#)), the meaning of foreign income tax is expanded to include various types of top-up tax that multinational companies are required to pay under the GloBE rules.

Commissioner’s statements

IS 14/02

IR has released [IS 14/02](#) “Income tax — Foreign tax credits — what is a tax of substantially the same nature as income tax imposed under s [BB 1?](#)”: see [¶26-255](#).

QB 14/12

QWBA [QB 14/12](#) “Income Tax — Foreign tax credits for amounts withheld from United Kingdom pensions” deals with whether a New Zealand resident person can claim an FTC in New Zealand for amounts withheld in the United Kingdom from their pension payments. The item concludes that a person cannot claim an FTC in New Zealand for any amounts withheld by their United Kingdom pension provider from a United Kingdom pension. The basis for this conclusion is that a person can only claim an FTC if they have paid foreign income tax and, as the United Kingdom does not have the right to tax a pension payment that comes within art 19 of the relevant DTA made to a New Zealand tax resident, an amount withheld is not foreign income tax. Note that the Commissioner has indicated that the principles outlined in the item will apply in other situations where New Zealand has the sole taxing right for pension income, for example, pension income derived by a New Zealand resident from South Africa.

Operational position

IR has also released an operational position that explains how to claim repayments from HM Revenue & Customs (HMRC), how to stop United Kingdom pension providers making deductions and, if necessary, how to change past New Zealand tax returns. If taxpayers have previously claimed a tax credit for tax withheld on a United Kingdom pension, IR suggests they should consider making a voluntary disclosure. If they are New Zealand tax resident and about to receive United Kingdom pension or annuity payments, to make sure they are not taxed further in the United Kingdom and to obtain a refund of amounts withheld in past years, IR recommends they complete *Form New Zealand/Individual — Application for relief at source from United Kingdom Income Tax and claim to repayment of United Kingdom Income Tax*, send the form to IR, and IR will process the form and send it on to HMRC. If a voluntary disclosure is made because tax credits have been claimed in the past, taxpayers will only be required to amend their returns to remove the FTC for the 2013 and 2014 tax years, provided they have not obtained refunds from HMRC for periods earlier than the 2013 year.

IS 16/05

Interpretation statement [IS 16/05](#), "Income tax — Foreign tax credits — How to claim a foreign tax credit where the foreign tax paid is covered by a double tax agreement" contains a flowchart that is intended as a useful framework for analysing whether a taxpayer can claim an FTC.

The item explains how the FTC rules work when a foreign tax is covered by a DTA and follows the structure set out in the flowchart. It also contains worked examples that illustrate some of the issues discussed.

If a taxpayer has paid foreign tax that is not covered by a DTA, they should refer to [IS 14/02](#) ([¶126-255](#)).

IS 20/06

Interpretation statement [IS 20/06](#), "Income tax – Tax issues arising from ownership of foreign residential rental property" provides high level summaries of the various tax issues that can arise for New Zealand tax resident individuals who own foreign residential rental property ([¶15-232](#)). The statement considers a New Zealand resident's entitlement to FTCs for tax paid on income or gains from the foreign rental property in the country where the property is situated. The statement briefly considers whether a credit may be allowed under a relevant DTA or under subpt [LJ](#) and refers to [IS 14/02](#) and [IS 16/05](#) for further guidance.

IS 21/09

Interpretation statement [IS 21/09](#), "Income tax – foreign tax credits – how to calculate a foreign tax credit" explains how to calculate an FTC under subpt [LJ](#). It also explains how to segment foreign-sourced income by country and by type. Examples are included to illustrate the concepts discussed. The interpretation statement is related to [IS 14/02](#) and [IS 16/05](#) and does not replace them.

New Zealand residents are taxed on their worldwide income. A New Zealand resident who derives assessable income from a foreign source may be entitled to an FTC for foreign income tax paid on that income. The process for calculating an FTC is set out in subpt [LJ](#). The purpose of subpt [LJ](#) is to prevent the double taxation of foreign-sourced income.

The interpretation statements [IS 14/02](#) and [IS 16/05](#) explain how to determine whether a person is entitled to claim an FTC. Different rules apply depending on whether the foreign tax is covered by a DTA. This interpretation statement is a guide to ensure that the provisions are correctly applied when a person is entitled to claim an FTC.

Once a person with a New Zealand income tax liability has determined they are entitled to claim an FTC, the amount of that credit is calculated under subpt [LJ](#). An important part of this calculation is to divide the foreign-sourced income into segments. To do this, the foreign-sourced income must first be divided by country and then further divided by source or by nature (s [LJ 4](#)).

The purpose of subpt [LJ](#) is that foreign tax paid on one segment of income cannot be credited against New Zealand tax payable on another segment of income. Therefore, the Commissioner considers the words

“source” and “nature” in s [LJ 4](#) mean “type”. Consequently, the foreign-sourced income should be divided by country and then by type of income.

After the foreign-sourced income has been segmented, the person’s notional New Zealand income tax liability must be calculated. A formula is then applied to find the amount of New Zealand tax payable on each segment of foreign-sourced income. Any expenditure incurred must be attributed to each segment, and some adjustments may be required. The person is then entitled to an FTC for the foreign tax paid on the segment, up to a maximum of the amount of New Zealand tax payable on that segment.

IS 24/10

Interpretation statement [IS 24/10](#) “Income tax – Share investments” provides guidance for individuals who invest in shares. The statement covers dividends received from foreign companies, tax paid overseas and FTCs at [39]. It also refers to [IS 21/09](#) (see above).

BR Pub 22/01 to BR Pub 22/05 relating to Australian limited partnerships

In 2022, IR released the following 5 public binding rulings:

- # [BR Pub 22/01](#), “Income tax – Australian source income earned by Australian limited partnership and foreign tax credits”
- # [BR Pub 22/02](#), “Income tax – distributions made by Australian limited partnership and foreign tax credits”
- # [BR Pub 22/03](#), “Income tax – distributions made by Australian unit trust to Australian limited partnership and foreign tax credits”
- # [BR Pub 22/04](#), “Income tax – franked dividends received by Australian limited partnership and foreign tax credits”, and
- # [BR Pub 22/05](#), “Income tax – tax paid by an Australian limited partnership as a “head company” and foreign tax credits”.

The rulings apply from the first day of the 2022–23 income year and end on the last day of the 2026–27 income year.

The rulings concern Australian limited partnerships that are corporate limited partnerships for Australian income tax and withholding tax purposes and treated under Australian law as companies, while they retain partnership and flow through treatment for New Zealand tax purposes.

An FTC will be available to the New Zealand resident partners of an Australian limited partnership for Australian income tax, or dividend withholding tax, that is paid by the limited partnership in certain circumstances. All rulings apply when the following criteria are met:

- # the Australian limited partnership is treated as a company for Australian income tax purposes, but does not meet the definition of “company” in s [YA 1](#)
- # the Australian sourced income on which the tax was paid is assessable in New Zealand
- # the Australian tax paid was paid on Australian sourced income that is assessable in New Zealand, and
- # Australia has more than a residence based taxing right in respect of the income under the Australia–New Zealand DTA.

In summary, based on the situations covered by the rulings, FTCs are allowed in proportion to the partner’s share of the income earned by the partnership, when:

- # Australian sourced income is earned by the Australian limited partnership that is income to the New Zealand partners under ss [HG 2](#), [CB 1](#) and [CB 35](#)
- # an Australian unit trust makes a distribution to an Australian limited partnership, and that distribution is a dividend under s [CD 1](#) and constitutes income to the New Zealand partner under ss [HG 2](#) and [CB 35](#)
- # Australian sourced income is derived by an Australian limited partnership, the limited partnership is a “head company” for the purposes of Australian income tax and all taxable income is accounted for on

a consolidated basis. A New Zealand partner may claim an FTC for the income tax paid on the income the limited partnership earns directly but not through subsidiaries.

The rulings also state that FTCs are not allowed when:

- # New Zealand partners receive a distribution from an Australian limited partnership and they are not liable to New Zealand income tax on their partnership share, or
- # an Australian limited partnership receives a franked dividend and the dividend flows through to the New Zealand partner.

Under the last point above, while the dividend has a franking credit attached, and the dividend income is taxable for the New Zealand partner under ss [HG 2](#), [CD 1](#) and [CB 35](#), the dividend income derived excludes the amount of the franking credit. Therefore, the FTC cannot be claimed.

BR Pub 23/09 to BR Pub 23/13 relating to investments in US LLCs

In 2023, IR released 5 public binding rulings:

- # [BR Pub 23/09](#), "Income tax – Dividends derived by New Zealand resident investor in a United States limited liability company that is a foreign investment fund, where the total cost of all the investor's attributing interests is \$50,000 or less"
- # [BR Pub 23/10](#), "Income tax – Foreign investment fund income and dividends derived by a New Zealand resident investor in a United States limited liability company"
- # [BR Pub 23/11](#), "Income tax – Attributed foreign investment fund income and dividends derived by a New Zealand resident investor in a United States limited liability company"
- # [BR Pub 23/12](#), "Income tax – Attributed controlled foreign company income and dividends derived by a New Zealand resident investor in a United States limited liability company", and
- # [BR Pub 23/13](#), "Income tax – Dividends derived by a New Zealand resident investor in a United States limited liability company that is either a non-attributing active foreign investment fund or a controlled foreign corporation".

The rulings are a reissue of [BR Pub 20/01](#) – [20/05](#).

Limited liability companies in the United States of America (US LLC) are taxed in a number of different ways. A shareholder in an LLC is called a member. In summary:

- # Single members US LLCs are taxed as part of a sole trader's income. In other words, the corporate entity is disregarded for US tax purposes and the sole member is deemed to derive the income directly. In these cases, the sole member must report their income in their personal tax return in the United States.
- # Multi-member US LLCs are taxed as a partnership by default. The US LLC does not pay income tax at the company level. Company profits are passed through to the members and taxed at member level. In these cases, the members must report their income in their personal tax return in the United States. See the binding rulings below for the tax treatment in New Zealand.
- # US LLCs may elect to be taxed as a corporation in the United States. If this election is made, then the company profits are taxed at the corporate tax rate and the members pay taxes on any dividends distributed to them. The dividends are subject to tax at the member's personal tax rate.

The reissued rulings deal with the position where the US LLC has not elected to be taxed as a corporation in the United States.

The rulings deal specifically with the ability of a New Zealand resident investor (NZ investor) in a US LLC to claim an FTC, or other relief, for US federal income tax paid by them on their partnership share of the US LLC's income. The ability depends on whether the US LLC is classified as under the FIF threshold, or as a FIF, or a controlled foreign corporation (CFC), and if the US LLC pays a dividend to the NZ investor. The rulings then explore the impact for different categories of FIF (AFIM/other methods/non-attributing active FIF) and CFC (attributing/non-attributing active). There is also an analysis of the operation of the relevant fiscal transparency and double tax relief provisions (arts 1(6) and 22) in the NZ–US DTA.

A US LLC is a hybrid entity formed in the United States that has company and partnership characteristics. It is treated as a partnership for US federal income tax purposes. However, for New Zealand tax purposes, a US LLC is a foreign company and is a separate legal entity from its members.

The rulings set out the circumstances in which an NZ investor is entitled to claim an FTC for US federal income tax paid by them and/or “relief” in terms of s [CD 18](#) of the IT07:

Where the US LLC is a CFC or FIF (and the NZ investor adopts the attributed FIF income method) and the NZ investor has attributed CFC or FIF income, the NZ investor may claim an FTC for any US federal income tax they pay on their partnership share of the US LLC’s income against their New Zealand tax liability on attributed CFC or FIF income.

Where the NZ investor derives a dividend from the US LLC, they may deduct any US Federal income tax they paid on their partnership share of the US LLC’s income from that dividend under s [CD 18](#). The NZ investor is subject to New Zealand tax on the net dividend amount. Where the NZ investor is not subject to New Zealand tax on the dividend from the US LLC, then the relief provided by s [CD 18](#) does not apply because the dividend is not taxable. This will be the case if the NZ investor is a company, because foreign dividends derived by a company are exempt income under s [CW 9](#), and where the NZ investor adopts one of the following FIF income calculation methods: fair dividend rate, comparative value, cost method or deemed rate of return.

In other cases, the NZ investor is unable to claim a tax credit.

An NZ investor may also be entitled to relief under the NZ–US DTA. However, under the specific facts of the arrangements covered by the rulings, the specific articles in the NZ–US DTA dealing with relief from double taxation do not apply.

The commentary to the rulings contains a number of detailed examples and flow charts to assist in assessing which ruling may apply to a taxpayer.

Law: IT07 ss [LJ 1–LJ 3](#), [LJ 7](#), [Sch 27](#); TAA s [225B](#)

Last reviewed on 31 December 2025

Calculation of FTC [¶26-255]

[¶26-255]

[Click to open document in a browser](#)

Tax credits are available for foreign income tax paid. The tax paid overseas must have substantially the same nature as New Zealand income tax and includes forms of withholding taxes. Any penalties or interest charged by the overseas country are excluded. Credits permitted under this rule include those arising from foreign tax paid on a taxable distribution to a trust beneficiary who is resident in New Zealand. However, in this class of case, the credit is allowed only to the extent that the overseas tax paid is of a substantially similar nature to non-resident withholding tax (NRWT). Where income is determined over different balance dates, the tax credits for the New Zealand balance date of a person may have to be apportioned.

Australian company income tax paid by an Australian corporate limited partnership is available as an FTC to New Zealand limited partners of the partnership. Income tax paid in a state of the United States of America also supports an FTC claim.

Interpretation statement [IS 14/02](#) “Income tax — Foreign tax credits — what is a tax of substantially the same nature as income tax imposed under s [BB 1](#)?” sets out how s [YA 2\(5\)](#) should be interpreted and applied, and identifies the characteristics the Commissioner expects a foreign tax to have to be a tax of substantially the same nature as income tax imposed under s [BB 1](#), as well as the characteristics it must not have. The statement also considers the case law on “substantially the same nature as income tax” and the case law comparing taxes to income tax. The examples in the statement apply the test set out against Solomon Islands income tax, United States of America Federal Insurance contributions, and United Kingdom National Insurance contributions, concluding that an FTC is only available for Solomon Islands income tax, as the others are not a tax of substantially the same nature as New Zealand income tax.

Maximum tax credit allowed against New Zealand income tax liability

The maximum amount of FTCs available for crediting against a taxpayer's New Zealand income tax liability is determined by the formula in s [LJ 5](#). Income from foreign sources is divided into segments according to the source, so that each attributing FIF interest is a separate segment (although all loan interest from a country is treated as one segment). Any prior year losses are carried forward to proportionately reduce all segments of current year income. The resulting net income for each segment is subject to a notional New Zealand income tax calculation at the taxpayer's basic rate of tax, with the credit for foreign tax paid limited to that notional tax liability.

If an associated entity of a working person pays tax overseas, the working person receives the tax credit for the foreign tax paid on the personal services income attributed to them from the associated entity. The associated entity does not have a tax credit for foreign tax paid or withheld in relation to the attributed amount.

Refund of foreign tax

The appropriate adjustment to the tax credit must be made if a refund of the foreign tax or other benefit is received. If the refund is received after the tax credit has been taken into account, the refund amount becomes payable to the Commissioner 30 days after the later of the date of receipt of the refund or the date of the relevant notice of assessment.

Law: IT07 ss [LJ 2](#), [LJ 5](#), [LJ 6](#), [LJ 7](#), [YA 2\(5\)](#)

Last reviewed on 31 December 2025

FTC claim [¶26-260]

[¶26-260]

[Click to open document in a browser](#)

An FTC claim must be made within 4 years of the end of the relevant tax year (or 6 years at the Commissioner's discretion), supported by appropriate information.

Law: TAA s [78B](#)

Last reviewed on 31 December 2025

Introduction to international tax agreements [¶26-280]

[¶26-280]

[Click to open document in a browser](#)

Double tax agreements

A DTA is a bilateral agreement between New Zealand and another contracting state mainly recording an agreed position on the taxation of various persons and classes of income. A DTA follows a general format that adopts the “standard” provisions set out in a model DTA published by the OECD. The standard provisions are subject to negotiated modifications, which usually are not extensive. An existing DTA may be supplemented by a subsequent protocol dealing with specific topics.

A DTA or protocol is negotiated between the Commissioner’s officials and appropriate representatives of the other contracting state. Once concluded the DTA or protocol is incorporated into New Zealand law by regulation. Under s [BH 1\(4\)](#) the DTA or protocol has an overriding effect over, or is paramount to, other taxation law([¶26-285](#)).

The general theme of a DTA is to allocate taxing rights between the contracting states, comprising the country of source of the income in question and the country of residence of the taxpayer generating that income. The general proposition is that the country of residence of the taxpayer is treated as having the primary right to tax the income in question. That principle is modified to the extent that the non-resident taxpayer has a significant connection with the country of source.

The DTA carefully defines the notion of residence in each of the contracting states to clarify who may obtain the benefits conferred by the DTA. “Tie-breaker” rules assist with the resolution of cases where there are close ties with each contracting state.

The country of source may also be limited in the amount of tax it may impose on locally sourced dividends, interest and royalties ([¶26-452](#)).

The taxation of particular activities and persons is also addressed. The taxation of profits from ships and aircraft operated in international traffic is reserved to the country of residence. Income from the alienation of property, the exercise of employment and acting as a company director, pensions and sport and entertainment activities are additional topics normally included in a DTA. The position of government service personnel and students may also be addressed.

A DTA normally contains non-discrimination provisions stipulating that a contracting state may not impose taxation requirements on nationals of the other contracting state that are more burdensome than those that are imposed on its own taxpayers. Discrimination on the grounds of residence, such as a higher rate of tax for a non-resident, is not discrimination on the grounds of nationality and so may be permitted: *C of IR v United Dominions Trust Ltd* ([1973](#)) [1 NZTC 61,028 \(CA\)](#), referred to in *Addy v FC of T* 2019 ATC ¶20-719. A DTA also deals with co-operation on administrative matters. A DTA generally authorises the exchange of information between the competent authorities of the contracting states. Accordingly, the Commissioner may exercise the power to access premises and obtain information as part of the DTA obligation to supply information when requested to do so by another contracting state: *Avowal Administrative Attorneys Ltd v District Court at North Shore* ([2010](#)) [24 NZTC 24,252 \(CA\)](#).

New Zealand has signed the multilateral “Convention on Mutual Administrative Assistance in Tax Matters” which entered into force on 1 March 2014. The convention provides for the exchange of taxpayer information between signatories. The convention also provides for assistance in the recovery of tax owed to one of the signatory states. As such, the convention overrides the common law rule known as “the revenue rule” by which the courts of one state were not available for assistance in the collection of tax owed to another state: *Government of India v Taylor* [1955] AC 491. The revenue rule had been displaced by agreements to the contrary, being the DTAs with Australia, the United Kingdom, Canada (revised agreement), Poland and Turkey.

Tax sparing provisions are incorporated into the DTAs with China, Fiji, India, Korea, Malaysia, Papua New Guinea, Singapore and Vietnam. The benefit of a tax sparing provision must be claimed using form [IR 486 \(¶26-315\)](#).

In 2016, the OECD released the text of a multilateral instrument negotiated between more than 100 jurisdictions. The “Multilateral Convention to Implement Tax Treaty Related Measures to Prevent BEPS” implements minimum standards to counter treaty abuse and to improve dispute resolution mechanisms while providing flexibility to accommodate specific tax treaty policies. It rapidly amends a worldwide network of several thousand bilateral tax treaties, rather than countries having to implement these amendments on a treaty-by-treaty basis. The New Zealand Government signed the convention in 2017 and it entered into force for New Zealand from 1 October 2018.

Digital platforms and marketplaces exchange of information

In 2023 New Zealand passed legislation implementing an OECD information and report exchange framework on digital platforms. New Zealand based digital platforms are required to collect certain information about the users of their platforms from 1 January 2024 and report the information to IR annually. See [¶5-156](#) and *Tax Information Bulletin* [¶356-102 Vol 35 No 6](#), July 2023.

The rules for reporting are essentially those developed by the OECD for digital platforms. Broadly:

- # sellers who utilise a digital platform to carry out their activities will be required to supply information such as their IRD number, country of tax residence and other information to the digital platform provider, and
- # the digital platform provider will then report the information supplied by the sellers to IR, along with data on the amount of consideration earned by the seller (service provider) via the digital platform.

The information supplied to IR will be cross-checked against the seller's/service provider's tax returns, and if applicable, exchanged with overseas tax authorities.

The reporting obligations cover those who supply short-stay accommodation, provide ride-sharing services, food and beverage delivery, graphic and web design services, sell goods or rent vehicles. See [¶32-640](#) for the GST treatment of electronic marketplaces.

In November 2022, New Zealand became a signatory to the Multilateral Competent Authority Agreement on Automatic Exchange of Information (AEOI) on Income Derived through Digital Platforms (MCAA). The MCAA (developed by the OECD) essentially allows the automatic exchange of information regarding digital platforms by jurisdictions that choose to participate. The MCAA may be signed by a jurisdiction before the domestic rules allowing information to be exchanged are passed into legislation.

Tax information exchange agreements

Tax information exchange agreements (TIEAs) have become an alternative form of instrument to govern the exchange of information between contracting states, together with some additional matters. TIEAs are concluded with low tax jurisdictions mainly to permit and regulate the exchange of information on the financial affairs of residents of the other contracting state. See [¶26-320](#).

Extradition

Extradition for tax offences is governed by the Extradition Act 1999 or by a specific extradition treaty with another contracting state. The Extradition Act authorises extradition from New Zealand for an offence of a kind that, if committed in New Zealand, would be punishable under New Zealand law by at least 12 months' imprisonment. Tax evasion, for example, is punishable by imprisonment for up to 5 years so that extradition may be obtainable for tax evasion committed in the requesting state. The procedures for processing an extradition request vary according to the identity of the requesting state.

New Zealand has concluded several extradition treaties. However, the Extradition Act does not require a foreign country to have a treaty to request extradition from New Zealand.

Foreign account information-sharing agreement

On 12 June 2014, New Zealand signed an inter-governmental agreement (IGA) with the United States to clarify the reporting obligations of New Zealand financial institutions under the United States law commonly known as the Foreign Account Tax Compliance Act (FATCA) and also to create specific exemptions from reporting. FATCA requires all foreign financial institutions that are not exempted, including New Zealand financial institutions, to register with and report to the Internal Revenue Service regarding certain financial accounts held with them. The necessary leverage to compel disclosure comes from a 30% withholding tax on any United States-based investment of a non-complying financial institution.

Under the terms of the IGA, New Zealand financial institutions are required to collect information on their customers that are, or are likely to be, United States taxpayers. This information must be sent to IR, who in turn will transmit it to United States tax authorities under the existing exchange of information mechanism in the DTA between the 2 countries. The IGA also provides for reciprocal information to be sent from the United States to IR.

Part [11B](#) of the TAA was inserted to explicitly authorise financial institutions to obtain and provide to IR the information that New Zealand is obliged to obtain and exchange under the IGA. The provisions deal with concerns that, in the absence of any specific change, financial institutions might not have been able to provide the relevant information to IR without breaching the Privacy Act 1993 or Privacy Act 2020.

FATCA requirements took effect from 1 July 2014. IR has released a number of forms and guides relating to the requirements of FATCA.

OECD automatic exchange of information (AEOI) initiative

The OECD's AEOI initiative is intended to set a global standard for sharing information with the objective of minimising tax evasion.

Common Reporting Standard

Under the AEOI standard, financial institutions are required to provide information on account holders' financial assets to their local tax authority. The new rules are based on the US FATCA standard, although there are significant differences between AEOI and FATCA. The rules impose due diligence and reporting requirements on financial institutions, which includes banks, as well as a broad range of entities, including certain brokers, custodians, collective investment vehicles, managed entities and insurance companies. The rules are set out in an element of the AEOI standard known as the Common Standard on Reporting and Due Diligence for Financial Account Information (Common Reporting Standard or CRS). The CRS is supplemented by an OECD official commentary to ensure consistent interpretation and application of the rules. The CRS sets out rules to be imposed on financial institutions for:

- # the conduct of due diligence on their non-exempt accounts to identify reportable accounts (broadly covering certain accounts held or controlled by tax residents from reportable jurisdictions) and undocumented accounts
- # the collection of details of financial assets and income in relation to any reportable accounts that are identified, and
- # reporting the information on reportable accounts and undocumented accounts to the tax administration in the jurisdiction in which the financial institution is located (to IR for New Zealand financial institutions). This information will then be exchanged with the relevant reportable jurisdiction.

As at 31 March 2023, there were 98 reportable jurisdictions covered by the CRSs exchange of information.

The legislation incorporating the CRS and its commentary into New Zealand law is primarily located in Pt [11B](#) of the TAA, alongside the FATCA provisions. The legislation generally only introduces special rules

when the CRS or commentary either provides flexibility or requires implementing jurisdictions to make decisions (eg decisions on dates that will apply for due diligence and reporting purposes).

Financial institutions

Financial institutions that are subject to CRS obligations in New Zealand are those that are resident in New Zealand (excluding branches located overseas) or that have branches in New Zealand. Residence is generally determined by where the institution is resident for tax purposes. However, the CRS has special residence rules for trusts and transparent entities.

“Financial institution” is defined broadly, so the term “financial account” is defined to apply in the context of entities that would not normally be considered to be financial institutions. It extends beyond typical accounts, such as depository accounts, to include custodial accounts, cash value insurance contracts, annuity contracts, equity and debt interests. Accounts may also be defined as “excluded accounts” if the entities and accounts pose a low risk of facilitating tax evasion and otherwise satisfy other defined criteria.

More stringent obligations apply to accounts opened on or after 1 July 2017, with self-certifications generally being required to be obtained by the financial institution on account opening.

Financial institutions that maintain accounts held by passive non-financial entities (passive NFEs) will, as part of these procedures, need to “look through” those entities to determine the natural persons that are the ultimate controlling persons. In some cases, particularly for trusts, certain persons are considered to be controlling persons irrespective of whether they actually have or exercise control over the entity.

The aim of the due diligence procedures is for financial institutions to identify accounts that are held or (for passive NFEs) controlled by foreign tax residents.

Penalties and record-keeping obligations

Strong sanctions apply to financial institutions for intentional failure to comply or for failure to comply through lack of reasonable care. The penalties to be imposed on financial institutions are backed with specific obligations and penalties to be imposed directly on account holders, controlling persons or intermediaries that (i) provide false information or a false self-certification, (ii) fail to comply with a request for information or a self-certification, or (iii) fail to inform of any material change in circumstances that they are aware of relating to information or a self-certification that they have provided. However, these penalties are subject to the application of “no fault” and “reasonable efforts” defences. For further discussion of the penalties, see [¶14-048](#).

Specific record-keeping obligations are also implemented, together with an anti-avoidance provision that applies to arrangements and practices entered into or by financial institutions, persons, or intermediaries with “a main purpose” of avoiding an obligation under Pt [11B](#).

Low risk excluded entities and accounts

The CRS allows implementing jurisdictions to expand on the list of automatically excluded entities and accounts to also include “low risk” excluded entities and accounts. This means these entities would be excluded from due diligence and reporting obligations. To be considered a “low risk” entity or account, the financial institution first needs to meet the criteria set by the implementing jurisdiction. Entities and accounts will only be a low risk entity or account if they are approved by IR.

Inland Revenue guidance

IR has released a document entitled “Guidance on the Common Reporting Standard for Automatic Exchange of Information” (IR 1048, July 2019). This guidance is intended to provide operational advice in the New Zealand context for financial institutions that are implementing the CRS and others who may have CRS obligations. The guidance is intended to be a self-contained document that can be used by a wide range of taxpayers to clarify their CRS obligations. The Appendices to the guidance also contain a summary of

various matters, including a comparison between FATCA and CRS, and the options that reporting New Zealand financial institutions can take when carrying out CRS due diligence and reporting.

Further information on taxpayers' obligations under the CRS, including links to a number of other guides, forms and reports about the AEOI and CRS, can be found on the IR website at [Automatic Exchange of Information and the Common Reporting Standard](#).

Crypto-Asset Reporting Framework

The rapid growth of crypto-assets has prompted the OECD to examine challenges posed by the use of crypto-assets, especially the lack of visibility for tax authorities over income derived from these new investment assets. In 2023, the OECD developed the Crypto-Asset Reporting Framework (CARF) and amendments to the CRS which provide a standardised framework for the automatic exchange of tax-relevant information on crypto-assets. New Zealand has adopted CARF and implemented the rules into domestic legislation by reference. Taxpayers are required to refer to the CARF document issued by the OECD for detailed guidance on the application of the rules.

From 1 April 2026, New Zealand-based reporting crypto-asset service providers (RCASPs) will be required to collect information on the transactions of crypto-asset users (CAUs) that operate through them and report this information to IR by 30 June 2027. IR will exchange information collected with other jurisdictions where the CAUs may be resident have elected to participate in CARF by 30 September 2027.

The key features and requirements of a RCASP and CAU include:

- # RCASPs are to comply with self-certification procedures, due diligence processes, reporting and record keeping standards (all related documentation and data obtained, to be retained for at least 7 years after the end of the tax year) (s [185U\(2\)](#) and [\(4\)\(d\)](#)).
- # CAUs must provide information (self-certification) to a RCASP as is necessary for it to comply with the requirements of the CARF (s [185U\(3\)](#))
- # Where a RCASP has a reporting nexus to more than one jurisdiction, there is a hierarchy of nexus rules enabling the RCASP to determine in which jurisdiction they have the reporting obligation and to avoid double reporting (s [185U\(4\)\(d\)](#))

Civil penalties may apply if RCASPs and CAUs do not comply with their obligations:

- # For RCASPs – \$300 for each occasion (s [142L\(2\)](#)), except where their non-compliance is due to circumstances outside of their control. However, they are still liable if a circumstance relates to a CAU's failure to provide a valid self-certification to them. The total penalties applied in a tax year under s [142L\(2\)](#) is capped at \$10,000 (s [142L\(5\)\(a\)](#)).
- # For a CAU - \$1,000 for a failure to provide to a RCASP information that the CAU holds in relation to themselves, or a person related to them, if the information is necessary for the RCASP to comply with its requirements (s [142M\(1\)](#)).

For both an RCASP and CAU, penalties are payable on the later of 30 days after the date on which the Commissioner makes the assessment for the penalty, and the due date set out by the Commissioner in the penalty's notice of assessment (ss [142L\(6\)](#) and [142M\(2\)](#)).

If the Commissioner considers an RCASP has not taken reasonable care to comply with the requirements of the CARF and no penalties have been imposed under s [142L\(2\)](#) (above), the Commissioner can assess penalties payable on each occasion (s [142L\(4\)](#)):

- # On the first occasion, the Commissioner can assess a penalty of \$20,000.
- # On subsequent occasions, the Commissioner can assess a penalty of \$40,000.

The total amount of penalties that can be assessed for a tax year is capped at \$100,000 (s [142L\(5\)\(b\)](#)).

Further information on taxpayers' obligations under the CARF, including links to a number of other guides, forms and reports about the AEOI and CRS, can be found on the IR website at [Crypto-Asset Reporting Framework](#).

Law: IT07 s [BH 1](#); TAA ss [142L](#), [142M](#), [185U](#), Pt [11B](#)

Last reviewed on 31 December 2025

Double tax agreements paramount to domestic law [¶26-285]

[¶26-285]

[Click to open document in a browser](#)

The fundamental principle relating to DTAs is that they are paramount to the domestic law, meaning their provisions have effect notwithstanding the rules contained in the domestic law. An exception to this is the general anti-avoidance rule in s [BG 1](#). A DTA will not have overriding effect with respect to s [BG 1](#). Section [BG 1](#) can apply to deny a tax advantage obtained from a tax avoidance arrangement, whether the tax advantage arises under domestic law or a provision of a DTA.

Two further exceptions to the overriding effect of a DTA were inserted into s [BH 1\(4\)](#) in 2018. Under s [RF 11C](#), New Zealand is able to charge NRWT on payments under certain cross-border hybrid financing instruments if New Zealand treats the payment as interest, overriding the DTA classification of the payments ([¶26-450](#)). In addition, a DTA will not have overriding effect with respect to s [GB 54](#), a specific anti-avoidance rule that deems a permanent establishment to exist in New Zealand in certain circumstances ([¶26-300](#)).

The general approach of DTAs is to recognise that the country of residence enjoys the primary right of taxation of a taxpayer engaged in a cross-border transaction. For business profits, the country of residence retains the sole right of taxation unless the non-resident establishes a permanent establishment in the country of source. For dividends, interest and royalties, the country of source may tax the income, albeit at limited rates, despite the absence of a permanent establishment in the country of source.

Example:

Japan Co leases barges to NZ Co so that the charter income paid to Japan Co has a New Zealand source. However, Japan Co neither has a permanent establishment in New Zealand nor is deemed to have one. New Zealand may not tax the charter income.

DTAs often provide that the use of substantial equipment in a contracting state under contract is a permanent establishment situated in that state, eg Australia as a state of source may tax charter income from leasing of barges by a Singaporean resident: *McDermott Industries (Aust) Pty Ltd v FC of T* [2005 ATC 4398](#).

Most DTAs prescribe a lower rate of tax than would otherwise apply under domestic law. For example, royalties paid to residents of Australia and the United States of America are taxed at the rate of 5% rather than the usual 15% rate. Usually any such limitation is expressed to apply to the extent that the payment is at an arm's length level.

Law: IT07 s [BH 1\(4\)](#)

Last reviewed on 31 December 2025

Interpretation of double tax agreements [¶26-290]

[¶26-290]

[Click to open document in a browser](#)

New Zealand courts have adopted an approach consistent with that outlined in the 1980 Vienna Convention on the Law of Treaties, to which New Zealand is a signatory. The principles of public international law applicable to treaties, and their interpretation, are codified in the convention. The terms of a treaty are given their ordinary meaning in the context of the treaty and in the light of its object and purpose. The context of the treaty is extended, by art 31(2) of the Vienna Convention, to the preamble, annexes and agreements between the contracting parties.

A DTA is part of a network of international agreements using international language, substantially similar in form and effect and designed to promote exchanges of goods and services and the movement of capital and persons in international trade by eliminating international double taxation. “The OECD Convention rules have an international currency used as they are by and in countries throughout the world and accordingly the language of the rules should be construed on broad principles of general acceptance and having appropriate regard to the Commentary and any travaux préparatoires”: *C of IR v JFP Energy Inc* (1990) 12 NZTC 7,176.

Generally a private or public ruling is not available for DTA matters: see [QB 08/03](#), “Application for a private ruling or product ruling on an issue dealt with in a mutual agreement made under a double tax agreement — Tax Administration Act 1994, sections [91E\(4\)\(d\)\(ii\)](#) and [91F\(4\)\(d\)](#)”.

DTAs have ambulatory and not static meaning so that a DTA may prevent the imposition of the capital gains tax introduced after the contracting states entered into the DTA: *Undershaft No 1 Ltd v FC of T* 2009 ATC ¶20-091.

Last reviewed on 31 December 2025

Meaning of "permanent establishment" [¶26-300]

[¶26-300]

[Click to open document in a browser](#)

Where a non-resident has a "permanent establishment" (PE) in New Zealand and the business profit is attributable to the PE, the relevant DTA will provide that the non-resident entity is subject to tax in New Zealand. (The reverse also applies: New Zealanders conducting business overseas will not have their business income taxed by an overseas government if a relevant DTA exists, so long as they do not have a PE overseas.)

A PE generally means a fixed place of business through which the business of an enterprise is wholly or partly carried on and is usually based on art 5 of the OECD Model DTA. This includes a place of management, a branch, an office, a factory, a workshop, a mine, a quarry, an oil or gas well, and an agricultural, pastoral or forestry property. The concept of permanency appears to underlie the meaning of a fixed place of business. Activities that are merely preparatory and that are auxiliary to a place of business — for example, using facilities for the storage, display or delivery of goods or merchandise — do not come within the ambit of a PE.

Despite the absence of a fixed place of business, the DTA with Australia extends the PE concept to include services performed by an individual present in a contracting state for more than 183 days in a 12-month period, mineral exploration activities carried on for more than 90 days in a 12-month period and the operation of substantial equipment for more than 183 days in a 12-month period.

An enterprise is also deemed to have a PE, and to carry on business through that PE, when substantial equipment is used "by, for or under contract with the enterprise". In *McDermott Industries (Aust) Pty Ltd v FC of T* [2005 ATC 4398](#) barges were held to be substantial equipment amounting to a permanent establishment.

Rented rooms used to store documents were not a PE because no business was carried on from the rooms: *Unisys Corporation Inc v FC of T* [2002 ATC 5146](#).

In [TDS ¶24/11](#) (29 May 2024) the Commissioner considered the position of an overseas company receiving services from a New Zealand subsidiary. Neither the parent company nor its main customers (located offshore) had a head office or centre of management in New Zealand. The subsidiary could not enter into binding contracts for its parent. The Commissioner concluded, among other things, that the parent company and its main customers were not New Zealand tax residents, nor did the presence of the subsidiary give the parent a permanent establishment in New Zealand.

See also [TDS ¶24/20](#) (*Tax Information Bulletin* Vol 36 No 11, December 2024 at 35).

E-commerce

E-commerce raises several questions about what does and does not constitute a PE, for example, whether having the ability to access a website in a country constitutes having a PE in that country; whether the presence of a server constitutes a PE; whether the presence of a virtual office constitutes a PE; and whether using an Internet service provider (ISP) in a country constitutes having a PE in that country.

The OECD has concluded that human intervention is not a prerequisite for a PE to exist and further clarification of how this concept applies in the context of e-commerce has been included in the commentary on art 5 of the OECD Model DTA.

Website

The commentary to art 5 of the OECD Model DTA states that a website cannot, in itself, constitute a PE. Therefore, the taxpayer is not considered to have a physical presence in the foreign jurisdiction simply by the fact it has a website in that jurisdiction.

Web server

A web server that is essentially an advertising site would be unlikely to trigger the PE provisions of a DTA because advertising is generally considered to be preparatory or auxiliary in nature. This activity is outside the scope of a PE. A web server that both presents information and records orders (or concludes contracts) may result in a PE in a country if it is leased or owned by the taxpayer in question. The question of whether the business of an enterprise is wholly or partly carried on through such equipment needs to be considered on a case-by-case basis, having regard to whether it can be said that, because of such equipment, the enterprise has facilities at its disposal where business functions of the enterprise are performed.

Virtual office

Some companies have their base in one location but operate in a number of other locations, using a variety of telecommunications technologies: cellular phones, laptop computers, video conferencing equipment and email. These virtual offices make it possible for entire projects to be carried out without the need for an office (in the traditional sense of the word) in that country. It is unlikely that a virtual office conducting business in New Zealand would be considered a PE under DTAs based on the OECD Model. The Model (on which New Zealand DTAs are based) requires the existence of a "place of business" and that this place of business must be "fixed", thus it assumes that a physical presence is required.

Internet service provider (ISP)

An ISP is an entity that provides access to the Internet. There has been some suggestion that the location of a person's ISP determines the jurisdiction in which that person can be said to be located. There has also been some discussion of whether an ISP can be said to be a dependent agent of the Internet user. The OECD, however, has since concluded that the ISP is an agent of independent status acting in the course of its business when it provides access to the Internet and facilitates a transaction. As an agent of independent status, the ISP will not trigger the PE provisions in respect of its principal (the Internet user). This conclusion was affirmed in the January 2003 update of art 5 of the OECD Model DTA.

OECD and e-commerce

In various papers published on e-commerce and taxation, the OECD has come to a number of conclusions that should assist enterprises carrying out cross-border Internet transactions. The conclusions include the following:

- # A website on a server located outside a jurisdiction but capable of being accessed by persons in that jurisdiction does not give the website owner a PE or taxable presence in that location.
- # A website located in a jurisdiction that is non-interactive and merely displays advertising or other preliminary information will not usually constitute a PE.
- # An interactive website that allows for the placing and fulfilment of orders may constitute a PE. However, if the server is moved about within the same country it will not constitute a fixed place of business and will not be a PE.
- # A website in itself does not constitute a fixed place of business as it does not involve any tangible property. However, where the enterprise has control of the server by virtue of either ownership or rental of the server, the website could constitute a PE.
- # A website is not an "agent" of the enterprise and therefore does not give the enterprise a PE.
- # The use of an ISP does not constitute a PE.
- # A primary issue, which is central to the notion of a PE, is the concept of a "business". Whether a business exists is dependent on the activities of the enterprises in the foreign jurisdiction. Spasmodic activity that is not specifically targeted at the jurisdiction is not likely to constitute a business in that jurisdiction.

Permanent establishment anti-avoidance rules

Base erosion and profit shifting (BEPS) measures that strengthen the transfer pricing and PE rules to address BEPS strategies used by some multinationals were introduced in 2018.

The OECD updated the definition of a PE in their model tax treaty and New Zealand adopted this into its DTAs by signing the OECD's "Multilateral Convention to Implement Tax Treaty Related Measures to Prevent BEPS". However, a domestic law change was needed to cover cases where the relevant DTA does not yet include the OECD's new recommendations. As a result, a PE avoidance rule was introduced into New Zealand domestic law. The rule deems a PE to exist in New Zealand for a non-resident if all the following criteria are met:

- # the non-resident is part of a large multinational group (a group with at least €750 million of consolidated global turnover)
- # the non-resident makes a supply of goods or services to a person in New Zealand
- # a person (the facilitator) carries out an activity in New Zealand for the purpose of bringing about that particular supply
- # the facilitator is associated with, or an employee of, the non-resident or derives 80% or more of the facilitator's assessable income for the current and previous income years from services provided to the non-resident or its associates
- # the facilitator's activities are more than preparatory or auxiliary
- # the non-resident's income from the supply is subject to a DTA that does not include the OECD's latest PE article or its equivalent
- # the domestic PE definition contained in [Sch 23](#) does not apply
- # income of the non-resident from the supply is not otherwise attributable to a PE in New Zealand of the non-resident, and
- # a more than merely incidental purpose or effect of the arrangement is to avoid New Zealand tax, or a combination of New Zealand and foreign tax, for the non-resident.

Under the rule the non-resident is deemed to make any supplies that are subject to the rule through that PE. The activities of the facilitator in relation to the supply are also attributed to the PE.

Thus, the provision deems the PE to exist for all the purposes of both the IT07 and the applicable DTA, notwithstanding anything in New Zealand's DTAs. The tax consequences of that deemed PE are then determined by the other provisions of the Act and the DTA. For example, New Zealand will have a right to tax the profits attributable to the PE under the business profits article of an applicable DTA.

The anti-avoidance rule may also apply in the context of a third-party intermediary arrangement. This is a single arrangement under which the non-resident supplies goods or services to an unassociated New Zealand resident and the New Zealand resident on-supplies the goods or services to identified New Zealand customers who are known to the facilitator at the time of the facilitated supply. If the rule applies in these circumstances, then the facilitator's activities give rise to a PE for the non-resident in respect of its supplies to the third-party intermediary.

A source rule for PEs provides that any income attributable to a PE in New Zealand has a source in New Zealand. For these purposes, a PE is defined as follows:

- # Where a taxpayer is resident in a jurisdiction that has a DTA with New Zealand, the definition is the same as the definition of a PE in that DTA. It also includes any PE deemed to arise under the PE anti-avoidance rule (but only if the DTA does not include the OECD's PE definition).
- # Where a taxpayer is resident in a jurisdiction that does not have a DTA with New Zealand, the definition of a PE will be that set out in [Sch 23](#) to the IT07 (the domestic PE definition). This definition includes the OECD's PE definition.

The application of these rules can be summarised as follows:

- # If the jurisdiction where the non-resident is resident *has* a DTA with New Zealand, but that DTA does not incorporate the OECD's PE definition, then the PE anti-avoidance rule applies to determine whether the non-resident has a deemed PE in New Zealand.
- # If the jurisdiction where the non-resident is resident *has* a DTA with New Zealand, and that DTA does incorporate the OECD's PE definition, then the PE anti-avoidance rule does not apply. Instead the OECD's PE definition in the DTA applies to determine whether the non-resident has a PE in New Zealand.

If the jurisdiction where the non-resident is resident does *not* have a DTA with New Zealand, then the PE anti-avoidance rule does *not* apply. Instead the domestic PE definition (which incorporates the OECD's PE definition) applies to determine whether the non-resident has a PE in New Zealand.

In all the above circumstances, if the non-resident has a PE in New Zealand, then any income and expenditure attributable to that PE is considered to have a New Zealand source. Whether income and expenditure are attributable to the PE is determined under the standard PE profit attribution methodology applied by New Zealand under the business profits articles of most of its DTAs under s [YD 5B](#).

These changes apply for income years commencing on or after 1 July 2018.

Guidance materials

IR released guidance materials, "BEPS — Permanent establishment anti-avoidance rules", in *Tax Information Bulletin* [¶313-105 Vol 31, No 3](#), April 2019 at 22. The materials discuss each of the provisions in more detail and include examples.

Law: IT07 ss [GB 54](#), [YD 4B](#), [Sch 23](#)

Last reviewed on 31 December 2025

Double tax agreements negotiated [¶26-305]

[¶26-305]

[Click to open document in a browser](#)

New Zealand continues to enter into and renegotiate DTAs. It is obliged to do this as a member of the OECD.

All New Zealand's DTAs are reproduced in CCH, *New Zealand Income Tax Legislation* and CCH, *New Zealand Double Tax Agreements Law and Practice*.

New Zealand has concluded DTAs with:

Australia	Indonesia	Singapore
Austria	Ireland	Slovak Republic
Belgium	Italy	South Africa
Canada	Japan	Spain
Chile	Korea	Sweden
China	Malaysia	Switzerland
Czech Republic	Mexico	Taiwan
Denmark	Netherlands	Thailand
Fiji	Norway	Turkey
Finland	Papua New Guinea	United Arab Emirates
France	Philippines	United Kingdom
Germany	Poland	United States of America
Hong Kong	Russian Federation	Viet Nam
India	Samoa	

Progress on the negotiation of DTAs is monitored by the Commissioner at www.taxpolicy.ird.govt.nz. From time to time New Zealand negotiates amendments to one of its DTAs by executing a protocol; see, for example, the protocol to the DTA with the United Kingdom made on 4 November 2003.

Last reviewed on 31 December 2025

Tax sparing provisions [¶26-315]

[¶26-315]

[Click to open document in a browser](#)

In an endeavour to stimulate foreign investment, tax sparing provisions (incorporated in DTAs) deem tax to have been paid, and to become a tax credit, in the country of residence, in relation to income from specified development projects. New Zealand has tax sparing arrangements with the following countries: China, Fiji, India, Korea, Malaysia, Singapore and Viet Nam.

A taxpayer who has claimed an FTC in respect of a tax sparing arrangement under a DTA must file a tax sparing disclosure return (form [IR 486](#)). A separate disclosure return is required for each tax spared arrangement entered into.

Last reviewed on 31 December 2025

Tax information exchange agreements [¶26-320]

[¶26-320]

[Click to open document in a browser](#)

Tax information exchange agreements (TIEAs) have been entered into between New Zealand and:

Anguilla	Dominica	Niue
Bahamas	Gibraltar	San Marino
Bermuda*	Guernsey	Sint Maarten
British Virgin Islands	Isle of Man	St Christopher and Nevis*
Cayman Islands	Jersey	St Vincent and the Grenadines
Cook Islands	Marshall Islands	Turks and Caicos Islands
Curacao	Netherlands Antilles	Vanuatu

* Indicates agreement signed but not yet in force.

TIEAs generally provide for the exchange of information “foreseeably relevant” to the enforcement of domestic tax laws. A TIEA may authorise a tax examination permitting the representatives of one contracting state to enter the territory of the other to conduct interviews and examine records in a manner that is consistent with the domestic law of that other state.

TIEAs usually follow a general model TIEA format. An additional agreement that concentrates on topics, including transfer pricing adjustments, pensions, students and Government service, may also be concluded. TIEAs of the latter kind have been concluded, for example, with the British Virgin Islands, the Cayman Islands, the Cook Islands, the Isle of Man, Jersey and St Christopher and Nevis.

Note that with New Zealand’s signing of the OECD’s “Multilateral Convention to Implement Tax Treaty Related Measures to Prevent BEPS” on 8 June 2017, TIEAs are no longer needed and further negotiations for additional TIEAs have ceased.

Law: IT07 s [BH 1](#)

Last reviewed on 31 December 2025

Introduction to taxation of non-residents in New Zealand [¶26-400]

[¶26-400]

[Click to open document in a browser](#)

A person resident in New Zealand or a non-resident who has income from New Zealand is subject to the IT07 and the TAA and must satisfy the obligations, if any, imposed by those Acts. Possible obligations imposed by those Acts may be modified by the operation of a DTA creating an exemption from New Zealand tax.

Income from personal services performed in New Zealand by a non-resident is subject to the possibility of an exemption from New Zealand income tax under domestic law ([¶26-420](#)) or under a DTA ([¶26-425](#)). A more specific exemption is available to non-resident crew members of pleasure yachts visiting New Zealand ([¶15-640](#)), while wages paid to a non-resident seasonal worker are subject to a final withholding of 10.5%. In the absence of an exemption, the employer of the non-resident may attract PAYE tax deduction obligations.

Business profits derived by a non-resident from New Zealand are subject to New Zealand income tax, subject to the possibility of exemption in accordance with a DTA. In the absence of DTA protection, the income generating the profits may be classified as a schedular payment subject to a withholding regime.

Gains upon disposal that are realised by a non-resident equity investor may be exempt from income tax under domestic law.

The income of a non-resident derived from New Zealand in the form of dividends, interest or royalties may be classified as non-resident passive income subject to the withholding (deduction) of non-resident withholding tax (NRWT). A DTA may affect whether a withholding is required and, if so, the rate of NRWT.

Rental income derived from New Zealand by a non-resident is reportable in an annual tax return.

Gains from the disposal of New Zealand land are subject to the possibility of taxation under the general rules for the taxation of land sale profits. A distribution as dividends of land sale gains realised by a New Zealand company may be taxable under the NRWT regime. A DTA may permit a sale of shares of a land-rich company to be treated as if it was a sale of the underlying land. This would enable the taxation of the sale of the shares by the contracting state hosting the land.

From 1 July 2018, an item of income of a non-resident is deemed to have a New Zealand source under our domestic legislation if New Zealand has a right to tax that item of income under a DTA. See [¶5-144](#) for detailed commentary on this rule and discussion on the exceptions.

Law: IT07 s [YD 4\(2\)](#), [\(4\)](#), [\(17C\)](#), [\(17D\)](#)

Last reviewed on 31 December 2025

Collecting tax from large multinational group members [¶26-410]

[¶26-410]

[Click to open document in a browser](#)

From 27 June 2018, IR can collect tax owed by a member of a large multinational group from any wholly-owned New Zealand resident group member or member with a PE in New Zealand in the event the non-resident company fails to pay its tax. The local group member is treated as an agent for the non-resident member that owes the tax.

A [large multinational group](#) is defined to include multinational groups that exceed the revenue threshold of €750 million of consolidated global turnover. This threshold is based on the revenue threshold set in the OECD's transfer pricing guidelines.

Law: IT07 ss [HD 30](#), [YA 1](#) ("[large multinational group](#)")

Last reviewed on 31 December 2025

92-day rule for personal services income [¶26-420]

[¶26-420]

[Click to open document in a browser](#)

Foreign-sourced income of non-residents is not assessable income under s [BD 1\(5\)\(c\)](#).

Income derived from personal or professional services performed by a non-resident who is present in New Zealand for a period of less than 3 months will usually be exempt from income tax where:

- # the visit does not exceed 92 days (counting arrival/departure days as whole days in New Zealand — s [YD 1\(8\)](#))
- # the total of all visits to New Zealand during any 12-month period does not exceed 92 days
- # the services are performed for or on behalf of a non-resident
- # the income is subject to an income tax in the country of residence, and
- # the income is not that of a public entertainer (eg a theatre, movie, television or radio artiste, a singer, musician, dancer, lecturer, circus performer, boxer, wrestler, athlete or other professional sportsperson). Public entertainer is defined in s [CW 19\(3\)](#).

Example:

Mr Smith visited New Zealand 3 times. On his first visit he stayed for 103 days from 2 April 2021 to 13 July 2021. He visited New Zealand again for 40 days from 1 October 2021 to 9 November 2021. He then returned to New Zealand for 45 days for his final visit on 1 August 2022 to 14 September 2022. There is a liability to tax on income derived during the first visit. There is also a liability to tax on income derived during the second visit, even though the duration of the visit was less than 92 days, as the total number of days spent in New Zealand during the 12-month period including both visits exceeded 92 days. There is no liability to tax in respect of income derived during the third visit as the duration of the visit was 45 days (ie less than 92 days) and the total number of days spent in New Zealand during the 12-month period including the visit was also less than 92 days (45 + 40 = 85 days) — see table below.

Visit	Dates of visit	No of days in visit	Visits in 12-month period	Total days in 12-month period
1st visit	2 April 2021–13 July 2021	29 days + 31 days + 30 days + 13 days = 103 days	1st visit	103 days
2nd visit	1 October 2021–9 November 2021	31 days + 9 days = 40 days	1st and 2nd visit	143 days
3rd visit	1 August 2022–14 September 2022	31 days + 14 days = 45 days	2nd and 3rd visit	85 days

A DTA may operate to provide a non-resident with an exemption from New Zealand income tax on income derived from personal services ([¶26-425](#)).

Under s [HD 27\(1\)](#) an employer who employs a non-resident with an income tax liability is treated as an agent in relation to the employment income derived in New Zealand by the non-resident person. If the person does not meet their income tax liability, the employer must withhold the amount of income tax payable from their employment income and pay it to IR on behalf of the non-resident. See [¶26-430](#) for discussion on PAYE requirements of non-resident employers.

A non-resident trader who employs a person in New Zealand is treated as an agent with respect to that person's employment income. If the trader has an agent in New Zealand, the agent must meet the trader's obligations under s [HD 3](#) ([¶12-036](#)). Refer to s [HD 27\(2\)](#).

A non-resident seasonal worker employed under the recognised seasonal employment instructions or the foreign crew of fishing vessels instructions is treated as a non-resident and is subject to a 10.5% PAYE tax deduction rate on wages and not required to file an annual tax return.

Law: IT07 ss [BD 1\(4\)](#), [\(5\)\(c\)](#), [CW 19](#), [HD 27](#), [YD 1\(8\)](#), [\(11\)](#), [Sch 2](#)

Last reviewed on 31 December 2025

Exemption under double tax agreement for personal services income [¶26-425]

[¶26-425]

[Click to open document in a browser](#)

A DTA may operate to create an exemption from New Zealand income tax for income from personal or professional services that is otherwise taxable under New Zealand domestic law.

Non-resident employee — 183-day rule

Commonly a DTA contains an exemption for a non-resident employee who is not personally present in New Zealand for more than 183 days in the tax year or for a 12-month period, as the case may be. The terms of the exemption usually require that the income is taxable in the employee's home country, that the employee's employer is resident in that same home country and that the income is not borne by a PE or fixed base of the employer in New Zealand.

For example, under art [14](#) of the Double Taxation Relief (Australia) Order 2010 (the Australia–New Zealand DTA) the income of an Australian resident working in New Zealand is not taxable in New Zealand, providing the following criteria are satisfied:

- # The Australian individual is present in New Zealand for no more than 183 days (in total) during any 12-month period.
- # The income is paid by an employer who is not resident in New Zealand.
- # The income is not deductible in determining the taxable profits of a PE or a fixed based that the employer has in New Zealand.
- # The income is taxable in Australia.

A New Zealand resident working in Australia would have to satisfy similar criteria to gain relief under the DTA.

Independent contractor

A DTA may also contain an exemption from New Zealand income tax for the income of an independent contractor. The DTA may have provisions specifically allocating taxing rights on independent services income to the country of residence to the exclusion of the country of source.

When considering whether a DTA provides relief, common issues that arise are:

- # Whether the income is a royalty as defined in the DTA.
- # If the non-resident contractor is an enterprise, whether it has a PE in New Zealand at the time the contract activity is performed.
- # If the non-resident contractor is an individual, whether relief is provided by the personal services or the PE articles of the DTA.

Although DTAs have many similarities, they can and do differ, so relief provided under a DTA to a non-resident contractor from one country may not be provided under another DTA to a non-resident contractor from another country.

In addition, a DTA invariably creates an exemption for business profits not attributable to a PE maintained in the country of source by the non-resident performing the services. For example, refer to art [7](#) of the Australia–New Zealand DTA.

Both kinds of DTA exemption usually do not extend to public entertainers. Income from this kind of activity normally remains subject to New Zealand income tax on the basis that New Zealand is the country of source of the income. For example, refer to art [17](#) of the Australia–New Zealand DTA.

Independent personal services income subject to New Zealand income tax may also be subject to a withholding tax regime. See [¶26-480](#) and [Sch 4, pt A](#) of the IT07.

Last reviewed on 31 December 2025

PAYE requirements of non-resident employers [¶26-430]

[¶26-430]

[Click to open document in a browser](#)

The Commissioner requires non-resident companies to deduct PAYE from the salary or wages of a non-resident employee, irrespective of whether the employee spends less than 92 days working in New Zealand, until the employee's right to relief from New Zealand tax is established to the Commissioner's satisfaction.

PAYE must be accounted for once or twice per month, depending on whether the employer's gross annual PAYE is \$500,000 or more ([¶13-020](#)).

Operational statement [OS- 21/04](#), "Non-resident employers' obligations to deduct PAYE, FBT and ESCT in cross-border employment situations" confirms that that a non-resident employer has an obligation to withhold PAYE from a PAYE income payment made to an employee only if:

- # the employer is subject to New Zealand tax because it has a "sufficient presence" in New Zealand, and
- # the services performed by the employee are properly attributable to the employer's presence in New Zealand.

A non-resident employer may also have an FBT or ESCT liability for a benefit provided to, or a contribution made for, an employee in the same circumstances.

#Note: subsequent amendments have been made to the legislation that affect this statement.

An employee's non-resident foreign sourced income will not be subject to PAYE as such income is not taxable in New Zealand. Similarly, income of a non-resident contractor that is subject to relief under s [CW 19](#) or a DTA does not attract PAYE deductions.

From 1 April 2024, the PAYE, FBT, ESCT and non-resident contractors' tax (NRCT) rules have been changed to provide certainty and flexibility for cross-border workers and their employers.

"Cross-border employees" includes employees of non-resident employers who perform services in New Zealand, as well as New Zealand resident employees who perform services outside of New Zealand. An employer has a 60-day grace period to meet or correct the PAYE, FBT or ESCT obligations for an employee where the conditions of a tax exemption (eg those set out in s [CW 19](#)) have been breached. Section [RD 23](#) (bonds given by employers for non-resident employees) has been repealed. From 1 April 2023, there is relief for a non-resident employer who has incorrectly determined that they do not have a sufficient presence in New Zealand. If the requirements of the safe-harbour are met, the employer will not face penalties and interest on any unpaid employment taxes.

An employer may also seek a bespoke arrangement with IR and the ability to transfer PAYE obligations to an employee when the non-resident employer does not have an obligation to account for PAYE ([¶13-367](#)).

Law: IT07 ss [RD 23](#), [CE 1F](#); TAA ss [120B\(bc\)](#), [141ED\(1B\)](#).

Last reviewed on 31 December 2025

Tax equalisation payments [¶26-435]

[¶26-435]

[Click to open document in a browser](#)

Tax equalisation payments are designed to reimburse expatriate employees for the difference between:

- # hypothetical home country tax, calculated on the total remuneration from employment and “outside” income, and
- # actual income tax payable, calculated on home country equivalent remuneration, “outside” income and taxable allowances.

Most tax equalisation schemes are operated through accounts opened for each employee. The credits (or payments in) to each account comprise the hypothetical tax figure in monthly instalments and a final adjustment payment (tax equalisation credit). The payments out are New Zealand tax instalments.

If employees do not actually receive equalisation payments until the year after that to which the payments relate, there are no PAYE obligations on the part of an employer in the year to which the payments relate. The PAYE obligations arise in the following year.

Example:

A subsidiary of a United States company agreed to pay non-resident employees working in New Zealand a net income equivalent to the net income that they would have received had they been working in the United States. The High Court found that the employees did not derive the difference between the 2 sums until the end of the income year in which the employer paid the estimated tax. The final amount of tax could not be ascertained until that time. The final credit received by an employee when leaving employment in New Zealand was taxable in New Zealand in the year it was made. See *Dow Chemical Overseas Management Co Ltd v C of IR* (1994) 16 NZTC 11,143.

Last reviewed on 31 December 2025

Income tax exemption for foreign equity investor [¶26-438]

[¶26-438]

[Click to open document in a browser](#)

Exempt income includes amounts derived from the sale or other disposal of shares and similar interests in unlisted New Zealand-resident companies by non-resident investors who meet specified criteria and who, because they are exempt from tax in their countries of residence, cannot claim a tax credit for New Zealand tax paid.

The exemption is aimed at a non-resident venture capital investor (including a limited partnership) who makes an equity investment in an unlisted New Zealand company on revenue account because the shareholding is acquired for resale or the proceeds of sale are business income. Any gain from sale of the shares may be exempt from New Zealand income tax without the necessity to ascertain if treaty relief is available.

Scope of the exemption

The requirements of the exemption are:

- # the non-resident acquires shares, share options or convertible notes that are held for at least 12 months
- # the shares are not listed on a recognised exchange at some time in the 12-month period from time of purchase
- # the New Zealand company does not have as its main activity any one or more of the following:
 - # land development
 - # land ownership
 - # mining
 - # financial services
 - # insurance
 - # building or acquiring public infrastructure assets, or
 - # investing with a main aim of deriving investment income in the form of interest, dividends, rent or personal property lease payments that are not royalties

[Note that if the New Zealand company provides debt or equity funding to other companies as its main activity, there are further restrictions to be satisfied under s [CW 12\(3\)](#). That subsection accommodates venture capital investments made through a holding company that reinvests the funds in another company and allows some commercial flexibility.]

the non-resident is a qualifying foreign equity investor, being one or more of:

- # a foreign exempt entity
- # a person who is part of a foreign exempt partnership, and
- # a foreign exempt person.

The categories of a qualifying foreign equity investor are closely defined to ensure only the intended recipients of the exemption are included within its scope. In very broad terms, an investor must be resident in an approved territory and exempt from tax in its territory on the income.

Under the Income Tax (Approved Territories for Qualifying Foreign Equity Investor Definition) Orders 2004, 2006 and 2008, all New Zealand's DTA partners have been approved for the purpose of s [CW 12](#), with the exceptions of the Czech Republic, Hong Kong, Papua New Guinea, Samoa, Switzerland, Turkey and Viet Nam. The list of approved territories can be varied at any time.

Law: IT07 s [CW 12](#)

Last reviewed on 31 December 2025

Introduction to non-resident withholding tax (NRWT) [¶26-440]

[¶26-440]

[Click to open document in a browser](#)

Dividends, interest and royalties derived from New Zealand by a non-resident are classified as non-resident passive income. As such, the income may be subject to the deduction of NRWT by the payer. The non-resident is deemed to have received the NRWT withheld.

An alternative to the deduction of NRWT from interest is the payment of the 2% approved issuer levy (AIL) as a form of stamp duty. AIL may be paid by the New Zealand borrower following an election by the borrower to do so ([¶130-300](#)). There is an exemption from both AIL and NRWT for interest paid on listed, widely-held bonds. Interest derived by a non-resident with a fixed establishment in New Zealand is not subject to AIL or NRWT.

Dividends that are fully imputed may attract a 0% rate of NRWT under New Zealand domestic law. Dividends for NRWT purposes include the distribution of capital gains to a corporate, associated non-resident shareholder. The foreign investor tax credit regime ([¶126-500](#)) provides for the payment of a supplementary dividend, together with a tax credit for the New Zealand company, for dividends paid to a non-resident portfolio shareholder.

A DTA is an important influence on the deduction of NRWT and the amount of the deduction. The DTA may exempt an item of non-resident passive income from NRWT or reduce the NRWT rate set out in domestic law. The interaction of DTAs and domestic law is described further at [¶126-450](#).

The NRWT deducted must be paid to the Commissioner on a monthly basis. The NRWT is likely to be a final New Zealand tax for the non-resident in most cases.

Law: IT07 subpart [RF](#)

Last reviewed on 31 December 2025

Non-resident passive income [¶26-450]

[¶26-450]

[Click to open document in a browser](#)

Non-resident passive income comprises income derived from New Zealand by a non-resident that consists of:

- # dividends (other than investment society dividends)
- # royalties
- # interest (unless the non-resident is carrying on business in New Zealand through a fixed establishment, or the non-resident is a registered bank engaged in business in New Zealand through a fixed establishment lending to a non-associated borrower)
- # investment society dividends (unless the non-resident is carrying on business here through a fixed establishment)
- # non-resident financial arrangement income (NRFAI) ([¶26-470](#)), or
- # a dividend (not being an investment society dividend) derived by a resident New Zealand company when the company is treated as non-resident under a DTA.

Non-resident passive income does not include:

- # exempt income (eg the investment income of a non-resident registered as a tax charity)
- # certain interest related to an inflation-indexed instrument
- # listed PIE dividends that are excluded income
- # amounts derived by a trustee of a trust after the effective date of an election under s [HC 33](#) for the trust ([¶25-530](#)), and
- # certain income derived by a dual resident company (see below).

Interest that is non-resident passive income is subject to NRWT on a payment basis. The income is not ascertained in accordance with the spreading method applied for the purposes of the financial arrangements rules, except to the extent the amount is non-resident financial arrangement income or an amount to which subpart [FG](#) (Treatment of notional loans to New Zealand branches of foreign banks) ([¶30-322](#)) applies.

NRWT is imposed on the gross amount of non-resident passive income. No deductions are permitted for any expenses incurred in gaining or producing the income. See *Fleming v C of IR* ([1983](#)) [6 NZTC 61,517](#).

Dividends

Dividends with credits attached

For NRWT purposes, the amount of any dividend paid to a non-resident does not include the amount of any imputation credits attached to the dividend. The imputation credits may support a 0% rate of NRWT ([¶26-452](#)) or a foreign investor tax credit for the New Zealand company. Supplementary dividends paid under the foreign investor tax credit regime are subject to the deduction of NRWT ([¶26-500](#)).

Dividends on liquidation or corporate migration

For NRWT purposes, a dividend includes a distribution on liquidation, or a deemed liquidation distribution under the corporate migration rules, of capital gains paid to an associated corporate non-resident shareholder.

Non-cash dividends

A deduction of NRWT is not made in relation to taxable bonus issues and non-cash dividends paid to a non-resident, but instead the payer of the dividend makes a payment to IR of an amount equivalent to such a deduction.

Dual resident company deriving dividends

Effective 30 August 2022, certain dividends derived by a New Zealand resident company that is not resident under a DTA are non-resident passive income. There is an exclusion for dividends that are exempt income, dividends derived from multi-rate or listed PIEs and certain trustee income (s [RF 2 \(2BA\)](#)).

Royalties

A royalty is payment made as consideration for the use or supply of certain types of property, particularly intellectual property. The definition of royalty in the Act is fairly comprehensive, but it is not exhaustive and therefore it is possible that additional items not specifically listed in the definition could come within its meaning — if such items are within its natural and ordinary meaning. An example of a royalty is a payment to an overseas franchisor for the right to use a trade name, a formula or process.

Interest

For the purposes of ascertaining non-resident passive income, “interest” is broadly defined to include every payment received by the lender in respect of the money lent with the exception of repayment of the principal sum. Interest can include a redemption payment, being the amount paid by a person on the redemption of a commercial bill to the extent that it exceeds the money lent. The concept of money lent does not include the amount the person paid for the bill, ie it is the amount paid by any person for the issue of the bill. Interest does not include fees which the borrower pays for professional services that are performed in arranging or managing the loan transaction, ie interest would not include fees such as legal fees, management fees, procurement fees and brokerage.

The definition of “interest” in the Act applies unless otherwise modified by a DTA. Some DTAs may contain a different definition or exempt certain interest payments.

The inflation-indexed component of an inflation-indexed instrument is treated as being non-resident passive income at the time the coupon interest is paid. This ensures that NRWT is deducted at the same time.

When non-resident passive income in the form of interest is derived by 2 or more persons jointly, one being a New Zealand resident, the tax rate applicable to the payment is adjusted by a prescribed formula incorporating foreign withholding tax on that interest.

The NRWT rules generally apply on a payments basis. There is an exception for interest accrued on a cross-border loan between associates. See further at [¶26-470](#).

Gross-up clauses

Often, a non-resident lender may wish to protect itself from the monetary effects of NRWT by providing for a “gross-up” clause in the loan agreement whereby the borrower is responsible for meeting the cost of the NRWT liability. The New Zealand borrower who pays gross interest and later ascertains that NRWT needs to be paid can recover the NRWT from the non-resident lender. In *Tag Pacific Ltd v The Habitat Group Ltd* (1999) 19 NZTC 15,069 (CA) a non-resident lender unsuccessfully relied on a settlement agreement in an attempt to resist reimbursement of the resident borrower.

Example:

Non-resident passive income of \$170,000 is paid net of tax where a 15% NRWT rate applied. The gross amount of non-resident passive income is calculated as follows:

$$\$170,000 \div (1 - 0.15) = \$200,000.$$

The NRWT is:

$$\$200,000 \times 15\% = \$30,000.$$

Approved issuer levy

NRWT reduces to a 0% rate where 2% approved issuer levy (AIL) is paid in relation to the interest paid by a New Zealand borrower. The AIL alternative is not available for interest paid between associates ([¶130-300](#)).

New Zealand branch

The onshore branch exemption has been narrowed so that it only applies to interest payments derived by the New Zealand branch of a non-resident, ie a non-resident with a fixed establishment in New Zealand does not derive non-resident passive income only if interest is derived from money lent by that New Zealand branch. Consequently, if money lent by the non-resident occurs outside of the scope of New Zealand branch activities, interest derived from the loan is subject to NRWT. Branch interest income would be subject to income tax.

The exception is that the New Zealand branch of a non-resident registered bank is not subject to NRWT on the interest derived from money lent to a non-associated borrower.

Note that the changes to the regime for interest derived from New Zealand by a non-resident with a New Zealand branch apply to financial arrangements entered into after 30 March 2017. For financial arrangements entered into before 30 March 2017, there may be a 5-year deferral of commencement of the revised regime. The deferral was available for a member of a New Zealand banking group and the trustee of a securitisation trust lending to non-associates. If the deferral applies, the revised regime for New Zealand branches applies as from the 2022–23 income year.

Note: Negative interest payments

The Commissioner confirmed in [QB 21/02](#), “Whether ‘negative interest’ payments are subject to withholding taxes”, that negative interest payments cannot be said to be paid for money lent and are therefore not subject to withholding taxes ([¶15-040](#)).

NRWT on hybrid arrangements — treaty issue

Section [RF 11C](#) deals with a hybrid mismatch issue that arises in the following circumstances:

The New Zealand PE of a non-resident company borrows money from another non-resident in the same overseas jurisdiction as the corporate headquarters of the PE. This occurs under a hybrid instrument that New Zealand treats as debt but the other country treats as shares. Under our DTAs, New Zealand is able to charge NRWT on interest payments made by a non-resident's New Zealand PE to another non-resident. However, New Zealand is not able to charge NRWT on dividends paid by one non-resident company to another (regardless of whether the dividends are connected with a PE in New Zealand). This means that whether New Zealand can charge NRWT on payments under a hybrid financial instrument in these circumstances depends on whether the payments are classified as interest or dividends for DTA purposes. Inland Revenue's view has been that New Zealand can charge NRWT on the payments. This is on the basis that the source state's (that is, New Zealand's) classification of the payment determines its tax treatment under the DTA. However, a question had been raised as to whether this view was correct.

Section [RF 11C](#) provides a hybrid mismatch rule allowing New Zealand to charge NRWT on payments under certain cross border hybrid financing instruments if New Zealand treats the payment as interest. This rule overrides our DTAs.

Law: IT07 ss [CC 9](#), [RF 2](#), [RF 11C](#), [YA 1](#) (“[dividend](#)”, “[interest](#)”, “[money lent](#)”)

Last reviewed on 31 December 2025

Rates of NRWT [¶26-452]

[¶26-452]

[Click to open document in a browser](#)

Ascertaining the rate of NRWT applicable to a payment of non-resident passive income may be a 2-step process. The domestic law provides for rates of 30% and 15% and, in addition, may reduce those rates to 0% in certain circumstances. The NRWT rate set by the domestic law is subject to the possibility of a DTA creating an exemption from NRWT or reducing the rate otherwise applicable.

NRWT rates under domestic law for the different classes of non-resident passive income are the following:

dividends:

0% to the extent to which a non-cash dividend is fully imputed

0% to the extent to which a fully imputed dividend is paid to a shareholder holding:

- a direct voting interest of 10% or more in the New Zealand company
- a direct voting interest of less than 10% in the New Zealand company where a DTA would otherwise reduce the NRWT rate to less than 15%

15% to the extent that the dividend is:

- fully imputed, or
- a supplementary dividend, or
- an investment society dividend, or
- a payment of a fully imputed dividend and related supplementary dividend derived by a foreign investment PIE and distributed to a notified foreign investor (NFI)

the post-treaty tax rate, if applicable, on the non-imputed portion of the dividend

(from 30 August 2022) for certain partly imputed dividends derived by a New Zealand resident company treated as non-resident under a DTA, the lesser of:

- NRWT payable in the absence of s [RF 11BB](#), and
- NRWT on the unimputed portion of any dividends paid by the recipient company while it was DTA non-resident.

(The application of s [RF 11BB](#) is discussed in *Tax Information Bulletin* [¶356-102, Vol 35 No 6](#), July 2023 at 57.)

30% in other cases

interest:

0% where:

- 2% AIL is paid by the borrower to a non-associate (unless a beneficiary under a loan enforcement trust), or
- the interest is paid on listed, widely-held bonds, or
- the interest is paid by a transitional resident ([¶15-700](#)) to a non-associate on money borrowed while non-resident that does not relate to a business carried on through a fixed establishment in New Zealand

15% in other cases

royalties: 15%.

A DTA may reduce these rates or, in some cases, create an exemption from NRWT entirely. For example, the DTAs with Australia and the United States of America exempt dividends where at least 80% of the voting power in the New Zealand company has been owned for at least 12 months by Australian and American, respectively, listed companies. A usual requirement for DTA modification is that the non-resident passive income is not associated with a PE in New Zealand. A DTA generally provides for the following maximum rates of NRWT on the different classes of non-resident passive income:

dividends — 15%

interest — 10%
royalties — 10%.

Reduced NRWT rates under the DTAs with Australia and the United States triggered the most favoured nations provisions of the DTAs with Chile and Mexico to require matching NRWT rates on dividends and royalties paid to residents of those contracting states. Diplomatic notes were passed to effect the changes to the Chile and Mexico DTAs with effect from 1 May 2010.

Law: IT07 ss [RF 7–RF 12](#)

Last reviewed on 31 December 2025

Payment of NRWT [¶26-455]

[¶26-455]

[Click to open document in a browser](#)

A person who makes a payment of non-resident passive income must withhold the amount of NRWT and pay it to the Commissioner (s [RA 6\(2\)](#)). NRWT is payable to IR by the 20th of the month following the month NRWT is deducted. However, if deductions of less than \$500 are expected to be made during the year, payments can be made in 2 instalments, on 20 October (for deductions made from 1 April to 30 September inclusive) and 20 April (for deductions made from 1 October to 31 March inclusive) each year. If payments exceed the \$500 threshold, the taxpayer must revert to the monthly payment system, the first payment being due by the 20th of the month after the \$500 limit has been reached.

Certain investment income information must also be provided to the Commissioner ([¶26-457](#)).

In general, information concerning NRWT paid must be given to IR monthly. Annual reporting is allowed for royalties, the due date being 31 May. For dividends paid to dual resident companies, the date of payment may be treated as deferred for 2 years (s [RA 6](#)).

Foreign currency

When NRWT is deducted in a foreign currency, the deduction should be converted into New Zealand dollars before being paid to IR. The legislation is silent on how/when the conversion should be made to New Zealand currency, but IR's policy is that the conversion should be made at the exchange rate which applied on the day on which the non-resident passive income was paid. See [IR291](#), "NRWT - Payer's Guide" (April 2024) at p 17.

Cessation of activity

A person who ceases the taxable activity giving rise to the non-resident passive income must remit all outstanding non-resident withholding deductions to the Commissioner by the 20th of the month following cessation of that activity.

Cease being resident

Where a company ceases to be resident in New Zealand, NRWT payable on any deemed distributions to non-resident shareholders under the corporate migration rules must be paid ([¶16-870](#)), and the relevant investment income information provided, within 3 months of the date of emigration.

The Commissioner has the discretion to extend the time for payment of any amount of NRWT.

Payment to agent

If a payment of non-resident passive income is made to an agent in New Zealand, the payer is required, at the time of making the payment, to advise that agent in writing of the amount of the NRWT which has been deducted. Should an agent in New Zealand receive a payment from which no deduction (or an insufficient deduction) has been made, that agent is required to deduct the requisite amount of NRWT at the time the agent receives the payment.

From 1 April 2020, the withholding and reporting obligations of custodial institutions have been clarified. The provision dealing with payment to an agent has been extended to include payment to a custodial institution.

In addition, a custodial institution is able to transfer its withholding and/or reporting obligations to another person or another custodial institution. For further discussion on the provisions concerning custodial institutions, see [¶15-187](#).

Obligation to withhold

A person who makes a payment of non-resident passive income becomes liable to withhold an amount by way of NRWT from the payment and pay the amount withheld to the Commissioner. The obligation to withhold arises when the non-resident passive income is paid (s [RF 3](#)).

In the absence of a withholding of the full amount of NRWT, the shortfall becomes a debt to the Commissioner for the person required to withhold (s [RF 6\(2\)](#)). The Commissioner may take steps to recover an unpaid amount towards the person required to withhold the NRWT or the recipient of the non-resident passive income, whether or not they are the same person (s [RF 6\(4\)](#)).

In the event that the payer of the non-resident passive income fails to withhold NRWT but must subsequently account for the tax to the Commissioner, a right of recovery under s [165](#) of the TAA that any person who pays tax for, or on behalf of, any other person shall be entitled to recover the amount against that person as a debt.

Correction of errors

From 1 April 2020, changes made mean that errors can still be corrected in the year that they occurred in, but they are also able to be corrected in the following year if they are under the threshold for error correction. The changes broaden the application of the error correction provisions and apply to all forms of income subject to NRWT. Adjustments must be made by the next regular reporting date for the delivery of investment income information ([126-457](#)) if it is reasonably practical to do so.

Errors can be corrected by deducting an amount from a subsequent payment to the payee made in the following year, provided that the total tax being corrected is no more than the greater of \$2,000 or 5% of the payer's NRWT withholding liability for the year in which the error occurred. For example, if the payer paid \$100,000 of NRWT in the year of the errors, NRWT errors of up to \$5,000 could be corrected in the following year. Corrections made that meet these requirements are treated as having been made in time and as such are not subject to penalties or interest.

When tax has been withheld at a higher rate than it should have been, the excess amount can be paid to the recipient at any time before the 20th of April after the end of the tax year, provided the payer has not already reported to the payee via a withholding certificate or dividend statement. Once the year-end information has been provided to the Commissioner, the additional tax credits are pre-populated into the recipient's tax records and able to be refunded by IR if it results in the recipient's income tax being overpaid.

The error correction provisions have also been extended to cover non-cash dividends, allowing payers to make a correction by grossing up the payment for tax, provided any such adjustment meets the thresholds for corrections made in the following tax year.

The Commissioner must be notified of any adjustments at the time they are made.

Law: IT07 ss [RA 6](#), [RA 11](#), [RA 12](#), [RA 15](#), [RA 16](#), [RA 18](#), [RF 3](#), [RF 4](#), [RF 6](#), [RF 13](#); TAA subpt [3E](#), ss [165](#), [227E](#), Sch [6](#)

Last reviewed on 31 December 2025

Investment income information requirements from 1 April 2020 [¶26-457]

[¶26-457]

[Click to open document in a browser](#)

From 1 April 2020, payers of interest and dividends are required to provide investment income information in electronic form by the 20th of the month following the month in which the income was paid (unless the Commissioner approves an exemption). Subpart 3E of the TAA, ss 25B to 25R, codifies the requirements regarding information that payers of investment income must provide to IR. Investment income includes non-resident passive income (¶26-450).

For the 2022–23 and later income years, an exception applies where a person estimates that they will not be required to withhold total NRWT of \$500 or more for a tax year. In this case, the person may deliver the investment income information in electronic format on a 6-monthly basis as follows:

- # for the period 1 April to 30 September, by 20th October, and
- # for the period 1 October to 31 March, by 20th April.

The details of the particular investment income information to be provided are set out in Sch 6 to the TAA. This differs depending on the type of investment income paid. Generally, a payer of interest (including interest on domestic debt subject to the AIL) or dividends is required to deliver investment income information to IR in electronic form by the 20th of the month following the month in which the amount of investment income was paid to the payee. Certain dividends derived by dual resident companies (s CD 1(3)) are treated as paid on the DRCD deferral date (the date that is the second anniversary of the date the dividend was actually paid): ss 25F and 25G.

A person paying royalties to non-residents will continue to have to deliver the relevant investment income information to IR in electronic form by 31 May after the end of the tax year: s 25H.

Operational statement on exemption from electronic filing

Operational statement OS 19/01 “Exemption from electronic filing” discusses the criteria for a person to be granted an exemption from filing electronically. The Commissioner will take into account the availability, and type, of connection to the internet and accepts that a person will need at least a broadband internet connection. The reliability of the connection will also be considered and the statement states that an unreliable internet connection will be a significant factor in granting an exemption. The Commissioner will consider whether the person has the necessary computer skills to be able to use the digital technology and, if not, whether they have an employee, or can engage the services of someone, who is able to use the technology. Whether the person has some disability that affects their ability to use digital services will also be relevant. If a person uses a computer with an internet connection in their business or as part of their everyday affairs, the Commissioner considers it reasonable to expect they will have little difficulty in sending the necessary returns/information electronically. The question of costs will be considered by determining what is unreasonable in the circumstances of the particular person. The Commissioner accepts that the circumstances for some payers of investment income may be different to that of an employer or a registered person in that they may not necessarily be in business and are perhaps less likely to have a computer or any other means to connect to the internet. It is the Commissioner’s view that it would be unreasonable to expect such a person to incur the cost of buying a computer and connecting to the internet for the sole purpose of meeting the requirements of the legislation, and that an exemption would appear appropriate in such circumstances.

Law: TAA subpt 3E, s 227E, Sch 6

Last reviewed on 31 December 2025

NRWT is a final or interim tax [¶26-460]

[¶26-460]

[Click to open document in a browser](#)

NRWT may be a final tax or an interim tax according to the kind of non-resident passive income in question. No tax return is required to be filed if NRWT is the only tax on the non-resident passive income and the non-resident has no other New Zealand sourced income.

NRWT as a final tax

NRWT is a final tax for:

- # dividends other than investment society dividends
- # cultural royalties (being those royalties for the use or production of any literary, dramatic, musical or artistic work in which copyright subsists)
- # interest or royalties derived by a non-resident life insurer electing to be resident in New Zealand
- # interest or investment society dividends where the parties are not associated, or
- # interest when the payer is a member of a New Zealand banking group.

NRWT as an interim tax

NRWT is an interim tax for the following kinds of non-resident passive income:

- # interest or investment society dividends derived by an associated person, and
- # industrial and commercial royalties and payments for know-how.

If taxation of the non-resident passive income on an annual assessment basis would produce a greater tax liability, the tax liability of the non-resident is increased to the larger amount (an unlikely outcome should there be deductible expenses available). However, the NRWT continues to be the only tax when the non-resident is a company that derives total income from New Zealand for the tax year not exceeding \$1,000.

Law: IT07 s [RF 2\(3\)–\(6\)](#)

Last reviewed on 31 December 2025

Assessment of NRWT [¶26-467]

[¶26-467]

[Click to open document in a browser](#)

A person deriving non-resident passive income from which no deduction has been made, or for which no payment of tax has been made, is liable to pay the requisite amount to the Commissioner. This amount is regarded as a debt payable to the Commissioner and may be recovered from the person who should have made the deduction or payment, as well as from the person deriving the non-resident passive income. If an amount of tax is chargeable and no one has paid the Commissioner, an assessment may be issued and the provisions of the Act relating to income tax assessments apply accordingly.

The Commissioner may make a refund when excess NRWT has been deducted, although sufficient evidence must be provided. A person who is due a refund of NRWT may make a request to the Commissioner under the tax transfer rules ([¶12-148](#)) to have the refund applied in payment of any amount of unpaid tax.

Other parts of the Act, relating to the recovery of tax penalties, prosecutions, etc, apply with respect to NRWT as if it were income tax levied under s [BB 1](#). NRWT is not part of a provisional tax calculation.

Law: IT07 ss [RA 2](#), [RA 8](#), [RA 10](#), [RA 19](#), [RA 23](#), [RF 6](#), [RM 8](#); TAA ss [100](#), [165B](#), [173T](#)

Last reviewed on 31 December 2025

Non-resident financial arrangement income and related-party debt [¶26-470]

[¶26-470]

[Click to open document in a browser](#)

Non-resident passive income includes non-resident financial arrangement income (NRFAI).

The rules for NRFAI ensure that an NRWT liability arises on interest on related-party debt at approximately the same time that an income tax deduction is available to the borrower for that interest. This is achieved by bringing the rules dealing with timing and quantification of income subject to NRWT in line with the financial arrangements rules. The rules apply to a cross-border loan between associates, extended to include lending through an associated non-resident owning body. The rules also encompass a back-to-back loan through a non-associated intermediary. Loans within the scope of the rules are described as related-party debt.

The borrower under a related-party debt is required to calculate whether there has been a deferral in the payment of interest for the income year that gives rise to NRFAI. There is no deferral giving rise to NRFAI if the interest accrued for the income year is paid no later than 2 months after balance date. There is also no NRFAI if the interest expense is less than \$40,000.

The following are the key concepts:

- # NRFAI: the equivalent of the interest derived by the non-resident lender
- # related-party debt: a financial arrangement between associated persons, or persons who are regarded as associated, providing funds to a borrower who is allowed a deduction for expenditure under the arrangement, and
- # indirect associated funding: an arrangement involving some form of back-to-back lending.

An offshore lender is said to derive NRFAI when all of the following apply:

- # the lender is associated with or related to a borrower who is resident in New Zealand
- # the funding is provided through related-party debt
- # interest payments are deferred compared to interest deductions by the borrower, and
- # the borrower's expenditure on the related-party debt is more than a de minimis amount.

The NRWT treatment is to align the NRFAI of the lender with the amount of the expenditure incurred by the borrower on the related-party debt. An adjustment is made for the first year in which the lender derives NRFAI. The lender is treated as having derived an additional amount that is sufficient to overcome the effect of a deferral of payment of the interest. The lender's income is non-resident passive income from which NRWT must be accounted for.

Related-party debt

Related-party debt is a financial arrangement under which the lender and the borrower are associated persons, there is indirect associated funding or funding is through an associated non-resident owning body. The financial arrangement must also confer an allowable deduction for the borrower.

To ensure that the concept of related party debt is sufficiently broad, the notion of money lent is extended in these circumstances to a financial arrangement that provides funds which result in the borrower incurring financial arrangement expenditure. With the focus on providing funds, a finance lease may fall within the concept but not, in general, a swap, futures or option instrument.

A financial arrangement to which a member of a New Zealand banking group is a party will not be related-party debt, except where the funding is provided through an indirect associated funding arrangement. If there is related-party debt through lending by a non-resident owning body, the lender and the borrower are treated as associated for NRFAI purposes.

Indirect associated funding arrangement

An indirect associated funding arrangement refers to an arrangement under which a non-resident, as the indirect lender, provides funds to a direct lender who provides funds to the borrower and:

- # there is the purpose or effect that the borrower incurs financial arrangement expenditure and the indirect lender does not derive non-resident passive income from the borrower
- # the indirect lender and the borrower are associated, and
- # the funding is not otherwise related-party debt.

For this purpose, association between a non-resident owning body and a borrower exists when the ownership interest of all members of the body in the borrower is 50% or more.

Payments under the indirect associated funding arrangement are treated as having been made between the indirect lender and the borrower, disregarding the direct lender. Payments between the indirect lender and the direct lender that exceed payments between the direct lender and the borrower are disregarded.

Should the borrower fail to withhold NRWT, the indirect lender becomes liable to do so. The indirect lender's liability is subject to the qualification that withholding is not required where the borrower advises that there is no indirect associated funding arrangement. Any excusing of the indirect lender to withhold NRWT does not affect the liability of the borrower to withhold.

Non-resident financial arrangement income

NRFAI is defined in s [RF 2C](#). In order for the section to apply, all of the following must first be satisfied:

- # the borrower is resident in New Zealand or is a non-resident operating through a fixed establishment in New Zealand
- # the lender is a non-resident who does not provide the loan funds through a New Zealand fixed establishment, and
- # the arrangement produces non-resident passive income.

Section [RF 2C](#) then provides that NRFAI for a financial arrangement and an income year means an amount having a source in New Zealand that is accrued on a related-party debt and derived by a lender in the income year when:

- # NRFAI was derived from the loan by the lender in an earlier income year, or
- # the borrower's total expenditure for the income year on the related-party debt is more than the de minimis amount and the deferral calculation in relation to the financial arrangement is less than 90%.

An election is available to disregard the de minimis threshold and the deferral calculation (see below).

De minimis expenditure

The de minimis threshold is \$40,000 or less. The threshold is determined by aggregating the previous year's total expenditure on all related-party debt incurred by the borrower and other companies in the same group of companies.

Note that the calculation is made in the currency of the financial arrangement, thus incorporating any foreign exchange movements and meaning a separate calculation excluding exchange fluctuations is not required.

Deferral calculation

Taxpayers are required to complete a deferral calculation for each related-party debt at the end of the second and subsequent years following issue of a financial arrangement to determine whether NRFAI arises. Where the deferral calculation is satisfied, NRFAI does not arise and the related-party debt continues to be taxed under the existing NRWT rules. The deferral calculation to be undertaken is:

$$\text{accumulated payments} \div (\text{accumulated accruals} - \text{hybrid deductions})$$

where:

accumulated payments is the total interest paid by the borrower since the financial arrangement became a related-party debt until the NRFAI due date for the borrower's income year (being the 20th of the third month after balance date)

accumulated accruals is the total expenditure the borrower incurs under the related-party debt over the same period, and

hybrid deductions is the period's denied deduction under the hybrid mismatch rules.

The item for hybrid deductions ensures that expenditure subject to the hybrid mismatch rules ([126-650](#)) is not taken into account in determining whether a loan gives rise to NRFAI.

With identification of the NRFAI due date, the NRFAI is deemed to have been paid on the last day of the preceding month, that is, at the end of the second month following balance date. The due date is appropriately brought forward should the related-party debt be repaid during the income year.

The deferral calculation is made in the currency of denomination of the related-party debt.

The calculation is treated as producing a deferral of more than 90% if the accumulated accruals item is equal to the hybrids deduction item or if the NRFAI due date is before related-party debt status applies.

The deferral calculation helps identify the scenario where there is a significant deferral between the payment of interest and the accompanying NRWT liability compared with the borrower's deduction for the interest expense. Although interest may be accrued on a daily basis the parties' loan agreement may provide that it is paid in arrears. However, if the interest for an income year is accrued to balance date but paid shortly afterwards, there would be no objectionable deferral of the payment of interest.

To assist with identifying a significant deferral the item for accumulated payments incorporates interest paid 2 months after balance date. That allows for interest accrued during the year but paid shortly after balance date.

The item for accumulated accruals and its exclusion for the most recent income year recognises that accruals calculated pursuant to the financial arrangements rules may often not be determined until shortly before the income tax return is filed. Using accumulated accruals but excluding the current year accrual means that the majority of the necessary calculations will have already been completed in the ordinary course of business.

Adopting a 90% rather than a 100% threshold also assists with identifying a related-party debt arrangement that does not confer a significant deferral.

Note that once NRFAI arises in a year, NRWT continues to apply on an accrual basis so long as the financial arrangement is related-party debt. This means it will not be necessary for a taxpayer to repeat the above deferral calculation once the 90% threshold has been breached.

Election to disregard de minimis threshold or deferral calculation

Under s [RF 12G](#), the borrower can choose to disregard the de minimis calculation or the deferral calculation in the first income year in which the borrower is party to the financial arrangement. Similarly, a deferral calculation that results in a deferral of more than 90% may be disregarded, provided the related-party debt is for a term greater than 12 months and it is reasonably expected that NRFAI will arise for a later income year.

To make an election the taxpayer must notify the Commissioner by the earlier of the first day on which interest is paid or the last day of the income year in which the arrangement becomes a related-party debt.

Calculating non-resident financial arrangement income

The general rule is that the amount of NRFAI derived by a lender for all or part of an income year is an amount equal to the expenditure the borrower incurs in the income year on the related-party debt.

The expenditure of the borrower is that expenditure determined by the spreading method applied under the financial arrangements rules in subpt [EW](#). Note that the fair value method and the market value method are excluded; if the borrower has used either of these methods another spreading method must be applied.

The borrower's expenditure may include an expense of the borrower under the related-party debt that is not received by the lender.

The calculation of income and expenditure is to be made in the currency of denomination of the loan. The income of the lender does not include foreign currency gains imputed as income of the borrower.

There is an adjustment for the first income year in which the lender derives NRFAI. The adjustment is to add an amount the lender would have derived if the loan had always given rise to NRFAI.

The adjustment is calculated under the formula:

$$\text{total accrual income} \div \text{total interest}$$

where:

total accrual income is total expenditure incurred by the borrower from the date the borrower became a party to the loan to the last day of the prior income year, and

total interest is total interest paid by the borrower to all non-residents from the date the borrower became a party to the loan to the NRFAI due date for the borrower's income year.

The calculation identifies the NRFAI for the first year in which the loan becomes related-party debt.

Payment of non-resident financial arrangement income

NRFAI is treated as paid on the last day of the second month following the end of the borrower's income year. In accordance with the general NRWT rules ([¶126-455](#)), the NRWT return will then be due on the 20th of the third month after balance date.

The payment date is brought forward should the related-party debt be repaid or cease to have that status. The NRFAI for the income year is treated as having been paid on the last day of the second month following the relevant terminating event.

Application

The provisions on NRFAI generally apply to the first income year of the borrower that starts after 30 March 2017. That is even if the loan had been made before that date.

For further discussion on the NRFAI rules, including examples of how the provisions operate, see *Tax Information Bulletin* [¶1295-106 Vol 29, No 5](#), June 2017 at 52–70.

Law: IT07 ss [RF 2](#), [RF 2B](#), [RF 2C](#), [RF 12D–RF 12J](#), [RZ 13](#), [YA 1](#) (“[money lent](#)”, “[non-resident owning body](#)”)

Last reviewed on 31 December 2025

Non-resident contractors [¶26-480]

[¶26-480]

[Click to open document in a browser](#)

#Note: the Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes the following amendments to the non-resident contractor's tax (NRCT) rules:

- # codify an exclusion for non-resident aircraft operators and shipping operators carrying international cargo from NRCT
- # clarify that SaaS contracts are not subject to NRCT except to the extent to which the services involves infrastructure or personnel located in New Zealand.

A schedular payment, as a class of PAYE income payment, may create a 15% withholding obligation in relation to payments made to a non-resident contractor. If applicable, the withholding is an interim tax so that the non-resident contractor should file an annual tax return, showing the year's schedular payments and associated expenses, and claim a credit for the 15% withholding (with top-up tax to pay or a refund to be received, as appropriate). A DTA may operate to effectively create an exemption if there is no permanent establishment in New Zealand.

A non-resident contractor may now also elect their own rate of withholding, subject to a 15% minimum rate. See [¶3-044](#) for a full discussion of the taxation of schedular payments.

A non-resident contractor is a non-resident who:

- # performs services of any kind in New Zealand (except as an employee), or
- # supplies the use of, or right to use, in New Zealand any personal property or services.

Withholding from a schedular payment applies to the extent that the payment is a contract payment. Excluded from the notion of a contract payment is:

- # a royalty
- # a reimbursement of costs of the non-resident contractor (unless the parties are associated), and
- # payments for labour-only building work or as crew of a fishing boat.

If a non-resident contractor has not elected a rate or received a special tax rate certificate, the standard rate of withholding from a schedular payment to a non-resident contractor is 15%. The Commissioner's view is that the standard non-resident contractor rate is to be applied only when the schedular payment does not fall within a more specific category of schedular payment (for example, the 25% rate applying to payment for media contributions carried out by freelance contributors).

Grossing up of the schedular payment may be required when the payer of the schedular payment pays a tax-inclusive amount whilst being responsible for the tax on the payment. In that event, the amount paid to the non-resident contractor is regarded as the net (after-tax) amount. The gross-up calculation is the same as for NRWT purposes (division of the net amount by 0.85: for an example, see [¶26-450](#)).

Exclusions from schedular payment

No schedular payment is paid to the non-resident contractor, and therefore no withholding obligation arises, where one of the following applies:

- # the payment is an exempt payment under s [24H](#) and [Sch 5, pt C, cl 6](#) of the TAA
- # the payment is for services provided by the non-resident contractor who has full relief from tax under a DTA and who is present in New Zealand for no more than 92 days in a 12-month period, or
- # the total amount paid to the non-resident contractor is no more than \$15,000 in a 12-month period.

Arrangements with residents

From 1 April 2024, tax obligations of non-resident contractors are simplified. A non-resident contractor with a schedular payment may make an arrangement with a New Zealand resident for the resident to carry out the contractor's tax obligations for a tax year and may nominate the resident for that purpose. The resident must advise IR that they are to act for the contractor in relation to the discharge of those obligations. The contractor cannot make a separate return or assessment for the tax year while part of the arrangement concerning the tax obligations.

Each person who is part of the arrangement is jointly and severally liable for the contractor's tax payments. The nominee may also provide a compliance history for the purposes of obtaining an NRCT exemption for the contractor under s [RD 24](#).

Interpretation statement [IS 10/04](#) "Non-resident contractor schedular payments" addresses some interpretative issues and other practical matters related to non-resident contractor's tax on schedular payments. A number of examples are included.

If the non-resident contractor conducts more than one activity in New Zealand, each one is considered separately for the purposes of the second of these exclusions. The fact that one or more activities or investments do not have full relief under an applicable DTA does not affect whether payments for another activity are excluded from being a schedular payment. For example, the fact that interest or dividends do not have full relief does not affect whether contract payments for, say, providing services in New Zealand, are schedular payments.

NRCT grace period

A grace period may apply to a payment to a non-resident contractor so that the person who has made the payment is not subject to use of money interest or shortfall penalties. This relief is allowed to the extent that the tax obligations for the schedular payment are satisfied within the grace period. Requirements are:

- # when the schedular payment is made, it is unclear whether tax must be withheld from it
- # at the due date, all or part of the tax owing on the payment is unpaid, and
- # the payer can show they have taken reasonable measures to comply with their tax obligations for the schedular payment.

If a threshold in s [RD 8](#) is exceeded (for example, the \$15,000 per annum limit for non-resident contractor income) then the person who made the payment has 60 days in which to make reasonable efforts to satisfy their tax obligations. This grace period begins on the earlier of the date of the breach or the date when the employer could reasonably have foreseen the breach.

In effect, the payer is eligible for the grace period if reasonable efforts to comply with tax obligations have been made. Relief from interest and penalties is available to the extent the obligations are satisfied.

Exemption

An exemption from withholding may be granted by the Commissioner in any one of the following circumstances:

- # the non-resident contractor does not derive assessable income because of a DTA or for some other reason, or
- # in the preceding 24 months the non-resident contractor has paid all income tax owing, complied with the contractor's New Zealand tax obligations and the Commissioner is satisfied that the compliance will continue.

Before 1 April 2024 a non-resident contractor was required to provide a bond for income tax payable.

Special tax rate certificate

The Commissioner has a discretion to issue a special tax rate certificate to a non-resident contractor specifying the amount of tax on the schedular payment or the rate of tax applying to schedular payments. The special tax rate certificate may be based on any relevant factors such as the expected revenue and expenditure resulting from the contract and the non-resident contractor's other sources of income or losses. The non-resident contractor who is to receive a schedular payment for the use of or the right to use personal property may, for example, request a special tax rate certificate to align with the tax rate provided for in the royalties article of an applicable DTA.

Shortfall penalties

The penalty for failing to withhold tax from payments made to non-resident contractors is \$250 for each month in which a breach occurred. The penalty is capped at \$1,000 per requirement to provide employment income information. This penalty will apply instead of a penalty to take reasonable care if a DTA relieves a non-resident contractor from all liability to pay tax on the payment. For remission provisions, see [¶14-180](#).

Law: IT07 ss [RD 8](#), [RD 23](#), [RD 24](#), [YA 1](#) (“[contract payment](#)”, “[non-resident contractor](#)”), [Sch 4, pt A](#); TAA ss [24H](#), [24HB](#), [141AA](#), [141GC](#), [Sch 5, pt C, cl 6](#)

Last reviewed on 31 December 2025

Non-resident sportspeople and entertainers [¶26-485]

[¶26-485]

[Click to open document in a browser](#)

Subject to the exemption in s [CW 20](#), tax at the rate of 20% should be withheld under the PAYE rules from payments made to non-resident sportspeople or entertainers for performances given during a visit to New Zealand. This tax is a final tax unless the person elects to put in a return (in order to claim expenses) or there is other income from New Zealand to be taken into account. If no amount is withheld from the payment when it is made to the entertainer, the entertainer must pay the tax to IR by the 20th day of the month following that in which the payment was made, or by the date of their departure from New Zealand if that is earlier.

Note that, unlike a non-resident contractor, a non-resident entertainer cannot elect their own rate of withholding tax or obtain a special tax rate certificate and they also cannot apply for an exemption ([¶13-044](#)).

In the case of a US entertainer, the DTA with the United States provides that gross receipts not exceeding US\$10,000 are exempt from tax.

The definition of “non-resident entertainer” is set out in s [YA 1](#) for the purposes of the PAYE rules. From 1 April 2024, it has been clarified that a “non-resident contractor” specifically excludes a non-resident entertainer.

Exemption for cultural programmes

Pursuant to s [CW 20](#), there is an exemption from New Zealand tax for any income of a non-resident sportsperson or entertainer derived from an activity or performance during a visit:

- # that occurs under a cultural programme of, or wholly or partly sponsored by, the New Zealand Government or any overseas Government
- # is conducted under the auspices of a not-for-profit overseas foundation, trust or other organisation that promotes cultural activities for the public, or
- # in relation to any sport in which the participant is the official representative of a body that administers the sport in the overseas country.

Section [CW 20](#) has its own definition of the term “non-resident entertainer”. The exemption extends to the employer of a non-resident entertainer, or the entertainer’s own company or business.

The Commissioner discussed the circumstances in which the exemption in s [CW 20](#) will apply in Interpretation Statement [IS 19/03](#), “Income tax — Exempt income of non-resident entertainers”. [IS 19/03](#) discusses each of the circumstances in which income derived by a non-resident entertainer, other than a sportsperson, will be exempt. It then discusses when income derived by a non-resident entertainer from sporting activities will be exempt, considering the need for the sportsperson to be an official representative of an administering body. It also discusses what happens if the income is derived by the non-resident entertainer’s employer, or a company or firm with which the entertainer has some connection, rather than by the entertainer themselves. [IS 19/03](#) also includes a number of examples to assist in explaining the application of the law.

Cultural programme

A cultural programme will belong to the government (New Zealand or overseas) if that programme is funded by the government. For completeness, as this is a departure from the view taken by the Commissioner in the earlier 1992 item, in [IS 19/03](#) the Commissioner notes that neither the wording nor the policy of the legislation requires:

- # the non-resident entertainer to be an employee of the government or a government agency, or
- # the funding to be by way of monetary remuneration to an employee.

The Commissioner's view is also that sponsorship of a cultural programme requires the government (New Zealand or overseas) to pay or contribute to the costs of that programme. That is, the cultural programme must be wholly or partly funded by the government. The Commissioner's view is that a programme that has received government funding to any extent will be the kind of programme that was anticipated to qualify under the exemption.

Not-for-profit overseas organisations

In relation to visits organised by an overseas non-profit foundation, trust or organisation formed to promote cultural activities, the visits could include national, state and civic organisations such as orchestras, choirs and similar public-funded cultural activities. The Commissioner's view is that, in practice, the inclusion of "other organisation" indicates that the provision potentially applies to any overseas group of people that meets the stipulated requirements. Note that a performance under a programme of a New Zealand organisation will not meet the requirements, even if the entertainer is a non-resident.

Sportspeople

In relation to sportspersons, the athletes have to be the official representatives of an administering body of the sport in their home country. A person who merely affiliates with, or is a member of, an administering body will not qualify for the exemption. Similarly, a person will not qualify if they affiliate with a sporting body but compete on an individual basis rather than as an "official representative" of that body. The exemption only applies to sportspersons who officially represent their overseas country. The effect of this requirement is that the exemption is available for a visiting national team but not a club or provincial side.

Supporting personnel

[IS 19/03](#) also discusses the position of supporting personnel for touring performers and sportspersons and whether they have a sufficient connection with the relevant event. The Commissioner's view is that supporting personnel are not included as non-resident entertainers or sportspersons. However, supporting personnel may still qualify for an exemption under s [CW 19 \(126-420\)](#).

Service provider

There is an extension of the exemption to entertainers and sportspersons who perform their activities through a service provider. If the income would have been exempt if derived by the non-resident entertainer, the exemption continues to be available to a service provider that:

- # provides the services of the non-resident entertainer during the visit to New Zealand, and
- # is one of the following:
 - # the entertainer's employer
 - # a company of which the entertainer is an officer, or
 - # a firm of which the entertainer is a principal.

There is no restriction on the residency of the service provider.

Law: IT07 ss [CW 20](#), [RD 19](#), [YA 1](#) ("non-resident entertainer"), [Sch 4, pt F](#)

Last reviewed on 31 December 2025

Non-resident software suppliers [¶26-495]

[¶26-495]

[Click to open document in a browser](#)

To provide guidance on the income tax treatment of payments for computer software, IR published the interpretation guideline, “Non-resident software suppliers’ payments derived from New Zealand — income tax treatment” (*Tax Information Bulletin* ¶1511-103 Vol 15, No 11, November 2003, at 8).

The guideline takes the approach that computer software transactions can generally be classified into 2 types:

- # those relating to the copyright rights in the computer program, and
- # those relating to copies of the program protected by copyright.

For tax purposes, it is important to determine which category the transaction falls into, because consideration received from a transaction involving the use of, or the right to use, a copyright is a royalty; whereas consideration received from a transaction involving the use of, or the right to use, a computer program is not. When considering this issue, the method of delivery, the form of consideration or the labels used are not relevant. Regard must be had to the terms of the particular agreement between the parties and all the circumstances of the case from a practical and business perspective.

The guideline considers the following types of computer software transactions:

- # sale of a copyright right in a computer program (generally not subject to NRWT but possibly taxable as business income)
- # licence of a copyright right in a computer program (generally subject to a final NRWT)
- # sale of a copy of a computer program or copyrighted article, including software with an end-user licence or “shrink-wrap” software (generally not subject to NRWT but possibly taxable as business income)
- # lease of a copy of a computer program (generally subject to schedular withholding tax under the PAYE rules, or NRWT on a royalty, or as a finance lease with the interest component subject to NRWT or AIL)
- # supply of services for the development or modification of a computer program not connected with a licence of copyright rights or knowhow (generally taxed as business income and subject to schedular withholding tax under the PAYE rules)
- # supply of knowhow relating to a computer program (generally subject to a minimum NRWT).

The application of a DTA in any of the above transactions is also considered.

The guideline also contains discussion on several other matters, such as the special characteristics of computer programs, use of market intermediaries and the provision of ancillary services. A number of examples are also provided.

Last reviewed on 31 December 2025

Foreign investor tax credit (FITC) and supplementary dividends [¶26-500]

[¶26-500]

[Click to open document in a browser](#)

The foreign investor tax credit (FITC) regime is potentially applicable only in relation to dividends paid to a non-resident shareholder who holds a less than 10% voting interest in the distributing company or where the rate of NRWT applicable to the dividend is 15% or more. If applicable, the objective of the FITC regime is to recoup from the non-resident shareholder the NRWT on a dividend to the shareholder to the extent that the dividend is fully imputed.

This is achieved by the payment of an additional “supplementary dividend” to foreign investors equal to the NRWT imposed on the dividend. A tax credit, based on the dividend imputation credit and equal to the supplementary dividend, is allowed to a New Zealand resident company that pays an imputed dividend and a supplementary dividend to the same foreign investor. While NRWT remains payable, its cost to the non-resident is effectively removed by the payment of the supplementary dividend.

FITC is available where, in an income year, a New Zealand resident company (with respect to its own shares) pays a dividend and a related supplementary dividend to a non-resident shareholder where:

- # the non-resident shareholder has less than a 10% direct voting interest in the company, and
- # the post-treaty tax rate for the initial dividend and its related supplementary dividend is 15% or more.

A “supplementary dividend” is a dividend paid in respect of an earlier dividend in the same income year and is equal in amount to the tax credit calculated with respect to that earlier dividend. Only one supplementary dividend can be paid with each dividend. Imputation credits are not attached to the supplementary dividend.

Calculation of FITC

The amount of the FITC credit is calculated by multiplying the amount of the imputation credit that would otherwise be attached to the shareholder's dividend by 54/119 (equivalent to 0.4537815 of the imputation amount).

The FITC regime at the time of its introduction is explained by the Commissioner in *Tax Information Bulletin* ¶711-104 Vol 7, No 11, March 1996 at 24. At that time the FITC regime was based on a company tax rate of 33%. Amendments to the regime in 2010 to take account of the change in the company tax rate are explained in *Tax Information Bulletin* ¶221-108 Vol 22, No 11, February 2010 at 26–27.

Law: IT07 subpt LP, s YA 1 (“[supplementary dividend](#)”)

Last reviewed on 31 December 2025

Introduction to transfer pricing [¶26-600]

[¶26-600]

[Click to open document in a browser](#)

Transfer pricing refers to the practice of shifting profits from one jurisdiction to another through the manipulation of prices paid for goods, services and intangibles, generally between associated parties. The effect of this price manipulation is that a multinational group can shift profits to the country that imposes the lowest tax cost.

The types of goods and services which are commonly traded cross border by multinational groups are as follows:

- # Services:

- # management services

- # loans

- # guarantees

- # technical services, and

- # commissions.

- # Goods:

- # equipment

- # raw materials

- # finished goods, and

- # work in progress.

- # Intangibles:

- # licences

- # use of trade marks or brand names, and

- # information and technology.

The rules are based on the approach adopted by other jurisdictions and on the *OECD Transfer Pricing Guidelines for Multinational Enterprises and Tax Administration*. For an in-depth discussion of New Zealand's transfer pricing regime, see CCH, *Transfer Pricing Handbook: A Practical Guide for New Zealand Businesses* (2nd edition, 2018).

Last reviewed on 31 December 2025

Inland Revenue transfer pricing guidelines [¶26-605]

[¶26-605]

[Click to open document in a browser](#)

The IT07 provides little practical guidance on transfer pricing methodologies and how they should be applied. The Commissioner has stated that IR will apply the latest OECD guidelines. These guidelines are consistent with New Zealand's transfer-pricing legislation and double taxation treaties.

Further amendments to strengthen the transfer pricing rules so they align with the OECD's transfer pricing guidelines and Australia's transfer pricing rules are discussed in [¶26-608](#) below.

Transactions affected by the regime

Arrangements affected by the transfer pricing rules are those that:

- # involve the supply and acquisition of goods, services or anything else
- # where the supplier and acquirer are associated persons, and
- # the arrangement is a cross-border arrangement (as distinguished from an arrangement that is wholly within the New Zealand tax base).

An arrangement includes any contract, agreement, plan or understanding (whether enforceable or not) including all steps and transactions by which it is carried into effect.

Cross-border transactions

The transfer pricing regime applies to cross-border transactions, being an arrangement between:

- # 2 non-residents (unless each enters into the arrangement for the purposes of a business carried on by that person in New Zealand through a fixed establishment)
- # a resident and a non-resident (unless the non-resident enters into the arrangement for the purposes of a business carried on by that person in New Zealand through a fixed establishment and the New Zealand resident has not entered into the arrangement for the purposes of an offshore business carried on by that New Zealand resident), or
- # 2 residents, if either or both enter into the arrangement for the purposes of an offshore business.

Ambit of transfer pricing rules

The transfer pricing rules require the substitution of an arm's length amount where the taxpayer is either paying an excessive consideration for the acquisition or receiving an inadequate consideration for the supply. The arm's length amount is the price set according to the arm's length principle. That is, the price that would be agreed if the parties to a related party transaction were unrelated parties and acted at arm's length.

Excessive consideration payable for acquisition

If the amount of consideration payable by a taxpayer for an acquisition exceeds the arm's length amount, the consideration deemed to be payable is adjusted downwards to reflect the arm's length amount. This means that the taxpayer's income tax liability must be adjusted. Generally, no corresponding adjustment is necessary to any withholding tax or deduction.

Inadequate consideration received for supply

If the amount of consideration receivable by a taxpayer for such an arrangement falls below the arm's length amount, an upwards adjustment is made to the consideration receivable. The arm's length amount is treated as the amount receivable for all purposes of the IT07 relating to:

- # the taxpayer's income tax liability for any income year, or
- # the obligation of persons other than the taxpayer to make a tax withholding or deduction from the amount. For NRWT purposes the actual consideration exchanged by the parties is the basis for the deduction of NRWT.

No upwards adjustment will be made if the taxpayer is neither resident in New Zealand nor entering into the arrangement for the purposes of carrying on business in New Zealand through a fixed establishment in New Zealand, and the amount is:

- # interest, royalties or an insurance premium allowed as a deduction to the other party, or
- # a dividend receivable on a fixed-rate share.

Commissioner's statement [CS 24/02](#), "Withholding obligations arising in relation to transfer pricing arrangements" sets out the IR position and operational approach in relation to the withholding obligations that may arise in relation to transfer pricing arrangements.

Determination of arm's length amount

The OECD guidelines provide guidance on applying the "arm's length principle", which is the international consensus on the valuation for tax purposes of cross-border transactions between associated parties. In a global economy where multinational enterprises (MNEs) play an increasingly prominent role, consistent application of the arm's length principle helps to ensure:

- # taxable profits reported by MNEs in the countries where they operate reflect the economic activity undertaken there, and
- # taxpayers avoid the risk of double taxation as a result of a dispute between 2 countries when determining the arm's length remuneration for their cross-border transactions.

The OECD guidelines also contain detailed guidance for performing comparability analyses in practice to compare the conditions of transactions between associated enterprises with those of independent enterprises.

Taxpayers are required to use at least one of the 5 methods prescribed in the New Zealand legislation to determine arm's length prices. There are 3 transactional and 2 profit-based methods. The transactional methods are:

- # the comparable uncontrolled price method (the price that would be charged in a similar transaction undertaken between unrelated parties)
- # the resale price method (the estimation of an arm's length amount by subtracting the appropriate costs and profit margin from the resale price charged by the buyer in an arm's length dealing), and
- # the cost plus method (the estimation of an arm's length consideration by adding an appropriate profit mark-up to the supplier's cost — a mark-up determined by reference to the mark-up earned by the same supplier in comparable dealing with an independent party, or the mark-up earned by a similar supplier involved in a comparable arm's length transaction).

The profit-based methods are:

- # the transactional profit split method (a method for determining the profit that would be earned by related parties if they were operating at arm's length — this involves an allocation of the parties' combined profits based on a functional analysis of the economic value each has contributed), and
- # the transactional net margin method.

The choice and application of the appropriate method must be made having regard to:

- # the degree of comparability between the uncontrolled transactions used for comparison and the controlled transactions of the taxpayer

- # the completeness and accuracy of the data relied on by the taxpayer, and
- # the reliability of all assumptions and the sensitivity of any results to possible deficiencies in the data and assumptions.

The OECD guidelines also give guidance on how to select the most appropriate transfer pricing method for the circumstances of the case and how to apply, in practice, 2 of the OECD approved transfer pricing methods (the transactional profit methods) — the transactional net margin method and the transactional profit split method. The OECD guidelines also contain a chapter providing detailed guidance on the transfer pricing aspects of business restructurings.

The taxpayer's choice of arm's length amount will be upheld unless the Commissioner can demonstrate a more reliable amount or the taxpayer has not co-operated with the Commissioner's administration of the transfer pricing regime so as to materially affect that administration. In other words, the Commissioner has the burden of proving that the choice of method was inappropriate.

Transfer pricing documentation

There is no legislative requirement for a taxpayer to document its transfer pricing policy. However, if taxpayers affected by the regime prepare documentation, this could serve as evidence of compliance with the arm's length principle.

Advance pricing agreements

An advance pricing agreement (APA) is a forward agreement between a business and one or more tax authorities regarding that business's transfer pricing practices. An APA can be issued as a private binding ruling under s [91E](#) of the TAA or under the mutual agreement articles in New Zealand's DTAs.

Compensating adjustment

If a taxpayer conducts 2 related non-arm's length transactions and only one of them is adjusted, a compensating adjustment may be allowed to provide relief in relation to the other one. Broadly, eligibility requires that the same parties and the same subject matter are involved in each transaction, and that the adjustment takes place in the same income year or in the year immediately before or after that income year. A likely scenario for a compensation payment is where parties adopt a fixed price to record transactions but the market price in fact fluctuates during the period. An arm's length amount is allowed to be substituted for the actual consideration payable or receivable under the compensation adjustment arrangement (*Tax Information Bulletin* [¶711-102 Vol 7, No 11](#), March 1996 at 8).

Anti-avoidance rules

Certain domestic transactions will also be affected by the regime if they are part of a broader transfer pricing arrangement. An anti-avoidance rule extends the transfer pricing rule to collateral arrangements that have the purpose or effect of defeating the transfer pricing provisions, such as a market sharing arrangement, an arrangement not to enter into a particular market, a back-to-back supply arrangement or an income-sharing arrangement.

Apportionment of income and expenditure of branches

In certain circumstances, an apportionment is required between the income and expenditure from a business or contract conducted across international borders. Situations not covered by the general transfer pricing rules are covered by s [YD 5](#). Broadly, s [YD 5](#) applies when there is only a single entity.

Administrative practice for low value-adding intra-group services

The OECD introduced an elective, simplified approach for pricing low value-adding intra-group services which IR adopted in their administrative practice to ensure that New Zealand transfer pricing practices aligned to international standards.

Qualifying services may be priced at cost plus a 5% mark-up without the need to provide benchmarking. Detailed guidance on the definition of “low value-adding intra-group services” is contained in the OECD Transfer Pricing Guidelines for Multinational Enterprises and Tax Administrations 2017, Chapter VII Special Considerations for Intra-Group Services, Section D. In summary, qualifying services:

- # are supportive in nature
- # are not part of the core business activity of the multinational group
- # do not involve unique and valuable intangibles, or the assumption or control of significant risk by the service provider.

The approach is not applicable where the services are also provided to unrelated customers.

Application of restricted transfer pricing approach to outbound loans

There are rules that require certain related-party loans between a non-resident lender and a New Zealand-resident borrower to be priced using a restricted transfer pricing approach. Detailed guidance on the approach can be found in *Tax Information Bulletin* [¶313-101 Vol 31 No 3](#), April 2019.

Where New Zealand-resident lenders correctly apply the restricted transfer pricing approach to set the interest rate on their loans to related non-resident borrowers, IR will consider the result to be arm’s length. This is on the basis that the amount deducted by the non-resident borrower in the foreign jurisdiction does not exceed the amount returned as income by the New Zealand-resident lender.

Administrative practice for small value loans

IR’s advice for small value loans from 1 July 2025 to 30 June 2030 is 225 basis points (2.25%) over the relevant base indicator (generally the bank bill rate for variable rate loans or the swap rate for fixed rate loans) is broadly indicative of an arm’s length rate, in the absence of a readily available market rate for a debt instrument with similar terms and risk characteristics. The small value loan threshold is set at NZ\$10 million.

The previous years’ indicative rates for small value term loans have been:

1 July 2024 to 30 June 2025	2.50%
1 July 2023 to 30 June 2024	1.75%

The next review of interest rates for small value term loans is scheduled for 30 June 2030.

Law: IT07 ss [GB 2](#), [GC 6–GC 14](#), [YD 5](#)

Last reviewed on 31 December 2025

Changes to transfer pricing rules — base erosion and profit shifting (BEPS) measures [¶26-608]

[¶26-608]

[Click to open document in a browser](#)

From 1 July 2018, New Zealand's transfer pricing legislation has been strengthened so it aligns with the OECD's transfer pricing guidelines and Australia's transfer pricing rules.

The following amendments have been made:

- # Including a specific reference to using the July 2017 OECD transfer pricing guidelines as guidance for how the rules are applied.
- # The economic substance and actual conduct of the parties will have priority over the terms of the legal contract. This is achieved by requiring the transfer pricing transaction to be “accurately delineated” consistent with section D.1 of chapter I of the OECD transfer pricing guidelines. This process involves identifying the following economically relevant characteristics:
 - # the contractual terms of the transaction
 - # the functions performed by each of the parties to the transaction, taking into account assets used and risks assumed, including how those functions relate to the wider generation of value by the MNE group to which the parties belong, the circumstances surrounding the transaction, and industry practices
 - # the characteristics of property transferred or services provided
 - # the economic circumstances of the parties and of the market in which parties operate, and
 - # the business strategies pursued by the parties.

When deciding what characteristics are economically relevant, the test is to ask what characteristics independent enterprises would take into account when dealing with each other. As part of accurately delineating the controlled transaction, the terms of the legal agreement must be disregarded to the extent they are inconsistent with the actual conduct of the parties.

- # The ability to disregard or replace transfer pricing arrangements that are not commercially rational. Where an arrangement is not commercially rational (for example, because it includes unrealistic terms that unrelated parties would not agree to), there is no price that would be acceptable to independent parties and therefore it is impossible to apply a transfer pricing analysis.
- # Referring to “arm's length conditions” (as per Australia's legislation) when determining the arm's length amount of consideration to clarify that the transfer pricing rules can be used to adjust conditions other than simply the price. For example, financial values, such as price, gross margin, net profit and the division of profits, as well as other conditions that may not involve a numerical value, such as the absence or presence of a loan guarantee, may be relevant.
- # The onus of proof for demonstrating that a transfer pricing position aligns with arm's length conditions is shifted from IR to the taxpayer (consistent with the onus of proof being on the taxpayer for other tax matters).
- # The time bar that limits IR's ability to adjust a taxpayer's transfer pricing position is increased from 4 to 7 years, but only where IR has begun a transfer pricing tax investigation within four years of the relevant tax return being filed and has notified the taxpayer of this investigation.
- # In addition to applying to transactions between related parties, the transfer pricing rules will also apply to overseas investors who act in concert to control a New Zealand business. The acting together test will only apply to a group of non-residents (not non-residents and residents) and will not apply simply because two companies are consolidated for accounting purposes.
- # Taxpayers with inbound related-party debt will be able to continue with the agreed pricing in any relevant APA issued before 1 July 2018 until the end of the APA period.

Further, from 30 March 2025, amendments clarify that the transfer pricing and dividend rules apply concurrently regardless of whether the other party applies for a matching transfer pricing treatment under s [GC 11](#).

Guidance materials

IR released guidance material, “BEPS — Transfer pricing rules”, in *Tax Information Bulletin* [¶313-104 Vol 31, No 3](#), April 2019 at 12. The materials discuss the amendments made in more detail.

OECD Two Pillar Approach — the global digital economy and large multi-national enterprises

In 2021 the OECD released a framework on Base Erosion and Profit Shifting (BEPS) statement on the Two-Pillar Solution to address the tax challenges arising from the digital economy.

Digital and online products and services

Pillar One comprises Parts A and B. Part A applies to about 100 of the biggest and most profitable MNEs and reallocates part of their profit to the countries where they sell their products and provide their services, where their consumers are. Without this rule, these companies can earn significant profits in a market without paying much tax there. The aim of the reallocation of profit is to ensure a fairer distribution of profits and taxing rights among countries with respect to the largest and most profitable multinational enterprises. It will reallocate some taxing rights over MNEs from their home countries to the markets where they have business activities and earn profits, regardless of whether firms have a physical presence there.

Large global multi-national enterprises

Pillar Two applies more broadly. It applies to any company with over €750 million of annual revenue. Under this Pillar these companies would now be subject to a global minimum corporate tax rate of 15% (known as the GloBE rules). This will be the case even where companies have arranged their tax affairs to make use of low tax jurisdictions. The global minimum tax agreement does not seek to eliminate tax competition between jurisdictions but puts multilaterally agreed limitations on it. The OECD are of the view that benefits will also arise from the stabilisation of the international tax system and the increased tax certainty for taxpayers and tax administrations, like IR. The OECD released model rules for implementing Pillar Two in December 2021.

New Zealand has adopted the GloBE rules by cross-reference, referring to them as global anti-base erosion model rules. Under subpt HP, MNEs with annual revenues above €750 million will pay a minimum 15% effective tax rate on their mobile income in every country where that income is earned. The applicable tax is called “Multinational Top-Up Tax”.

The GloBE rules consist of an Income Inclusion Rule (IIR) which includes a domestic income inclusion rule (DIIR) and an Undertaxed Profits Rule (UTPR). The IIR and UTPR components of the applied GloBE rules apply for fiscal years beginning on or after 1 January 2025. The DIIR component of the rules applies for fiscal years beginning on or after 1 January 2026. Refer to *Tax Information Bulletin* Vol 36, No 4, May 2024 at p 16.

Country-by-country reports

The requirement for large multinationals to file a country-by-country report has also been codified.

IR already required New Zealand headquartered multinational groups with annual consolidated group revenue of €750 million or more in the previous financial year to file a country-by-country report using the [IR 1032](#) (May 2018) prescribed form from 1 January 2016. From 27 June 2018, the legislation codifies this requirement. See further at *Tax Information Bulletin* [¶313-103 Vol 31, No 3](#), April 2019 at 10.

Law: ITA ss [GC 6–GC 14](#); TAA s [78G](#)

Last reviewed on 31 December 2025

Restricted transfer pricing approach to related-party debt — base erosion and profit shifting (BEPS) measures [¶26-610]

[¶26-610]

[Click to open document in a browser](#)

To address profit-shifting, a restricted transfer pricing approach has been introduced that limits the interest rate on related-party debt. It does this by setting specific rules and parameters to:

- # establish the credit rating of the New Zealand borrower, and
- # determine (in combination with the credit rating rule) the amount of interest on the debt.

Ownership is calculated using the same approach taken in determining whether the thin capitalisation rule applies. This means ownership is calculated taking into account non-voting shares and rights to receive distributions of income or capital, as well as voting interests. In addition, in determining a person's voting interests, it will be the highest of the shareholder decision-making rights that will be relevant, not the average.

The rules generally require that a group credit rating will apply to the New Zealand borrower — being the credit rating of the group's member with the highest level of unsecured third-party debt minus 2 notches (1 notch if the credit rating is below BBB#) unless the borrower's own credit rating is equal or higher than its foreign parent's credit rating — in cases where there is a high BEPS risk. A high BEPS risk is when the New Zealand borrower has:

- # a high leverage ratio — being more than 40% debt unless their debt percentage is within 110% of the leverage ratio of their worldwide group
- # borrowed from a low tax rate jurisdiction (lower than 15%) different from the ultimate parent.

A de minimis rule is included, so that a borrower with less than \$10 million of related-party cross-border loans will not have to consider the credit rating adjustment part of the rules and will apply the borrower's credit rating as they do now.

Taxpayers are also able to choose to use the group credit rating as a safe harbour to reduce compliance costs.

In other cases where the presumed credit rating does not apply, the rules allow the borrower's standalone rating to be used, taking into account any implicit parental support. Under this approach there is still a strong presumption that the New Zealand borrower would be supported by its foreign parent when it is part of a multinational group and is therefore a less risky borrower compared to an unrelated New Zealand entity.

Where a New Zealand borrower has a high BEPS risk but no identifiable parent, they will generally be required to use a restricted credit rating — being the borrower's own credit rating if they had no higher than 40% debt or a debt percentage equal to zero and the credit rating cannot be lower than BBB#.

A borrower that has a credit rating implied from third-party debt will generally be able to apply that credit rating on related-party debt where they choose to do so, even when the borrower is a high BEPS risk.

The Officials' Report to the Finance and Expenditure Select Committee on the Submissions on the Bill, March 2018, contains a flow diagram showing the process for determining a New Zealand borrower's credit rating.

Aside from making the borrower appear riskier with excessive debt funding, the other way interest rates can be inflated is by imposing conditions on the lending that would not normally be found in standard third-party debt.

Therefore, rules are included that generally require the following terms and conditions to be disregarded when pricing related-party loans:

- # loan terms of more than 5 years
- # subordination, and

other exotic features (such as interest payment deferral and convertibility to equity at the option of the borrower) that are generally not seen with third-party lending.

However, in some cases the New Zealand borrower may have borrowed from related parties using the same terms and conditions as their third-party debt. In such cases, they will be able to retain equivalent conditions when pricing their related-party loans, so long as the relevant third-party loans comprise at least 25% of their total related-party debt. This reflects the fact that when borrowing from a third party, there are commercial pressures to try to obtain a low interest rate, so the borrower is unlikely to agree to unnecessary conditions that increase the interest rate.

#Note: The third-party test allows exotic features in related-party borrowing if those features are present in significant third-party borrowing. This test effectively treats all debt other than borrowing from associated persons as third-party debt. However, related-party borrowing is wider than associated persons, including funding, such as from a non-resident owning body, or a back-to-back loan. Amendments have therefore been made to the test so that related-party borrowing that is not from an associated person cannot be used to justify an exotic feature of related-party debt.

In addition, retrospective amendments (applies from 1 July 2018) have been made so that cross-border related borrowing can have a term of greater than 5 years without having to satisfy the threshold term if:

- # the term is less than the weighted average of all third-party debt, and/or
- # total cross-border related borrowing is less than 4 times the third-party debt.

Section [GC 18\(4\)](#) was amended to introduce a second method to allow a cross-border related-party borrowing to have a term of more than 5 years. This is allowed provided the term of cross-border related-party borrowing is less than the weighted average term of third-party borrowing. As with other parts of the restricted transfer pricing rules, this is only available when there is significant third-party debt. The reason for this is to prevent a borrower having a small amount of expensive third-party debt and using that to justify a large amount of expensive related-party debt.

As enacted, the amendments to s [GC 18\(4\)](#) allowed terms of more than 5 years when the amount of the cross-border related borrowing is less than 4 times the amount of third-party borrowing. However, this test applied to each cross-border related-party borrowing at the time the interest rate was being determined. This made it possible for a borrower to have multiple cross-border related borrowings that were each individually below the 4-times threshold but, when viewed collectively, were above the threshold. This was not intended by Parliament. Therefore, further amendments were made to s [GC 18\(4\)\(b\)\(ii\)](#) so that the relevant test is applied to the total value of all cross-border related-party borrowing rather than only the specific cross-border related-party borrowing for which the terms and interest rate are being determined.

Note that special rules will apply to determine a financial institution, defined as an “insuring or lending person”, such as banks, insurance companies and those in the business of lending to third parties.

Guidance materials

IR released “BEPS — Interest limitation rules” (*Tax Information Bulletin* [¶313-107 Vol 31, No 3](#), April 2019 at 12) which discusses each of the provisions in more detail and includes flowcharts and examples.

Law: IT07 ss [GC 15–GC 19](#)

Last reviewed on 31 December 2025

Introduction to thin capitalisation [¶26-620]

[¶26-620]

[Click to open document in a browser](#)

Thin capitalisation is a regime that aims to limit the amount of interest deductions against the New Zealand tax base. Thin capitalisation applies to both inward investment by a non-resident and outbound investment by a New Zealand resident. The tenor of the regime is that if the debt level of a corporate group or other taxpayer exceeds prescribed levels, s [CH 9](#) treats the interest expense on the excess debt as an item of income.

Thin capitalisation refers to the practice whereby a transaction is deliberately geared so as to artificially lower the income of an enterprise in a particular jurisdiction. For example, a non-resident might choose to fund its New Zealand operations through debt rather than equity, resulting in large interest deductions being attributed to the New Zealand tax base. Consequently, the taxable income of the non-resident's New Zealand operations is reduced.

In the absence of thin capitalisation rules, interest paid by a New Zealand subsidiary to its non-resident parent would be deductible to the New Zealand subsidiary so that income equal to the deduction would not be subject to New Zealand corporate tax of 28%. New Zealand taxation would be limited to non-resident withholding tax of 10% or 15%, depending on whether double tax agreement relief is available.

The effect of the practices is that a multinational group can shift profits to a country that provides for a low rate of tax. Alternatively, there may be benefits if income is taxed in another country. For example, an Australian headquartered group may prefer that New Zealand-sourced profits are taxed in Australia to generate franking credits that Australian shareholders can utilise.

The thin capitalisation regime applies to both outbound investment and inbound investment. Thin capitalisation in the context of outbound investment refers to the practice of excessive borrowing by New Zealand companies, whether owned by residents or non-residents, to generate offshore active income that is exempt from taxation under the controlled foreign company (CFC) rules or the foreign investment fund (FIF) rules as an Australian FIF or a FIF accounted for under the attributable FIF income method. Inbound investment refers to the converse situation involving non-residents who invest into New Zealand.

Natural persons, including trustees, are among the taxpayers who may be affected by the thin capitalisation rules. Section [FE 3](#) makes specific provision for these persons.

Thresholds

There are different thresholds for each kind of investment with inbound investment assigned the lower threshold. For inbound investment no loss of interest deductibility occurs if the applicable New Zealand group debt percentage does not exceed 60% and the world group debt percentage does not exceed 110%. For outbound investment, no loss of interest deductibility occurs if the New Zealand group debt percentage does not exceed 75% or the worldwide group debt percentage does not exceed 110%. An additional relief for outbound investment stipulates that full interest deductibility remains when New Zealand group assets are more than 90% of the assets of the worldwide group. A further de minimis relief for outbound investment is to the effect that there is no apportionment when the finance costs do not exceed \$1 million with tapered relief if finance costs are between \$1 million and \$2 million.

From 1 July 2018, the Taxation (Neutralising Base Erosion and Profit Shifting) Act 2018, discussed below, reduced the 110% threshold to 100% for a New Zealand group controlled by a group of non-residents acting together, and extended the de minimis relief to inbound investment as well.

Instead of applying the thin capitalisation rules on the basis of a debt-to-asset ratio, a New Zealand-based group with offshore investments may choose an approach based on the ratio of interest expense to pre-tax cashflows. The objective is to possibly relax the rules for a business able to obtain significant third-party funding on the basis of internally developed goodwill, an asset generally unable to be recognised under

generally accepted accounting principles. The alternative approach is justifiable because there may be no unreasonable structuring of debt levels in New Zealand. See *Tax Information Bulletin* ¶1246-103 Vol 24, No 6, July 2012 at 35.

A low-value tangible asset company that chooses the alternative approach has no reduction of interest deductions in accordance with the thin capitalisation rules if the ratio of net interest expense to net income for the New Zealand group is the lesser of 50% and 110% of the worldwide group's net interest to adjusted net profit ratio. The adjusted net profit item is the net cashflow from group operations.

Changes

The Taxation (Neutralising Base Erosion and Profit Shifting) Act 2018 was enacted on 27 June 2018 which contained changes aimed at preventing multinationals using various BEPS strategies to shift profits offshore (see further at ¶126-608, ¶126-610 and ¶126-650). The Act also contained a number of amendments to the thin capitalisation rules that apply for income years commencing on or after 1 July 2018. The key changes:

- # Modified how a company's total assets are determined by requiring assets to be determined net of a company's non-debt liabilities.

For a borrower's New Zealand group, non-debt liabilities are defined as all liabilities as shown in the company's financial accounts that are not included in the calculation of total group debt, except for:

- # certain interest-free loans from shareholders
- # certain shares held by shareholders
- # provisions for dividends, and
- # certain deferred tax liabilities.

A similar definition of non-debt liabilities also applies for a company's worldwide group, being all liabilities that are not counted as group debt less any debt from a person with an ownership interest in the entity (owner-linked debt).

- # Extended the de minimis relief to persons subject to the inbound thin capitalisation rules, unless they have owner-linked debt.

- # Reduced the ability of companies owned by a group of non-residents to use related-party debt by reducing the 110% worldwide debt threshold to 100% for a New Zealand group controlled by a group of non-residents acting together for the purposes of the interest apportionment rule.

The changes require that when an entity is owned or controlled by a group of non-residents acting together, interest deductions are denied if the entity has any owner-linked debt and its total debt level exceeds 60%. In effect, this means its allowable debt level is the greater of 60% and 100% of its third-party debt rather than 110% of its third-party debt under the previous rules.

- # Introduced new rules for when a company can use an asset valuation for thin capitalisation purposes that is different from what is used for financial reporting purposes.

- # Introduced an anti-avoidance rule that applies when a taxpayer substantially repays a loan before the end of a year to circumvent the thin capitalisation rules.

The Act made amendments to s [FE 11](#) and introduced s [GB 51B](#) to reconstruct certain situations, transactions or arrangements when a taxpayer subject to the thin capitalisation rules substantially repays a loan or, more generally, enters into a transaction near a measurement date with the purpose or effect of manipulating the thin capitalisation rules.

- # Amended the owner-linked debt provisions to ensure they operate correctly for trusts.

The owner-linked debt provisions applied if the owner had an ownership interest of 5% or more. This test did not cover trusts as settlements on a trust do not convey ownership interests. The amendments count debt as owner linked if the owner has made 5% or more, by value, of the settlements on the trust.

Provided entities carrying out eligible infrastructure projects (contracts entered into with the central government or Crown entities) an exemption from the thin capitalisation rules by allowing them to claim deductions on debt that exceeds the ordinary thin capitalisation thresholds.

The exemption only applies to debt that relates to “public project assets” and “public project debt”. The exemption applies to entities controlled by a single non-resident, partnerships entered into by non-residents, and New Zealand resident entities subject to the outbound thin capitalisation rules. A similar exemption already applies (in effect) when a separate entity is controlled by a group of non-residents.

In addition, amendments ensured that interest for which deductions are permanently denied under the hybrid rules ([¶26-650](#)) do not give rise to additional income under the thin capitalisation rules and that the debt associated with such interest is not treated as debt under those rules.

Note also that further interest limitation rules have been introduced by the Act in the form of a restricted transfer pricing rule ([¶26-610](#)).

Law: IT07 subpt [FE](#), ss [CH 9](#), [CH 10B](#), [GB 51B](#), [FZ 8](#)

Last reviewed on 31 December 2025

Ambit of thin capitalisation rules [¶26-625]

[¶26-625]

[Click to open document in a browser](#)

The function of subpt FE is to apportion interest expenditure between New Zealand-sourced income and other income for a New Zealand taxpayer who has a disproportionately high level of debt funding in relation to their worldwide interest expenditure and who:

- # is under the control of a single non-resident
- # is a person (an outbound entity) with an income interest in a CFC or an interest in a FIF for which the attributable FIF income method is used, or which satisfies the exemption for non-portfolio interests in Australian resident FIFs, or
- # is a New Zealand resident who controls an outbound entity.

The subpart also prescribes an acceptable level of equity for a foreign-owned bank for the application of the interest apportionment rules.

The rules have also been extended to apply to a New Zealand taxpayer controlled by a non-resident owning body or controlled by a group of entities (including non-residents and entities controlled by non-residents) that act together. In short, a non-resident owning body is a group of non-residents or entities described in s [FE 2\(1\)\(cc\)](#) to [\(db\)](#) (see below) that have one or more characteristics indicating they are acting together to debt-fund a New Zealand company. These characteristics are having:

- # proportionate levels of debt and equity among the group
- # an agreement that sets out how the company should be funded with member-linked funding if the company is not widely held
- # member-linked debt in the company in a way recommended to, or implemented for, the members as a group by a person (such as a private equity manager).

For further discussion on non-resident owning bodies, see *Tax Information Bulletin* [¶267-109 Vol 26, No 7](#), August 2014, pp 50–54.

Who the regime applies to

Section [FE 2\(1\)](#) provides that the regime applies to persons who fall into the following categories:

- # non-residents who are not companies (para [\(a\)](#))
- # non-resident company (including a unit trust), unless a New Zealand resident holds a 50% or greater direct ownership interest and no non-resident has a greater than 50% direct ownership interest when added together with the interests of associates of the non-resident (para [\(b\)](#))
- # New Zealand resident company in which a non-resident has a 50% or greater ownership interest or control of the company by any other means (para [\(c\)](#))
- # New Zealand resident company with members who make up a non-resident owning body for the company holding ownership interests of 50% or more (determined as if the members in the non-resident owning body were associated persons) or having control of the company by any other means (para [\(cb\)](#))
- # New Zealand resident company where a trustee (who meets the requirements of para [\(d\)](#) or [\(db\)](#)) holds total ownership interests in the company of 50% or more or has control of the company by any other means (para [\(cc\)](#))
- # the trustee of a trust on which a non-resident makes a settlement in or before the income year and for which 50% or more of the value of settlements made on the trust in or before the income year is from settlements made by the non-resident or an associated person of the non-resident (para [\(cd\)](#))
- # the trustee of a trust for which 50% or more of the value of the settlements on the trust is from settlements made by:

- # a person described in paras (a) to (cc) or would be described by this paragraph or para (db) if settlements made, and powers of appointment or removal held, by the trustee were ignored
- # group of persons (each of whom is described in paras (a) to (cc) or would be described by this paragraph or para (db) if settlements made, and powers of appointment or removal held, by the trustee were ignored) acting in concert (para (d))
- # the trustee of a trust when a person described in paras (a) to (cc), or would be described by this paragraph or para (d) if settlements made, and powers of appointment or removal held, by the trustee were ignored, has the power to appoint or remove a trustee other than for the purpose of protecting a security interest (para (db))
- # a New Zealand resident company with:
 - # an income interest in a CFC
 - # an interest in a FIF that is an Australian company exempt from the FIF rules, or
 - # an interest in a FIF for which the person uses the attributable FIF income method (para (e))
 - # a New Zealand resident company with an ownership interest of 50% or more, or control by any other means, of a company described in para (e) or (para (f)), or
 - # a New Zealand resident natural person or trustee of a trust settled by a New Zealand resident with:
 - # an income interest in a CFC
 - # an ownership interest of at least 50% in, or control by any other means of, a company described in para (e) or (f)
 - # an interest in a FIF that is an Australian company exempt from the FIF rules, or
 - # an interest in a FIF for which the person uses the attributable FIF income method (para (g)).

Special rules apply for foreign-owned banks to limit the extent to which foreign banks can debt-fund their New Zealand operations.

Ownership interests

A person's ownership interest in a company is equal to the sum of:

- # direct ownership interest held by the person
- # direct ownership interest held by associates
- # indirect ownership interest held by the person, and
- # indirect ownership interest held by associates.

Example:

An indirect ownership interest considers the level of direct ownership in an interposed company. To illustrate:

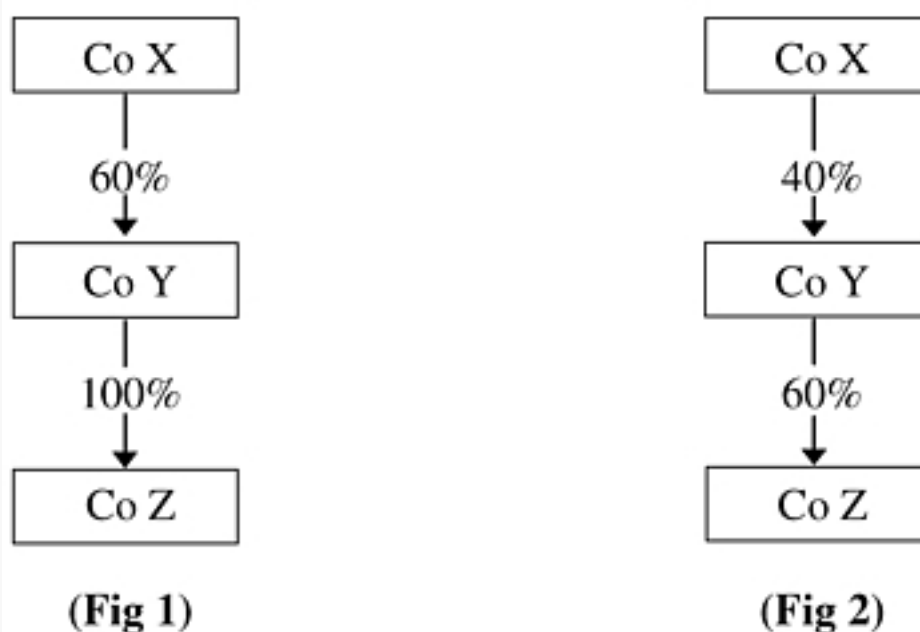


Fig 1 — As Co X has a direct ownership interest in Co Y of 50% or greater, Co X's indirect ownership in Co Z is equal to Co Y's ownership interest in Co Z. Therefore Co X's indirect ownership interest in Co Z is 100%.

Fig 2 — As Co X has a direct ownership interest in Co Y of less than 50%, Co X's indirect ownership interest in Co Z is calculated by multiplying Co X's percentage direct ownership interest in Co Y by Co Y's percentage ownership interest in Co Z ($40\% \times 60\%$). Therefore Co X's indirect ownership interest in Co Z is 24%.

The ownership interest of Co X in Co Z still needs to be calculated to determine whether Co Z is subject to the thin capitalisation regime. Multiple counts of the same ownership need to be eliminated. Co Z in Fig 1 may be subject to the regime.

Interest coverage ratio method

The adjustment for excess interest deductions relating to an outbound interest may be based on an interest coverage ratio instead of a debt-to-asset ratio. The eligibility criteria for the interest coverage ratio method are the following:

- # the New Zealand group and the worldwide group both have a positive amount of adjusted net income
- # the New Zealand group and the worldwide group both have a positive amount of net interest expense (calculated under New Zealand tax rules as if all group members were resident in New Zealand and consolidated to eliminate internal balances and transactions within the group)
- # the debt-to-asset ratio of the worldwide group is 75% or more, and
- # at least 80% of debt for the worldwide group is borrowings from non-associates.

The Commissioner must be notified that the interest coverage ratio method has been applied. The Commissioner must also be provided with a reconciliation of adjusted net profit to GAAP net profit and of goodwill items appearing in the GAAP balance sheet.

Law: IT07 ss [FE 1](#), [FE 2](#), [FE 5](#), [FE 38–FE 41](#), [YA 1](#) ("non-resident owning body"); TAA s [65B](#)

Last reviewed on 31 December 2025

New Zealand group debt percentage [¶26-627]

[¶26-627]

[Click to open document in a browser](#)

Under the thin capitalisation rules the deduction for interest expenditure is effectively reduced through the creation of income if the debt percentage of the business exceeds certain thresholds. The reduction occurs for:

- # inbound investment when the applicable debt percentage of the New Zealand group exceeds:

- # 60%, and

- # 110% of the debt percentage of the worldwide group

- # inbound investment when an excess debt entity is controlled by a non-resident owning body or trustee and the New Zealand group debt percentage is:

- # more than 60%, and

- # more than 100% of the debt percentage of the worldwide group

- # outbound investment:

- # where the applicable debt percentage of the New Zealand group exceeds:

- 75%, and

- 110% of the debt percentage of the worldwide group

- # when the ratio of net interest to adjusted net profit for the New Zealand group is more than 110% of the net interest to adjusted net profit ratio for the worldwide group or 50%.

The New Zealand group debt percentage is the percentage of total group debt to total group assets for the income or accounting year. The calculation for this purpose is calculated under GAAP for the consolidation of companies to eliminate intra-group balances by consolidating the group's debt and assets.

The New Zealand group comprises all the companies, traced tier by tier, that are identified as within the control threshold of the New Zealand parent. An election may be made by the parent for either a 50% or 66% threshold to be applied for determining control on a tier-by-tier basis. If no election is made, the 66% threshold control test is deemed to apply. In the case of an outbound investment the New Zealand parent is identified by tracing ownership interests up the chain of companies on a tier-by-tier basis until no New Zealand resident company has an ownership interest of 50% or more in the last company in the chain.

Note the 110% worldwide debt threshold has been reduced to 100% for a New Zealand group controlled by a group of non-residents acting together for income years beginning on or after 1 July 2018 ([¶26-620](#)).

Total group debt and total group assets

Total group debt and total group assets are measured by one of 3 time frames that the taxpayer may elect to apply: daily, 3-monthly or annually.

“Total group debt” is defined as the total outstanding balances of all financial arrangements entered into by the taxpayer or another group member together with fixed-rate foreign equity, fixed-rate shares and stapled debt securities. In the case of the financial arrangements:

- # the financial arrangement must provide funds to the taxpayer, and

- # the taxpayer must be able to claim a deduction when calculating income in respect of the financial arrangement (apart from a deduction caused solely by currency rate movements).

The requirement as to deductibility assists the taxpayer by eliminating interest-free debt from the total group debt calculation.

“Total group assets” for the income year means the aggregate of all the taxpayer's assets or the assets of another group member, with the exception of shareholdings in CFCs, an Australian company exempt from

the FIF rules or a FIF accounted for under the attributable FIF income method. The taxpayer may elect to measure assets by any combination of:

- # values shown in the financial accounts of the taxpayer's New Zealand group
- # the net current value of the assets
- # market value (in the case of trading stock valued at market value for the purpose of calculating income tax liability)
- # the adjusted tax value of a personal property lease asset (in the case of a specified lease or a finance lease that is not recognised as an asset under GAAP), or
- # a combination of financial statement values and net current values, if this approach is allowed under GAAP.

Valuation of total assets, except for trading stock valued at market value and personal property lease assets, requires the application of GAAP in New Zealand.

The rules for determining the New Zealand group and total assets are modified for natural persons and trustees under s [FE 3](#).

An entity cannot include its debt and assets in more than one New Zealand and worldwide group. A company is also excluded from a trust's group if the company does not include the trust in its own group (ie the trust is not the company's New Zealand parent under the rules). For further discussion, see *Tax Information Bulletin* ¶267-109 Vol 26, No 7, August 2014, at 54.

In addition, increases in a company's New Zealand group assets that arise from the sale or other transfer of assets between a member of the group and a person associated with the group must be ignored. This may or may not be another member of the group. Two exemptions to this rule apply. These are when GAAP would allow the increase in asset values in the absence of the transfer, or when the transfer is part of a restructure following the purchase of the group by a person not associated with the group and the change in value of the New Zealand group's assets is a reasonable proportion of the change in the value of the group's total assets.

Note that how a company's total assets are determined has been modified by requiring assets to be determined net of a company's non-debt liabilities for income years beginning on or after 1 July 2018 ([¶26-620](#)).

From 1 April 2025, new s [FP 19](#) provides an optional adjustment to how group assets are measured when assets have been damaged by an emergency event. See *Tax Information Bulletin* Vol 37, No 5, June 2025 at 19 for further discussion.

Balance dates and currency conversion

When the members of a taxpayer's New Zealand group have different balance dates, the election to value total group assets and total group debt on a daily, 3-monthly or annual basis is applied as if the excess debt entity's balance date were the same as the New Zealand parent's. Total group debt and total group assets must be calculated in New Zealand currency. Generally, any necessary currency conversions must be made at the close of trading spot exchange rate applicable on the date on which the calculation is made ([¶26-035](#)).

Anti-avoidance

Special anti-avoidance rules are provided to prevent the manipulation of values around the time at which these calculations are made.

Law: IT07 ss [FE 3](#), [FE 5](#), [FE 8](#), [FE 10](#), [FE 11](#), [FE 12](#), [FE 14](#)–[FE 16B](#), [FE 25](#)–[FE 30](#), [FP 19](#), [GB 51B](#)

Last reviewed on 31 December 2025

Worldwide group debt percentage [¶26-630]

[¶26-630]

[Click to open document in a browser](#)

An excess debt entity's debt percentage for its worldwide group is the percentage of total group debt to total group assets of the worldwide group. Financial accounts of the worldwide group can be used to obtain both total assets and total debt. Non-interest-bearing debt is not included (even though it might have been included under generally accepted accounting practice). Broadly, an [excess debt entity](#) is defined in s [FE 4\(1\)](#) as a taxpayer subject to interest apportionment, with exclusions for a New Zealand banking group and a natural person acting in their personal capacity.

Note that how a company's total assets are determined has been modified by requiring assets to be determined net of a company's non-debt liabilities for income years beginning on or after 1 July 2018 ([¶26-620](#)).

Elections available

Worldwide group debt may be measured as if the excess debt entity were resident in New Zealand. There is also an election to measure total group debt and total group assets either daily, 3-monthly or annually.

Debt and asset calculations must be made in New Zealand currency. Currency conversions are generally made at the close of trading spot exchange rate on the date at which the amount is being calculated ([¶26-035](#)). This excludes any temporary increase in total debt or total assets if those have the purpose or effect of defeating the application of the interest apportionment rules.

Arbitrary worldwide group debt percentage

If the excess debt entity is unable to calculate the worldwide group debt percentage, they can apply to the Commissioner to estimate the required percentage. If the taxpayer does not apply for an estimate from the Commissioner, or if the Commissioner considers that an estimate cannot be reasonably made, the figure applied is 68.1818% for inbound investment (an amount that when multiplied by 110% is equivalent to the 75% safe harbour). For outbound investment, the default percentage is 54.5454 (matching the 60% safe harbour).

Owner-linked debt

When an excess debt entity (other than an outbound excess debt entity) is calculating its worldwide group debt percentage, it must generally exclude debt that is linked to an owner of the worldwide group. Some carve-outs exist to this rule, such as for minor shareholders and publicly traded debt. For further discussion, see *Tax Information Bulletin* [¶267-109 Vol 26, No 7](#), August 2014, at 54–56.

Law: IT07 ss [FE 10](#), [FE 11](#), [FE 12](#), [FE 17](#), [FE 18](#), [FE 31](#)

Last reviewed on 31 December 2025

Concession for on-lending when calculating group debt percentage [¶26-632]

[¶26-632]

[Click to open document in a browser](#)

In the calculation of a New Zealand group's debt percentage, the amount of total group debt and total group assets is reduced by the outstanding balance of a financial arrangement if:

- # the taxpayer or another group member enters into the financial arrangement with a person who is:
 - # a non-resident not carrying on a business in New Zealand through a fixed establishment and derives income that either does not have a source in New Zealand or is non-resident passive income or is relieved from New Zealand tax under an applicable tax treaty
 - # not associated with the taxpayer, or
 - # associated with the taxpayer but the person meets the criteria of s [FE 2](#) and the person is not a member of the New Zealand group, and
 - # the financial arrangement provides funds to that person, and
 - # the consideration given for the financial arrangement is an arm's length amount.

In the calculation of the debt percentage of a worldwide group, the reduction will apply simply if the person who receives funds under the financial arrangement is not associated with the taxpayer.

Note that the "on-lending concession" also applies to trusts that hold only financial arrangements and property incidental to those financial arrangements regardless of whether the arrangement provides funds.

Law: IT07 s [FE 13](#)

Last reviewed on 31 December 2025

Concession for exchange rate fluctuation when calculating group debt percentage [¶26-634]

[¶26-634]

[Click to open document in a browser](#)

When a financial arrangement or asset is denominated in a non-New Zealand currency, the taxpayer can elect to calculate the outstanding balance or to value the asset using the forward exchange rate applicable on the first day of the income year (instead of the more generally applied close of trading spot exchange rate on the relevant measurement date). The calculation so made is based on the measurement date that is appropriate to either the New Zealand group debt percentage or the worldwide group debt percentage.

The issue of the exchange rate becomes more critical when the New Zealand dollar weakens against the relevant foreign currency. As the New Zealand currency weakens, the value of any foreign debt and the associated interest costs increase. This increase could unintentionally take the taxpayer out of the safe harbour ratio and result in a loss of interest deductibility.

Law: IT07 s [FE 10\(2\)\(b\)](#)

Last reviewed on 31 December 2025

Apportionment of interest costs under thin capitalisation rules [¶26-635]

[¶26-635]

[Click to open document in a browser](#)

Where a taxpayer's debt percentage exceeds one of the thresholds for an income year, the interest expense attributable to the excess debt becomes an item of income. The formula used for this purpose is contained in s [FE 6](#), while s [FE 6B](#) sets out the formula if the threshold based on an interest coverage ratio is chosen. The formula under s [FE 6](#) is as follows:

$$(\text{total deduction} - \text{mismatch} + \text{FRD} \# \text{adjust}) \times (\text{total debt} \# \text{concession}) \div \text{total debt} \times \text{group debt factor}$$

where:

total deduction is the sum of all interest deductions for which the taxpayer would be allowed a deduction under ss [DB 6–DB 8](#) less intra-group interest and interest on financial arrangements that are not part of total group debt

mismatch is the total of amounts denied as deductions under s [FH 3](#) as unrecognised amounts under s [FH 3\(2\)](#) and as interest under ss [FH 7](#) and [FH 11](#)

FRD is dividends on fixed-rate foreign equity and fixed-rate shares

adjust is:

zero, if the taxpayer is not an excess debt outbound company or a natural person or trustee in s [FE 2\(1\)\(g\)](#) and is party to a financial arrangement removed from measurement of total group debt or that is related-party debt with non-resident lender not carrying on business through a fixed establishment in New Zealand

or, if the above paragraph doesn't apply, then:

the amount (the group finance cost) equal to total deduction plus FRD of the New Zealand group if the group finance cost is \$1m or less

the amount found by multiplying the amount by which \$2m exceeds the group finance cost if it is more than \$1m and less than \$2m (the de minimis rule)

zero, if the group finance cost is \$2m or more.

total debt is the total debt of the taxpayer's New Zealand group for the income year, calculated under s [FE 15](#) before allowing for any adjustment under s [FE 13](#) (financial arrangements outside the group)

concession is the amount, if any, deducted under s [FE 13](#) in calculating the total group debt of the taxpayer's New Zealand group for the income year

group debt factor is:

1, if the taxpayer's New Zealand group has a debt percentage equal to zero for the income year, or

the amount calculated by subtracting from 1 the taxpayer's threshold amount (below) divided by the group debt percentage (below)

group debt percentage is the taxpayer's New Zealand group debt percentage for the income year, and

threshold amount, as appropriate, is:

if the taxpayer is an excess debt outbound company or certain trustees, the greater of 75% and 110% of the taxpayer's worldwide debt percentage, or

if the taxpayer is not a trustee and not an excess debt outbound company, the greater of 60% and 110% of the taxpayer's worldwide debt percentage, or

if the person is an individual who is described in s [FE 2\(1\)\(g\)](#), 75%, or

if the person is an individual who is not described in s [FE 2\(1\)\(g\)](#), 60%.

An outbound investment may not be subject to an adjustment despite breach of the 75% or 110% thresholds where the value of New Zealand group assets is at least 90% of the worldwide group asset value.

If there is excess debt over a wholly-owned group of companies, the ensuing income may be allocated electively within the group (but not exceeding the recipient company's interest expenditure).

From 30 March 2021, a separate formula for calculating apportionment of interest by an excess debt entity controlled by a non-resident owning body or trustee has been introduced. When the general formula in s [FE 6\(2\)](#) is applied to a group controlled by a non-resident owning body, it implicitly assumes that the same interest rate applies to both related-party debt and unrelated-party debt. This will often not be the case; for example, because the related-party debt and unrelated-party debt were entered into at different times. In these circumstances, interest that should be deductible (because it is paid to unrelated lenders) can be disallowed, or interest that should be disallowed (because it is paid to related lenders and the 60% debt threshold is exceeded) can remain deductible.

The formula in s [FE 6\(3B\)](#) generates an amount of income to the extent that interest is paid to related parties on debt that is above the 60% threshold. The formula essentially multiplies pre-thin capitalisation deductible related-party interest by the proportion of total debt not eligible for the on-lending concession and by the proportion of related-party debt that is deductible under the thin capitalisation rules.

Interest coverage ratio formula

Where the method chosen for the interest apportionment is based on the interest coverage ratio approach, the excess interest deduction that is income is calculated under s [FE 6B](#) as follows:

$$\text{net interest (NZ group ratio \# threshold ratio)} \div \text{NZ group ratio}$$

where:

net interest is the actual net interest deduction of the taxpayer (and not the group)

NZ group ratio is the group's interest-income ratio (net interest divided by adjusted net profit, being EBITA – earnings before interest, tax, depreciation and amortisation)

threshold ratio is the lesser of:

50%, or

110% of the interest-income ratio for the worldwide group.

Example:

AB Ltd wholly-owns XY Ltd as a foreign company and the year's financial profile of the group comprises:

- # \$1m of net interest deductions for AB Ltd
- # \$3m of net interest deductions for the whole group
- # \$3m adjusted net profit for AB Ltd
- # \$12m adjusted net profit for the worldwide group.

The formula values are:

- # net interest: \$1m
- # NZ group ratio: 0.333 (\$1m ÷ \$3m)
- # threshold ratio: 0.275 (1.1 × \$3m ÷ \$12m).

The formula becomes:

$$\$1,000,000 \times \frac{0.333 \# 0.275}{0.333} = \$174,174$$

The \$174,174 is income for AB Ltd so that the company's net interest deduction is \$825,826.

Law: IT07 ss [CH 9](#), [FE 5](#), [FE 6](#), [FE 6B](#)

Last reviewed on 31 December 2025

Hybrid and branch mismatch rules — base erosion and profit shifting (BEPS) measures [¶26-650]

[¶26-650]

[Click to open document in a browser](#)

Hybrid and branch mismatches are cross-border arrangements that exploit differences in the tax treatment of an entity, branch, or instrument under the laws of 2 or more countries to create a tax advantage. There are a number of ways this can be achieved, including:

- # through a payment being deductible for a payer in one country but not included as taxable income for the payee in the other country
- # a single payment being able to be deducted against different income streams in 2 countries
- # other arrangements that result in double non-taxation outcomes through the use of hybrid instruments, entities, or branches.

New Zealand introduced law changes that represent a comprehensive adoption of the OECD recommendations on hybrid and branch mismatch arrangements with suitable modifications for the New Zealand context.

Some of the OECD's recommended rules are divided into "primary" and "defensive" responses. A defensive response will generally only apply if the other country affected by the arrangement does not have hybrid rules.

Where there are 2 or more parties to a mismatch, the mismatch rules generally only apply if there is some degree of association between the relevant parties to the arrangement, or if the arrangement has been structured to achieve a mismatch.

Subpart [FH](#) of the IT07 now contains rules designed to address the following hybrid and branch mismatches:

- # hybrid financial instruments
- # disregarded hybrid payments
- # structures producing double deductions
- # reverse hybrids
- # dual resident entities
- # imported mismatches, and
- # deemed branch payment and payee mismatches.

Hybrid financial instruments

A payment under a hybrid financial instrument is a deductible interest payment in the jurisdiction of the payer and is not fully taxed as interest in the jurisdiction of the payee or is taxed at a later time. As the payment will result in a deduction for the payer and no corresponding income inclusion (or delayed or less than full inclusion) for the payee, this is a deduction/non-inclusion hybrid mismatch.

Sections [FH 3](#) and [FH 4](#) are, respectively, the primary and defensive rules relating to hybrid financial instruments (generally, financial arrangements plus shares). In summary, s [FH 3](#) denies a New Zealand tax deduction for a payment under a hybrid financial instrument, and s [FH 4](#) taxes a payment under a hybrid financial instrument that would otherwise not be subject to tax or would be taxable on a deferred basis.

Dividend election

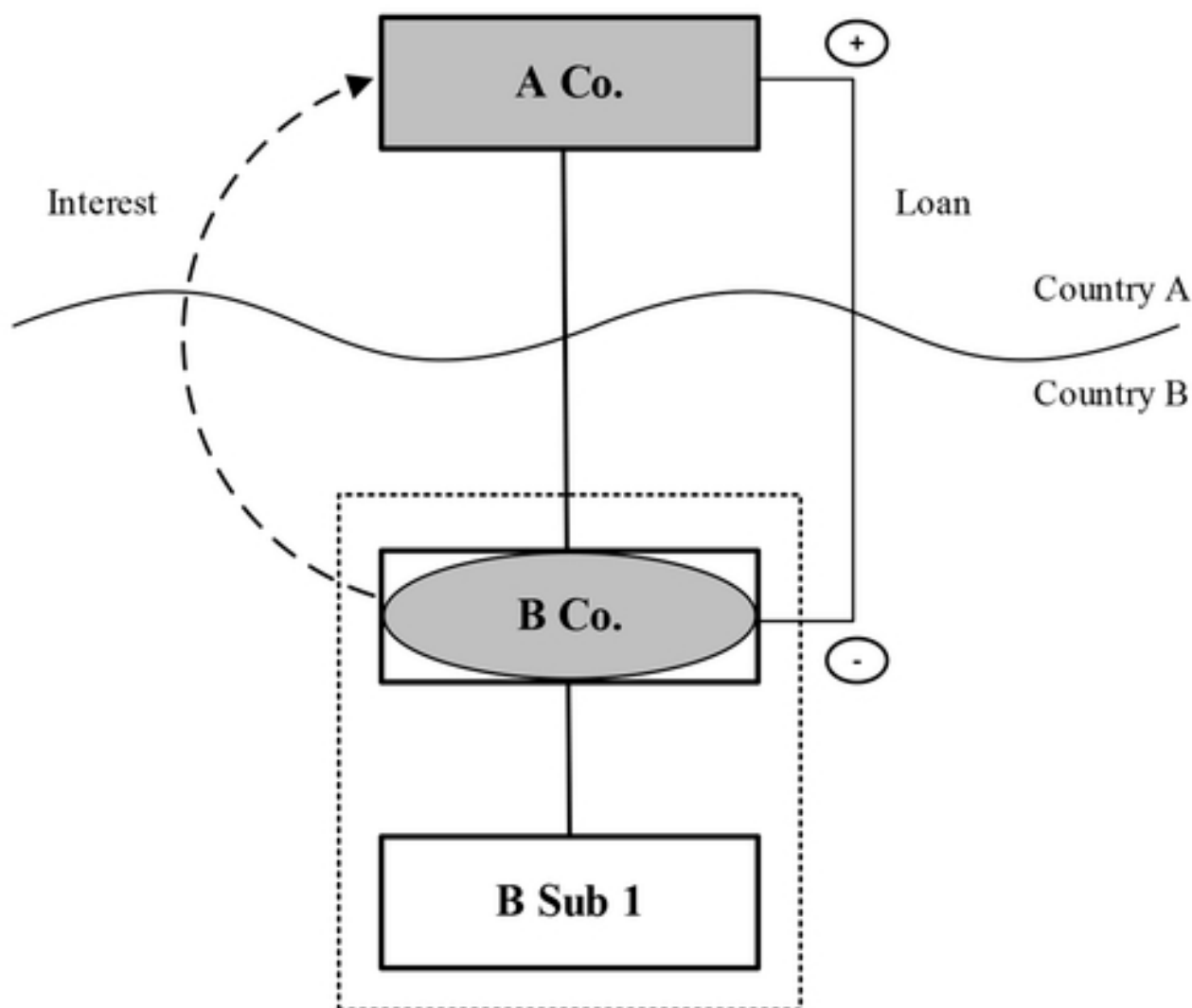
Section [FH 13](#) allows a person who pays interest that is non-deductible because of s [FH 3](#) to choose to treat the hybrid financial instrument on which the interest is paid as a share, and the payment as a dividend, for all tax purposes. This election must be notified to the Commissioner before it takes effect, specifying the date on which it takes effect. On the effective date, the amount owing under the loan is treated as fully repaid by

the person (which may trigger an NRWT obligation) and subscribed for an issue of shares having the same terms as the loan.

An election will cease to have effect if the interest payments are no longer subject to deduction denial under s [FH 3](#). At that time the deemed shares will be treated as cancelled for an amount equal to the amount payable under the loan, and that amount will be treated as re-subscribed for the loan.

Disregarded hybrid payments and deemed branch payments

A hybrid entity is an entity that is transparent for tax purposes in the jurisdiction of an investor (Country A) but opaque for tax purposes in another jurisdiction, generally where it is established (Country B). In the figure below, B Co is the hybrid entity.



An interest payment from a hybrid entity (B Co) to its investor (A Co) will be deductible in Country B and disregarded in Country A. This can result in a deduction/non-inclusion hybrid mismatch and results in double non-taxation if B Co groups its tax loss with the income of another entity (B Sub 1) whose income is not taxable in Country A.

The same outcome can arise if B Co is instead a branch of A Co in Country B and is entitled in Country B to a deduction for a charge made to it by A Co in Country A, if that charge is not also recognised in Country A.

Sections [FH 5](#) and [FH 6](#) are, respectively, the primary and defensive rules designed to deal with disregarded hybrid payment and deemed branch payment mismatches that produce deduction/no inclusion outcomes.

The provisions identify amounts of expenditure relating to:

- # payments that are deductible in the country of the payer and are disregarded in the country of the payee due to the status of the payer, and
- # mismatches in the deductibility and recognition of charges by a head office to a branch in another country that are recognised for tax purposes, generally as a way of a branch country ensuring it taxes only that portion of a multinational entity's income that corresponds to the activities undertaken in the branch country.

Section [FH 5](#) applies where the relevant deduction is in New Zealand, whereas [FH 6](#) applies where New Zealand is not including a payment as income and the payment is deductible in another country.

These identified amounts are made non-deductible under [s FH 5](#) or are included as assessable income under [s FH 6](#). However, a deduction for them is provided under [s FH 12](#) to the extent they do not exceed surplus assessable income under the offsetting rule in [s FH 12](#).

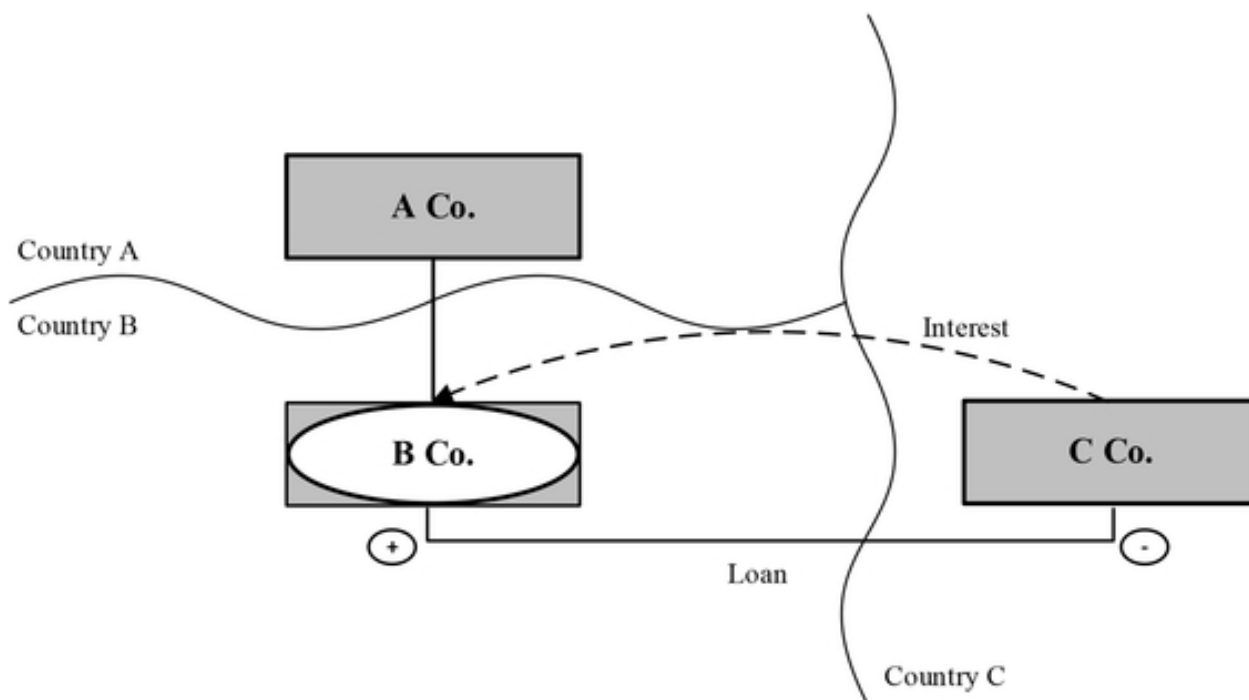
An amendment was made to [s FH 5](#) to ensure that the New Zealand branch of a non-resident company or a New Zealand resident hybrid entity is allowed a deduction for a payment to the extent that:

- # the payment reimburses third-party expenditure of a group member, and
- # the third-party expenditure is non-deductible (in New Zealand and the foreign jurisdiction).

The amendment only applies when the third-party expenditure is non-deductible because the income of the branch or hybrid entity is not taxable in the foreign jurisdiction. The amendment applies retrospectively for income years beginning on or after 1 July 2018.

Reverse hybrid and branch payee mismatch

A reverse hybrid entity is an entity which is opaque for tax purposes in the country of an investor (Country A) but transparent for tax purposes in another country, generally where it is established (Country B). In the figure below, B Co is the reverse hybrid.



If B Co receives a payment that is deductible for the payer (C Co), that payment may not be taxed in Country A or B. This is because Country B views the payment as being earned by A Co, while Country A views the payment as being earned by B Co. If the payment would have been taxable had it been made directly from C Co to A Co, this is a deduction/no inclusion hybrid mismatch outcome.

A similar outcome can arise as a result of a branch mismatch. For example, if the above figure is modified so that:

- # there is no B Co, but Country A treats C Co's payment as received by a Country B branch of A Co, and exempts it under a territorial approach to active income, and
- # Country B does not recognise the payment as received by a permanent establishment in Country B,

then the result will be that the payment by C Co is not taxed anywhere.

Section [FH 7](#) denies a deduction for a payment to a reverse hybrid in certain cases and also denies a deduction for a payment that is not taxed due to a branch mismatch in certain cases.

Deductible hybrid and branch payments

In addition to disregarded hybrid payments, a hybrid entity can also generate a double deduction mismatch if it makes a deductible payment to a third party. This is because the expenditure of a hybrid entity is attributed to its owners under the laws of the owner country, while the same expenditure is treated as deductible in the country of the hybrid entity. Branch structures can also achieve the same result, particularly if the country where the entity with the branch is resident taxes the branch income (as New Zealand does).

Sections [FH 8](#) and [FH 9](#) are, respectively, the primary and defensive rules designed to deal with hybrid and branch payment mismatches that produce double deduction outcomes.

The primary rule applies where the hybrid entity or branch is owned by a New Zealand resident and located in a foreign country, whereas the defensive rule applies where the hybrid entity or branch is in New Zealand and owned by a person in another country. Notably, the primary rule's application is restricted, such that only foreign branches or hybrid entities that are capable of offsetting their losses against the income of a foreign (non-hybrid) entity are within the scope of the rule. This means that simple offshore structures, such as a New Zealand company with (only) a foreign branch in a country, are excluded from the rule. The primary rule also contains a transitional rule that ensures a person that transitions into the scope of the rule does not benefit from the restricted scope in relation to previous year foreign losses.

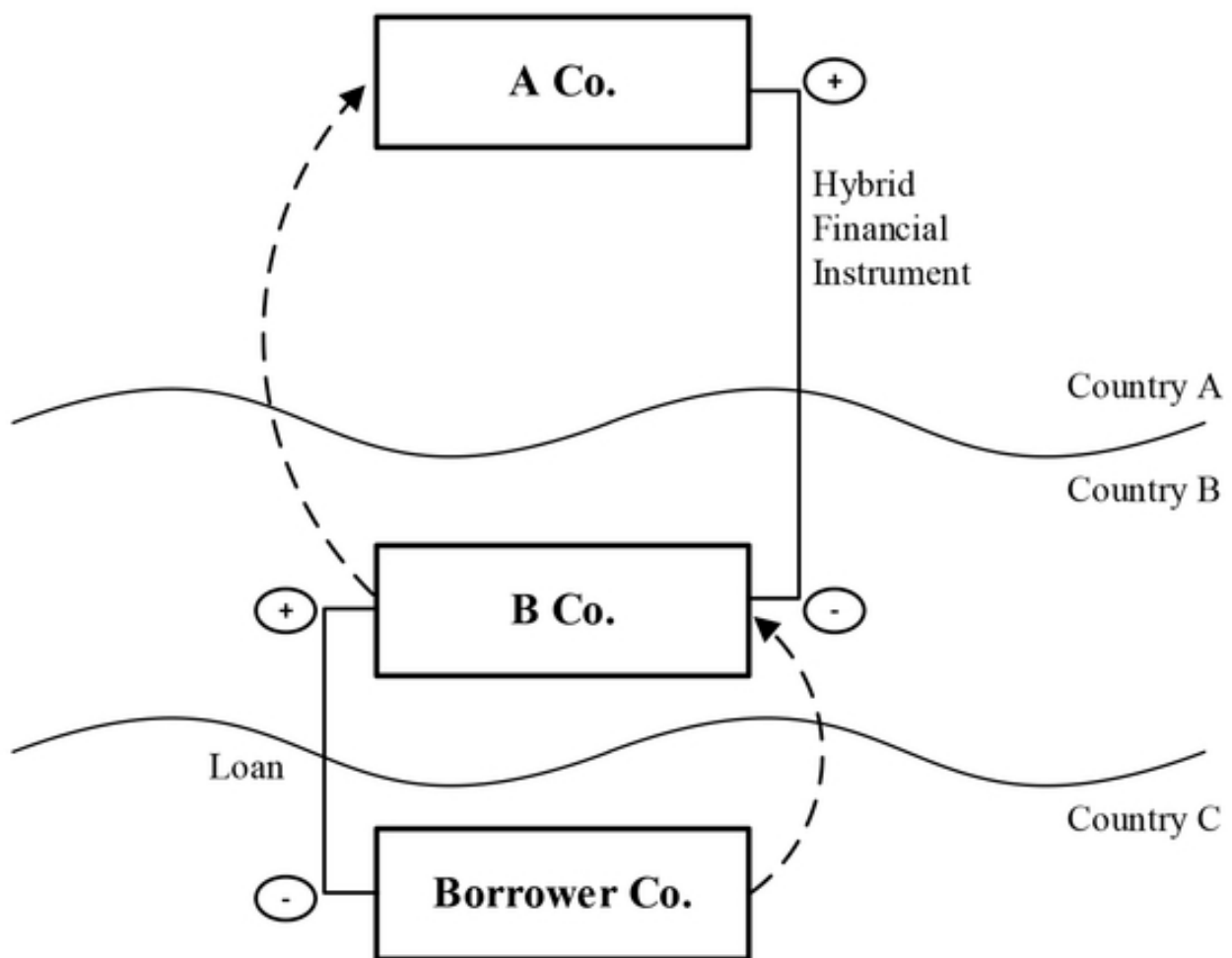
The effect of these provisions is to identify gross amounts of expenditure relating to a person's branch or hybrid entity. These identified amounts are non-deductible in New Zealand unless they can be offset under [s FH 12](#) (see below under heading "Surplus assessable income").

Dual resident payer

Section [FH 10](#) is designed to deal with companies that are resident in 2 countries and produce double deduction outcomes. New Zealand tax law already prevents a dual resident company from grouping its losses or forming a tax consolidated group, which are 2 ways that dual resident company losses can be offset against income that is not taxed in both countries. The provision more thoroughly prevents this outcome by removing the ability of a dual resident company to offset its expenditure against income earned through a reverse hybrid, such as (potentially) a New Zealand limited liability partnership.

Imported mismatches

An imported mismatch occurs when a payment that does not directly result in a hybrid mismatch outcome funds another payment that creates a hybrid mismatch outcome. The figure below is an example of an imported mismatch.



The imported mismatch here occurs between B Co and Borrower Co. Borrower Co gets a deduction for its payment and B Co includes that payment as taxable income, meaning there is no direct hybrid mismatch on that payment. However, that payment is used to fund the payment on a hybrid financial instrument from B Co to A Co. This payment results in a deduction for B Co, but no corresponding income inclusion for A Co. The loan between Borrower Co and B Co then “imports” the hybrid mismatch back to Country C, where there is a resulting indirect deduction/no inclusion hybrid mismatch.

Section [FH 11](#) denies a deduction for a payment (the imported mismatch payment) that does not itself give rise to a hybrid or branch mismatch but is treated as funding such a payment (the funded payment). Imported mismatch payments are split into payments where the imported mismatch payment and the funded payment are part of an arrangement (a structured arrangement) and those where they are not.

Operational statement [OS 21/02](#) “Administration of the imported mismatch rule – section [FH 11](#)” clarifies the Commissioner’s expectations as to how taxpayers will meet their self-assessment obligations when applying the imported hybrid mismatch rule in s [FH 11](#) to payments to members of their control group, and also how the rule will be administered by IR in relation to such payments. It is not intended to provide a safe harbour, but compliance with the statement will reduce the likelihood of lack of reasonable care penalties being imposed where an imported mismatch is later found to exist.

In March 2022, remedial amendments clarified that a deduction for a charge to a deducting branch in New Zealand is denied where the charge imports the benefit of an offshore mismatch into New Zealand. In addition, the amendments:

- # ensure a deduction for a payment is not denied (either wholly or partly) where a jurisdiction(s) in a chain of payments funding a mismatch has hybrid mismatch legislation
- # ensure a deduction is not denied where there is sufficient dual inclusion income for the payer of the funded payment
- # deny a deduction for payments that can be traced to a hybrid mismatch through loss grouping, group contributions of income, or consolidation
- # ensure a deduction is not denied for a payment that funds a mismatch where the mismatch is not due to hybridity, and
- # introduced 2 cross references into s [YA 1](#) for terms defined in s [FH 15\(1\)](#) (“hybrid entity” and “hybrid mismatch”).

The imported mismatch rule is the most complex of the hybrid rules. Section [FH 11\(4\)](#) applies for payments made in income years beginning on or after 1 January 2020.

Surplus assessable income

Section [FH 12](#) allows a deduction for hybrid mismatch amounts to the extent that the person paying or deriving the amounts has income that is taxable in New Zealand and can be expected to also be taxed in the other country giving rise to the hybrid mismatch. This income can arise in a different income year from the year the hybrid mismatch amount is disallowed.

Opaque election

Section [FH 14](#) allows a New Zealand resident who had a wholly-owned foreign hybrid entity on 6 December 2017 (the date the legislation was first introduced) to elect to treat it as a company for New Zealand tax purposes. It simplifies compliance for people who set up foreign hybrid vehicles before the hybrid rules were introduced.

Note that s [FH 14](#) was retrospectively amended to ensure that expenditure arising from the transition of a foreign hybrid entity (with transparent tax treatment in New Zealand) to an opaque entity under s [FH 14](#) is not subject to deduction denial under the rules.

The amendment applies for income years beginning on or after 1 July 2018, the original application date of the provision.

FIF rule changes relating to hybrid rules

The Act also contains some amendments to the FIF regime designed to ensure that a person holding a FIF interest must use the comparative value method to calculate FIF income from the interest if a distribution might otherwise be subject to hybrid rules counteraction. The amendments also turn off the ability of a share supplier of an FIF interest under a returning share transfer to use the fair dividend rate method in relation to an arrangement within the scope of the hybrid rules.

Guidance materials

IR released “BEPS — Hybrid and branch mismatch rules” (*Tax Information Bulletin* [¶313-106 Vol 31, No 3](#), April 2019 at 38) which discusses each of the provisions in more detail and includes examples.

For discussion on the 2022 amendments, see commentary on the hybrid and branch mismatches — imported mismatch rule, in *Tax Information Bulletin* [¶345-108 Vol 34, No 5](#), June 2022 at 171.

Law: IT07 subpt [FH](#), ss [CH 12](#), [CX 64](#), [DB 57B](#)

Last reviewed on 31 December 2025